

MERLIN PROPERTIES, SOCIMI, S.A.

Consolidated Financial Statements for the period ended 31 December 2016, prepared in accordance with International Financial Reporting Standards (IFRSs) as adopted by the European Union, and Directors' Report, together with Independent Auditor's Report

Translation of a report originally issued in Spanish based on our work performed in accordance with the audit regulations in force in Spain and of financial statements originally issued in Spanish and prepared in accordance with the regulatory framework applicable to the Group (see Notes 2 and 28). In the event of a discrepancy, the Spanish-language version prevails.

Translation of a report originally issued in Spanish based on our work performed in accordance with the audit regulations in force in Spain and of financial statements originally issued in Spanish and prepared in accordance with the regulatory framework applicable to the Group (see Notes 2 and 28). In the event of a discrepancy, the Spanish-language version prevails.

INDEPENDENT AUDITOR'S REPORT ON CONSOLIDATED FINANCIAL STATEMENTS

To the Shareholders of MERLIN PROPERTIES SOCIMI, S.A.:

Report on the Consolidated Financial Statements

We have audited the accompanying consolidated financial statements of MERLIN PROPERTIES SOCIMI, S.A. ("the Parent") and Subsidiaries ("the Group"), which comprise the consolidated statement of financial position as at 31 December 2016, and the consolidated income statement, consolidated comprehensive income statement, consolidated statement of changes in equity, consolidated statement of cash flows and notes to the consolidated financial statements for the period then ended.

Directors' Responsibility for the Consolidated Financial Statements

The Parent's Directors are responsible for preparing the accompanying consolidated financial statements so that they present fairly the consolidated equity, consolidated financial position and consolidated results of MERLIN PROPERTIES SOCIMI, S.A. and Subsidiaries, in accordance with International Financial Reporting Standards as adopted by the European Union and the other provisions of the regulatory financial reporting framework applicable to the Group in Spain and for such internal control as the Directors determine is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with the audit regulations in force in Spain. Those regulations require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the preparation by the Parent's Directors of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

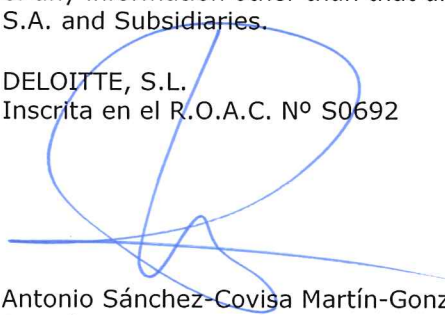
Opinion

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated equity and consolidated financial position of MERLIN PROPERTIES SOCIMI, S.A. and Subsidiaries as at 31 December 2016, and their consolidated results and their consolidated cash flows for the period then ended in accordance with International Financial Reporting Standards as adopted by the European Union and the other provisions of the regulatory financial reporting framework applicable to the Group in Spain.

Report on Other Legal and Regulatory Requirements

The accompanying consolidated Directors' report for the period ended 31 December 2016 contains the explanations which the Parent's Directors consider appropriate about the situation of MERLIN PROPERTIES, SOCIMI, S.A. and Subsidiaries, the evolution of their business and other matters, but is not an integral part of the consolidated financial statements. We have checked that the accounting information in the consolidated Directors' report is consistent with that contained in the consolidated financial statements for the period ended 31 December 2016. Our work as auditors was confined to checking the consolidated Directors' report with the aforementioned scope, and did not include a review of any information other than that drawn from the accounting records of MERLIN PROPERTIES, SOCIMI, S.A. and Subsidiaries.

DELOITTE, S.L.
Inscrita en el R.O.A.C. Nº S0692



Antonio Sánchez-Covisa Martín-González
27 February 2017

**MERLIN PROPERTIES SOCIMI, S.A.
AND SUBSIDIARIES**

CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS OF 31 DECEMBER 2016
(Thousands of euros)

ASSETS	Notes	31/12/2016	31/12/2015	EQUITY AND LIABILITIES	Notes	31/12/2016	31/12/2015
NON-CURRENT ASSETS				EQUITY:	Note 16		
Goodwill	Note 7	9,839	193,039	Subscribed capital		469,771	323,030
Concession projects	Note 8	245,744	71,500	Share premium		4,017,485	2,616,003
Other intangible assets		2,386	398	Reserves		(143,537)	(32,364)
Property, plant and equipment		3,569	1,056	Other equity holder contributions		540	540
Investment property	Note 9	9,027,184	5,397,091	Valuation adjustments		(47,582)	(6,106)
Investments accounted for using the equity method	Note 11	319,697	101,126	Translation differences		-	193
Non-current financial assets	Note 13	329,427	238,040	Treasury shares		(105)	-
Derivatives		207,182	194,767	Interim dividend	Note 3	(59,759)	(25,035)
Other financial assets		122,245	43,273	Profit for the period attributable to equity holders of the Parent		582,645	49,078
Deferred tax assets	Note 20	141,044	23,140	Equity attributable to equity holders of the Parent		4,819,458	2,925,339
Total non-current assets		10,078,890	6,025,390	Non-controlling interests		21,311	1,092
				Total equity		4,840,769	2,926,431
				NON-CURRENT LIABILITIES:			
				Debt instruments and other marketable securities	Note 17	2,327,345	-
				Non-current bank borrowings	Note 17	2,847,237	1,455,477
				Other financial liabilities	Note 18	104,149	65,465
				Deferred tax liabilities	Note 18	556,771	223,088
				Provisions	Note 18	34,092	16,573
				Total non-current liabilities		5,869,594	1,760,603
				CURRENT LIABILITIES:			
CURRENT ASSETS:				Liabilities associated with non-current assets held for sale	Note 12	-	161,425
Non-current assets held for sale	Note 12	-	298,534	Provisions	Note 18	867	274
Inventories		2,938	-	Debt instruments and other marketable securities	Note 17	25,629	-
Trade and other receivables	Notes 13 y 14	505,894	24,384	Bank borrowings	Note 17	36,227	1,710,025
Other current financial assets	Note 13	83,364	4,363	Other current financial liabilities	Note 18	3,997	2,369
Other current assets		413	3,027	Trade and other payables	Note 19	113,637	353,189
Cash and cash equivalents	Note 15	247,081	560,740	Current tax liabilities	Note 19	27,231	898
Total current assets		839,690	891,048	Other current liabilities	Note 18	629	1,224
				Total current liabilities		208,217	2,229,404
TOTAL ASSETS		10,918,580	6,916,438	TOTAL EQUITY AND LIABILITIES		10,918,580	6,916,438

The accompanying explanatory Notes 1 to 27 and Appendix I are an integral part of the condensed consolidated statement of financial position as of 31 December 2016.

**MERLIN PROPERTIES SOCIMI, S.A.
AND SUBSIDIARIES**

CONDENSED CONSOLIDATED INCOME STATEMENT FOR THE

PERIOD ENDED 31 DECEMBER 2016

(Thousands of euros)

	Notes	2016 Period	2015 Period
CONTINUING OPERATIONS:			
Revenue	Note 6	351,646	214,429
Other operating income		3,612	2,352
Personal expenses	Note 21.c	(43,241)	(15,710)
Other operating expenses	Note 21.b	(51,665)	(39,819)
Gains/(losses) on disposals of assets	Note 9	8,484	3,986
Depreciation and amortisation		(4,779)	(107)
Provision surpluses		32	476
Impairment of goodwill:		(154,428)	(302,188)
<i>Impairment of goodwill in initial allocation</i>		-	(231,852)
<i>Absorption of the revaluation of investment property</i>	Notes 7 y 9	(154,428)	(70,336)
Change in fair value of investment property	Note 9	453,149	314,586
Negative difference on business combinations	Note 3	37,573	-
PROFIT/(LOSS) FROM ORDINARY ACTIVITIES		600,383	178,005
Change in fair value of financial instruments		5,357	(67,938)
<i>Change in fair value of financial instruments - Embedded derivative</i>	Note 13	12,415	(66,922)
<i>Change in fair value of financial instruments - Other</i>	Note 17	(7,058)	(1,016)
Finance income	Note 21.d	1,709	1,970
Gains or losses on disposals of financial instruments	Note 21.e	74,646	-
Finance costs	Note 21.d	(91,290)	(55,566)
Share in profit/(loss) of companies accounted for using the equity method	Note 11	1,817	805
PROFIT/(LOSS) BEFORE TAX		592,622	57,276
Income tax	Note 20	(9,848)	(8,323)
PROFIT/(LOSS) FOR THE PERIOD FROM CONTINUING OPERATIONS		582,774	48,953
Attributable to shareholders of the Parent		582,645	49,078
Attributable to non-controlling interests	Note 16	129	(125)
EARNINGS PER SHARE (in euros)		1.62	0.15
BASIC EARNINGS PER SHARE (in euros)		1.62	0.15
DILUTED EARNINGS PER SHARE (in euros)		-	-

The accompanying explanatory Notes 1 to 16 and Appendix I are an integral part of the condensed consolidated income statement for the period ended 31 December 2016

**MERLIN PROPERTIES SOCIMI, S.A.
AND SUBSIDIARIES**

CONDENSED CONSOLIDATED COMPREHENSIVE INCOME STATEMENT FOR THE

PERIOD ENDED 31 DECEMBER 2016

(Thousands of euros)

	Notes	2016 Period	2015 Period
PROFIT/(LOSS) FOR THE PERIOD (I)		582,774	48,953
OTHER COMPREHENSIVE INCOME:			
Income and expenses recognised directly in equity-			
From cash flow hedges		(47,487)	(8,487)
From translation differences		(193)	193
OTHER COMPREHENSIVE INCOME RECOGNISED DIRECTLY IN EQUITY (II)		(47,680)	(8,294)
Amounts transferred to income statement		6,011	5,017
TOTAL AMOUNTS TRANSFERRED TO INCOME STATEMENT (III)		6,011	5,017
TOTAL COMPREHENSIVE INCOME (I+II+III)		541,105	45,676
Attributable to equity holders of the Parent		540,976	45,801
Attributable to non-controlling interests		129	(125)

The accompanying explanatory Notes 1 to 16 and Appendix I are an integral part of the condensed consolidated comprehensive income statement for the period ended 31 December 2016.

**MERLIN PROPERTIES SOCIMI, S.A.
AND SUBSIDIARIES**

CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE PERIOD

ENDED 31 DECEMBER 2016

(Thousands of euros)

	Share capital	Share premium	Reserves	Shareholder contributions	Profit for the year	Interim dividend	Valuation adjustments	Translation differences	Treasury shares	Equity attributable to the Parent	Non- controlling interests	Total equity
Balances as of 31 December 2014	129,212	1,162,368	(30,475)	540	49,670	-	(2,636)	-	-	1,308,679	-	1,308,679
Consolidated comprehensive profit/(loss) 2015	-	-	-	-	49,078	-	(3,470)	193	-	45,801	(125)	45,676
Distribution of 2014 profit	-	-	49,670	-	(49,670)	-	-	-	-	-	-	-
Transactions with shareholders-												
Capital increases (Note 16)	193,818	1,453,635	(51,559)	-	-	-	-	-	-	1,595,894	-	1,595,894
Distribution of dividends (Note 16)	-	-	-	-	-	(25,035)	-	-	-	(25,035)	-	(25,035)
Other transactions	-	-	-	-	-	-	-	-	-	-	1,217	1,217
Balances as of 31 December 2015	323,030	2,616,003	(32,364)	540	49,078	(25,035)	(6,106)	193	-	2,925,339	1,092	2,926,431
Consolidated comprehensive profit/(loss) 2016	-	-	-	-	582,645	-	(41,476)	(193)	-	540,976	129	541,105
Distribution of 2015 profit	-	-	24,043	-	(49,078)	25,035	-	-	-	-	-	-
Operaciones con accionistas o propietarios-												
Capital increases	146,741	1,526,104	(223,046)	-	-	-	-	-	-	1,449,799	-	1,449,799
Distribution of dividends	-	(39,605)	(1,838)	-	-	(59,759)	-	-	-	(101,202)	-	(101,202)
Application of the share premium	-	(85,017)	85,017	-	-	-	-	-	-	-	-	-
Acquisition of own shares	-	-	-	-	-	-	-	-	(1,369)	(1,369)	-	(1,369)
Exchange of own shares	-	-	(172)	-	-	-	-	-	1,264	1,092	(1,092)	-
Recognition of share-based payments (Note 23)	-	-	15,625	-	-	-	-	-	-	15,625	-	15,625
Other transactions	-	-	(10,802)	-	-	-	-	-	-	(10,802)	21,182	10,380
Balances as of 31 December 2016	469,771	4,017,485	(143,537)	540	582,645	(59,759)	(47,582)	-	(105)	4,819,458	21,311	4,840,769

The accompanying explanatory Notes 1 to 27 and Appendix I are an integral part of the condensed consolidated statement of changes in equity as of 31 December 2016.

**MERLIN PROPERTIES SOCIMI, S.A.
AND SUBSIDIARIES**

**CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE
PERIOD ENDED 31 DECEMBER 2016**

(Thousands of euros)

	Notes	Ejercicio 2016	Ejercicio 2015
CASH FLOWS FROM/(USED IN) OPERATING ACTIVITIES:		(81,466)	67,299
Profit/(loss) for the period before tax		592,622	57,276
Adjustments for-		(332,270)	103,976
Depreciation and amortisation		4,779	107
Changes in fair value of investment property	Nota 9	(453,149)	(314,586)
Changes in provisions		(32)	(476)
Gains/(losses) on disposals of assets	Notas 9 y 3	(83,130)	(3,986)
Finance income		(1,709)	(1,970)
Finance costs		91,290	55,566
Changes in fair value of financial instruments		(5,357)	67,938
Share in profit/(loss) of investments accounted for using the equity method	Nota 11	(1,817)	(805)
Impairment of goodwill	Notas 3 y 7	154,428	302,188
Negative difference on business combinations	Nota 3	(37,573)	-
Changes in working capital-		(258,336)	(34,550)
Trade and other receivables		36,777	(14,818)
Other current assets		(5,961)	778
Trade and other payables		(268,793)	(11,969)
Other assets and liabilities		(20,359)	(8,541)
Other cash flows from/(used in) operating activities-		(83,482)	(59,403)
Interest paid		(84,294)	(55,133)
Interest received		1,710	2,766
Income tax paid		(898)	(7,036)
CASH FLOWS FROM/(USED IN) INVESTING ACTIVITIES:		(567,391)	(1,672,254)
Payments on investments-		(567,391)	(1,672,254)
Net cash outflow from business acquisitions	Nota 3	(566,657)	(1,525,114)
Investment property		(171,817)	(253,295)
Property, plant and equipment		(1,878)	550
Intangible assets		(1,786)	-
Financial assets		(10,504)	105,605
Proceeds for investment property		185,251	-
CASH FLOWS FROM/(USED IN) FINANCING ACTIVITIES:		335,198	2,139,645
Proceeds and payments for equity instruments-		(101,202)	1,570,859
Issue of equity instruments		-	1,595,894
Dividends paid	Nota 16	(101,202)	(25,035)
Proceeds and payments for financial liabilities-		436,400	568,786
Issue of bank borrowings		3,502,960	776,540
Repayment of bank borrowings		(3,066,560)	(207,754)
NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS		(313,659)	534,690
Cash and cash equivalents at beginning of period		560,740	26,050
Cash and cash equivalents at end of period		247,081	560,740

The accompanying explanatory Notes 1 to 16 and Appendix I are an integral part of the condensed consolidated statement of cash flows for the period ended 31 December 2016.

Merlin Properties SOCIMI, S.A. and Subsidiaries

Consolidated financial statements for the year
ended on 31 December 2016

1. Nature and activity of the Group

Merlin Properties SOCIMI, S.A. (hereinafter, the "Parent") was incorporated in Spain on 25 March 2014 under the Spanish Limited Liability Companies Law. On 22 May 2014, the Parent requested to be included in the tax regime for listed companies investing in the property market (SOCIMIs), effective from 1 January 2014.

Its registered office is at Paseo de la Castellana, 42, Madrid.

The Parent's corporate purpose, as set out in its bylaws, is as follows:

- The acquisition and development of urban real estate for subsequent leasing, including the refurbishment of buildings as per the Value Added Tax Law 37/1992, of 28 December;
- the holding of equity interests in other SOCIMIs or in other non-resident entities in Spain with the same corporate purpose and that operate under a similar regime as that established for SOCIMIs with respect to the mandatory profit distribution policy enforced by law or by the bylaws;
- The holding of equity interests in other resident or non-resident entities in Spain whose corporate purpose is to acquire urban real estate for subsequent leasing, and which operate under the same regime as that established for SOCIMIs with respect to the mandatory profit distribution policy enforced by law or by the bylaws, and which fulfil the investment requirements stipulated for these companies; and
- The holding of shares or equity interests in collective real estate investment undertakings regulated by Law 35/2003, of 4 November, on collective investment undertakings, or any law that may replace this in the future.

In addition to the economic activity deriving from the principal corporate purpose, the Parent may also carry out any other complementary activities; these being any that generate income representing less than 20%, taken as a whole, of its income in each tax period, or any that can be classified as complementary as per prevailing legislation.

The activities included in the Parent's corporate purpose may be indirectly carried on, either wholly or in part, through the ownership of shares or equity interests in companies with a similar or identical corporate purpose.

The direct and, where applicable, indirect performance of any activities which are reserved under special legislation are excluded. If the law prescribes the need for a professional qualification, administrative authorisation, entry in a public register, or any other requirement for the purpose of exercising any of the activities within the corporate purpose, no such activity can be exercised until all the applicable professional or administrative requirements have been met.

Merlin Properties SOCIMI, S.A. and Subsidiaries (hereinafter, the "Group") mainly engage in the acquisition and management (through leasing to third parties) of mainly offices, warehouses and commercial premises. They may also invest to a lesser extent in other assets for lease.

On 30 June 2014, the Parent Company was floated on the Spanish stock market through the issuance of EUR 125,000 thousand shares, with a share premium of EUR 1,125,000 thousand. Merlin Properties SOCIMI, S.A.'s shares/securities have been listed on the electronic trading system of the Spanish stock exchanges since 30 June 2014.

The Parent and most of its subsidiaries are governed by Law 11/2009, of 26 October, as amended by Law 16/2012, of 27 December, regulating SOCIMIs. Article 3 of said Law sets out the investment requirements for these types of companies, namely:

1. At least 80% of a SOCIMI's assets must be invested in urban real estate for leasing purposes and/or in land to be developed for leasing purposes provided such development starts within three years of acquisition, along with investments in the capital or equity of other entities referred to in Section 1, Article 2 of the Law.

The value of the assets will be determined according to the average of the individual balance sheets for each quarter of the year, whereby the SOCIMI may opt to calculate such value by taking into account the market value of the assets included in such balance sheets instead of their carrying amount, in which case that value would apply to all balance sheets for the year. For these purposes, the money and collection rights arising from the disposal of these properties or shareholdings, if applicable, during the same year or previous years will not be calculated, provided that, in this last case, the reinvestment period referred to in Article 6 of this Law has not elapsed.

2. Similarly, at least 80% of the income for the tax period for each year, excluding that arising from the disposal of shareholdings and properties used in the compliance of its main corporate purpose, once the holding period referred to below has elapsed, should come from the lease of properties and from dividends or shares in profit from these investments.

This percentage is calculated based on consolidated profit if the company is a Parent of a group, as defined in Article 42 of the Commercial Code, irrespective of the place of residence and the obligation to prepare consolidated financial statements. Said group will be exclusively composed of the SOCIMI and all the other entities referred to in Section 1, Article 2 of said Law.

3. The SOCIMI's real estate assets must be leased for at least three years. The time that the properties have been offered for lease, up to a maximum of one year, will be included for the purposes of this calculation.

This period will be calculated:

- a) In the case of properties that are included in the SOCIMI's assets before it avails itself of the regime, from the date of commencement of the first tax period in which the special tax regime set forth in this Law is applied, provided that the property is leased or offered for lease at that date. Otherwise, the provisions of the following paragraph shall apply.
- b) In the case of properties developed or acquired subsequently by the SOCIMI, from the date on which they were leased or offered for lease for the first time.
- c) Shares or equity investments in entities referred to in Section 1, Article 2 of the Law must be kept in the SOCIMI's asset base at least during three years after their acquisition or, if applicable, from the beginning of the first tax period during which the special tax regime established in the Law applies.

As established in transitional provision one of Law 11/2009, of 26 December, amended by Law 16/2012, of 27 December, governing listed companies investing in the property market, these companies may opt to apply the special tax regime pursuant to Article 8 of this Law, even when the requirements stipulated therein are not fulfilled, under the condition that such requirements are met within two years of the date application of the SOCIMI tax regime is sought.

Failure to fulfil said condition will render the SOCIMI subject to the general corporate income tax rules, starting in the tax period in which the non-fulfilment is detected, unless it is remedied within the following tax period. In addition, the SOCIMI will be required to deposit, along with the payment for this tax period, the difference between the payment due as a result of applying the general tax regime and the payment made under the special tax regime in the previous tax periods, without prejudice to any late-payment interest, charges and penalties that may be incurred, where applicable.

SOCIMIs are taxed at a rate of 0% for corporate income tax. However, where dividends distributed to an equity holder owning at least 5% of the SOCIMI's share capital are exempt from taxation or taxed below 10%, such SOCIMI will be subject to a special charge of 19% of the dividends distributed to the said equity holder, in respect of corporate income tax. If deemed applicable, this special charge shall be paid by the SOCIMI within two months after the dividend distribution date.

The consolidated financial statements of the Group and the individual financial statements of the Group companies for 2016, which were prepared by the respective directors, have not yet been approved by the shareholders at their respective Annual General Meetings. However, the Parent's directors consider that the aforementioned financial statements will be approved without any material changes. The consolidated and individual financial statements of Merlin Properties, SOCIMI, S.A. for 2015 formulated by its Directors, were approved by the shareholders at the Annual General Meeting on 6 April 2016.

The individual financial statements of the other Group companies for the 2015 year, formulated by their Directors, were approved by the appropriate General Meeting within the terms established by applicable laws.

In view of the business activities currently carried on by the Group, it does not have any environmental liability, expenses, assets, provisions or contingencies that might be material with respect to its equity, financial position or results. Therefore, no specific disclosures relating to environmental issues are included in these notes to the consolidated financial statements.

2. Basis of presentation of the consolidated financial statements and basis of consolidation

2.1 Regulatory framework

The regulatory financial reporting framework applicable to the Group consists of the following:

- The Spanish Commercial Code and all other Spanish corporate laws;
- International Financial Reporting Standards (IFRSs) as adopted by the European Union pursuant to Regulation (EC) No 1606/2002 of the European Parliament and Law 62/2003, of 30 December, on tax, administrative and social security measures, as well as applicable rules and circulars of the Spanish National Securities Market Commission (CNMV);
- Law 11/2009, of 26 October, amended by Law 16/2012, of 27 December, regulating SOCIMIs and other corporate laws; and
- All other applicable Spanish accounting legislation.

2.2 Basis of presentation of the consolidated financial statements

The consolidated financial statements for 2016 were obtained from the accounting records of the Parent and consolidated companies, and have been prepared in accordance with the regulatory financial reporting framework described in Note 2.1 and, accordingly, they present a true and fair view of the Group's consolidated equity and financial position at 31 December 2016 and the consolidated results of its operations, the changes in consolidated equity and the consolidated cash flows in the year then ended.

Given that the accounting policies and measurement bases applied in preparing the Group's consolidated financial statements for 2016 may differ from those applied by some of the Group companies, the necessary adjustments and reclassifications were made on consolidation to unify these policies and bases and to make them compliant with IFRSs as adopted by the European Union

In order to uniformly present the various items composing the consolidated financial statements, the accounting, policies and measurement bases used by the Parent were applied to all the consolidated companies.

2.2.1 Adoption of Financial Reporting Standards and Interpretations effective as from 1 January 2016

In 2016 the following standards, amendments and interpretations came into force, which, where applicable, were used by the Group in preparing the condensed consolidated interim financial statements:

Standards, Amendments and Interpretations	Description	Mandatory application in the years beginning on or after:
Amendments to IAS 19 Defined Benefit Plans: Employee Contributions (issued in November 2013)	The amendment is issued to make it easier to deduct these contributions from the service cost in the same period in which they are paid, as long as certain requirements are met.	1 February 2015
Improvements to IFRSSs 2010-2012 cycle (published in December 2013)	Minor amendments to a series of standards	1 February 2015

Standards, Amendments and Interpretations	Description	Mandatory application in the years beginning on or after:
IAS 16 and IAS 38 Acceptable Methods of Depreciation and Amortisation (issued in May 2014)	Clarifies the acceptable methods for tangible and intangible fixed asset amortisation and depreciation, not including those which are income-based.	1 February 2015
Amendment of IFRS 11 Acquisitions of Interests in Joint Operations (issued in May 2014)	Specifies the accounting treatment for the acquisition of an interest in a joint operation that constitutes a business	1 January 2016
Amendment of IAS 16 and IAS 41 Production plants (published in June 2014)	Production plants will now be entered at cost, not at fair value	1 January 2016
Improvements to IFRSs 2012-2014 cycle (issued in September 2014)	Minor amendments to a series of standards	1 January 2016
Amendment of IAS 27 Equity method in Separate Financial Statements (issued in August 2014)	Equity accounting will be permitted in an investor's individual financial statements	1 January 2016
Improvements to IAS 1 Breakdowns initiative (issued in December 2014)	Various clarifications about breakdowns (materiality, aggregation, order of notes, etc.).	1 January 2016
Amendments to IFRS 10, IFRS 12 and IAS 28	Clarifications concerning consolidation exceptions for investment companies.	1 January 2016

These standards and amendments did not have any material impact on the consolidated financial statements for 2016.

All accounting policies and measurement bases with a significant effect on the consolidated financial statements were applied.

2.2.2 Standards not yet in force in 2016

The following standards were not yet in force in 2016, either because their effective date is subsequent to the date of the consolidated financial statements or because they had not yet been adopted by the European Union.

Standards, Amendments and Interpretations	Description	Mandatory application in the years beginning on or after:
IFRS 15 Revenue from Contracts with Customers (issued in May 2014)	New revenue recognition standard. Replaces IAS 11, IAS 18, IFRIC 13, IFRIC 15, IFRIC 18 and SIC-31. The new IFRS 15 model is far more restrictive and principles-based, and also has a very different contractual approach. Application of the new requirements could therefore give rise to changes in the revenue profile	1 January 2018
IFRS 9 Financial instruments (issued in May 2014)	This new standard will replace the current IAS 39). The conceptual change is important in all sections. It changes the model for the classification and measurement of financial assets, whose central axis will be the business model. The aim is for the hedges accounting model approach to be better aligned with risk economic management and for fewer rules to be demanded. Lastly, the impairment model changes from the current incurred losses to an expected losses model.	1 January 2018
IFRS 16 Leases (issued in January 2016)	New leases standard which replaces IAS 17. It proposes a single accounting model for lessors, which will include all leases (with certain limited exceptions) with a similar impact to current financial leases on the balance sheet.	1 January 2019 (1)
Clarifications to IFRS 15 (issued in April 2016)	Concern the identification of performance bonds, of principal versus agent, for the granting of licenses and their accrual on a point in time or through time basis, and certain clarifications regarding transition rules.	1 January 2018 (1)
Amendment to IAS 7 Breakdowns initiative (issued in January 2016)	Introduces additional breakdown requirements in relation to the reconciliation of financial liabilities with cash flows from financing activities.	1 January 2017 (1)
Amendment to IAS 12 Recognition of deferred tax assets for unrealised losses (issued in January (2016)	Clarification of principles established regarding the recognition of deferred tax assets for unrealised losses.	1 January 2017 (1)
Amendment of IFRS 2 Classification and measurement of share-based payments (published in June 2016)	These are limited amendments which clarify specific questions such as the effects of accrual conditions in share-based payments to be settled in cash, the classification of share-based payments when there are settlement clauses for the net amount and certain aspects of the amendments of the type of share-based payment.	1 January 2018 (1)
Amendment to IFRS 4 Insurance contracts (issued in September 2016)	Allows entities within the scope of the IFRS 4 to have the option of applying IFRS 9 (the overlay approach) or their temporary exemption.	1 January 2018 (1)
Amendment to IAS 40 reclassification of real estate investments (issued in December 2016)	The amendment clarifies that a reclassification of an investment from or towards real estate investment is only allowed when there is evidence of a change of use.	1 January 2018 (1)
Improvements to IFRS 2014-2016 cycle (issued in December 2016)	Minor amendments to a series of standards (different effective dates)	1 January 2018 (1)
IFRS 22 Transactions and advances in foreign currency (issued in December 2016)	This interpretation establishes the "transaction date" for the purpose of determining the exchange rate applicable in transactions with advances in foreign currency.	1 January 2018 (1)

Standards, Amendments and Interpretations	Description	Mandatory application in the years beginning on or after:
Amendment IFRS 10 and IAS 28 Sale or contribution of assets between an investor and its associate or joint venture	Very relevant clarification in relation to the result of these transactions, because there is currently a discrepancy between these two standards. When it is a business, there will be a total result; if the object of the transaction are assets, the result will be partial.	Its adoption in the EU and application according to the IASB is deferred indefinitely.

(1) Pending adoption by the European Union

The Group is currently assessing the impact that the future application of these standards might have on the financial statements once they enter into force. The Group's preliminary assessment is that the impact of the application of these standards will not be significant. In relation to IFRS 16, which amends the leases standard, the Parent does not expect the impact on its consolidated financial statements to be significant since accounting for the lessor will not undergo significant changes. Similarly, in relation to the amendment of IAS 40, the Group does not estimate significant impacts on its consolidated financial accounts as it does not plan to change the use of its real estate assets.

2.3. Foreign currency

These consolidated financial statements are presented in euros, since the euro is the functional currency in the area in which the Group operates.

2.4 Comparative information

The information relating to 2015 contained in these consolidated financial statements is presented solely for comparison purposes with similar information relating to the year ended 31 December 2016.

2.5 Responsibility for the information and use of estimates

The information in these consolidated financial statements is the responsibility of the Parent's directors.

In the Group's consolidated financial statements for 2016 estimates were occasionally made by the senior executives of the Group and of the consolidated companies, later ratified by the directors, in order to quantify certain of the assets, liabilities, income, expenses and obligations reported herein. These estimates relate basically to the following:

1. The market value of the net assets acquired in business combinations (see Note 3)
2. The market value of the Group's property assets (see Notes 5.3). The Group obtained valuations from independent experts at 31 December 2016.
3. Impairment losses on goodwill (see Note 5.4)
4. The fair value of certain financial instruments (see Note 5.7).
5. The assessment of provisions and contingencies (see Note 5.14)
6. Management of financial risk and, in particular, of liquidity risk (see Note 26).
7. The recovery of deferred tax assets and the tax rate applicable to temporary differences (see Note 5.16).
8. Definition of the transactions carried out by the Group as a business combination in accordance with IFRS 3 or as an acquisition of assets (see Note 3).
9. Compliance of requirements which regulate SOCIMIs.

Changes in estimates:

Although these estimates were made on the basis of the best information available at 31 December 2016, future events may require these estimates to be modified prospectively (upwards or downwards), in accordance with IAS 8. The effects of any change would be recognised in the corresponding consolidated income statement.

2.6 Consolidation principles applied

All companies over which effective control is exercised by virtue of holding of a majority of the voting rights in their representation and decision-making bodies and the power to determine the company's financial and operational policies were fully consolidated; and companies in which the Group owns more than a 20% interest and exercises significant influence without holding a majority of the voting rights were accounted for using the equity method (see Note 11).

A number of adjustments have been made in order to bring the accounting principles and measurement bases of Group companies into line with those of the Parent, including the application of International Financial Reporting Standards measurement bases to all Group companies and associates.

It was not necessary to unify accounting periods since the balance sheet date of all the Group companies and associates is 31 December of each year.

2.6.1 Subsidiaries

Subsidiaries are considered to be those companies over which the Parent directly or indirectly exercises control through subsidiaries. The Parent has control over a subsidiary when it is exposed or has rights to variable returns from its involvement with the subsidiary, and when it has the ability to use its power to affect its returns. The Parent has power when the voting rights are sufficient to give it the ability to direct the relevant activities of the subsidiary. The Parent is exposed or has rights to variable returns from its involvement with the subsidiary when its returns from its involvement have the potential to vary as a result of the subsidiary's performance.

The financial statements of the subsidiaries are fully consolidated with those of the Parent. Accordingly, all material balances and effects of the transactions between consolidated companies are eliminated on consolidation.

Third party interests in the Group's equity and profit or loss are recognised under "Non-controlling interests" in the consolidated statement of financial position, the consolidated income statement and consolidated statement of comprehensive income, respectively.

The results of subsidiaries acquired or disposed of during the year are included in the consolidated income statements from the effective date of acquisition or until the effective date of disposal, as appropriate.

2.6.2 Associates

The companies listed in Appendix I, over which Merlin Properties, SOCIMI, S.A. does not exercise control but rather has a significant influence, are included under "Investments accounted for using the equity method" in the accompanying consolidated statement of financial position and are measured using the equity method, which consists of the value of the net assets and any goodwill of the associate. The share of these companies' net profit or loss for the year is included under "Share of results of associates accounted for using the equity method" in the accompanying consolidated income statement.

2.6.3 Transactions between Group companies

Gains or losses on transactions between consolidated companies are eliminated on consolidation and deferred until they are realised with third parties outside the Group. The capitalised expenses of Group work on non-current assets are recognised at production cost, and any intra-Group results are eliminated. Receivables and payables between consolidated Group companies and any intra-Group income and expenses were eliminated.

2.6.4 Translation of currencies other than the euro

The translation to euros of foreign transactions was carried out by applying the following criteria:

1. The assets and liabilities, including goodwill and adjustments to net assets arising from the acquisition of businesses, including comparative balances, are translated at the exchange rate at each reporting date;
2. Income statement items were translated at the average exchange rates for the year; and
3. Any exchange differences that arise from applying the aforementioned criteria are recognised as translation differences in equity.

In presenting the consolidated statement of cash flows, the cash flows, including comparative balances, of the subsidiaries are translated to euros at the exchange rates prevailing at the date on which such cash flows took place.

Translation differences related to foreign businesses recognised under equity are recognised in the consolidated income statement when such businesses are disposed of or when the Group no longer has control over them.

After the dissolution in 2016 of Testa American Real Estate Corporation, the local currency of all Group companies is the euro.

2.6.5 First-time consolidation differences

At the date of an acquisition, the assets and liabilities of a subsidiary are measured at their fair values at that date. Any excess of the cost of acquisition over the fair values of the identifiable net assets acquired is recognised as goodwill. If a deficiency of the acquisition cost below the fair values of the identifiable net assets acquired (i.e. a discount on acquisition) is disclosed, the measurements of the net assets are reviewed and, where appropriate, the deficiency is credited to profit or loss in the period in which the acquisition is made.

2.6.6 Combinations of businesses

The Group accounts for business combinations using the purchase method. The date of acquisition is the date on which the Group takes control of the acquiree.

The consideration paid is calculated at the date of acquisition as the sum of the fair values of the assets delivered, the liabilities incurred and assumed and the equity instruments issued by the Group in exchange for control of the business acquired. Acquisition costs, such as professional fees, do not form part of the cost of the business combination, but are taken directly to the consolidated income statement.

Where applicable, the contingent consideration is recognised at the acquisition-date fair value. Subsequent changes to the fair value of the contingent consideration are taken to the consolidated income statement unless this change arises within the period of 12 months established as the provisional accounting period, in which case the change is recognised in goodwill.

Goodwill is calculated as the excess of the aggregate of the consideration transferred, any non-controlling interests, and the fair value of any previously acquired interest less the net identifiable assets acquired.

If the acquisition cost of the identifiable net assets is less than their fair value, the related difference is recognised in the consolidated income statement for the year.

2.6.7 Consolidation perimeter

The companies composing the Merlin Group at 31 December 2016, along with information relating to the consolidation method, are listed in Appendix I of the consolidated financial statements.

3. Changes in the scope of consolidation

2016-

Business combinations

- 1) *Integration agreement with Metrovacesa, S.A.*

On 21 June 2016, the Parent Company signed an integration agreement with Metrovacesa, S.A. and its leading shareholders (Banco Santander, S.A., Banco Bilbao Vizcaya Argentaria, S.A. and Banco Popular Español, S.A.) with the object of creating the largest Spanish real estate rental property group. On 26 August 2016, the integration was approved by the Spanish anti-trust authorities and on 15 September by the Annual General Meetings of the Parent Company and Metrovacesa, S.A. The resolutions passed by the respective AGMs were registered in the Companies' Registry on 26 October 2016.

The transaction was arranged through the total spin-off of Metrovacesa, S.A, thereby dissolving that company, and adding the real estate business unit of Metrovacesa, which consisted of operation of non-residential real estate property to be used for rental (including staff of the Metrovacesa group and the properties, shares or interests in subsidiary or investee companies, contracts and in general all assets and liabilities of Metrovacesa associated with tertiary assets, except for 250 million euros in debt). In exchange for the business received, the Parent Company carried out increase in share capital through the issue of 146,740,750 shares each with a par value of 1 euro, with an issue premium of 10.40 euros per issued share. This increase was subscribed in full by the shareholders of Metrovacesa, S.A., with a swap ratio of one share of Merlin Properties SOCIMI, S.A. for every 20.95722 shares of Metrovacesa, S.A., As a result of this transaction, shareholders of Metrovacesa, S.A. acquired 31.237% of the share capital of the Parent Company.

This business combination may be summarised as follows:

	Thousands of euros		
	Carrying Value	Adjustment of Value	Fair Value
Concession projects	86,742	81	86,823
Intangible assets	200	-	200
Tangible assets	13,325	22	13,347
Investment property	1,966,333	1,093,203	3,059,536
Investments accounted for using the equity method	22,485	-	22,485
Loans to associates	72,860	-	72,860
Other non-current assets	19,700	-	19,700
Deferred tax assets	430,248	(296,442)	133,806
Current assets	89,767	-	89,767
Deferred tax liabilities	(19,621)	(291,258)	(310,879)
Non-current liabilities	(1,612,522)	(909)	(1,613,431)
Current liabilities	(51,299)	-	(51,299)
Total net assets	1,018,218	504,697	1,522,915
Consideration transferred (a)			1,449,799
Negative difference in the combination			73,116

- (a) The fair value of the consideration transferred has been calculated applying the share price (9.88 euros) at 15 September 2016, the date the company was taken over, to the issued shares (146,740,750). The agreement for the integration of the property business of Metrovacesa, S.A. does not include any type of contingent consideration.

The Parent's directors initially allocated the cost of the business combination by provisionally estimating that the difference between the cost of the business combination and the fair value of the net assets acquired would represent a gain amounting to 73,116 thousand euros, which is included in item "negative goodwill on business combinations" of the consolidated profit and loss account for the 2016 year.

To estimate the fair value of the net assets of Metrovacesa, S.A., the Parent used valuations of the acquired assets (mainly real estate assets) carried out by independent experts. The fair values obtained do not significantly differ against those included in the consolidated financial statements of Metrovacesa, as the option to register its property investments at fair value as set out in IAS 40 is applicable.

The Group has adjusted an amount of 296,442 thousand euros in the fair value of the deferred tax assets as it considers that it is not likely to be recovered due to the SOCIMI regime of the parent Company.

In any case, and in accordance with IFRS 3, these initial estimates are merely provisional and the Group has a period of one year to adjust them in accordance with the most relevant and complete information that may be subsequently obtained.

The transaction costs associated with the acquisition totalled EUR 9,658 thousand and are recognised under "Other operating expenses" in the consolidated income statement for 2016.

The fair value of the receivables acquired, mainly of a commercial nature, EUR 23,723 thousand and does not differ from the gross contractual amounts. The Parent's directors do not consider that at the acquisition date there were any indications that these receivables would not be collected in full.

The net profit and the revenue obtained from the commercial property business of Metrovacesa, S.A. included in the 2016 year and in the consolidated income statement for the 2016 year are EUR 80,891 thousand and EUR 40,843 thousand, respectively.

Had the two businesses been acquired on 1 January 2016, net profit would have increased by EUR 45,688 thousand and revenues contributed to the Group would have been approximately EUR 116,972 thousand higher, approximately, compared to these annual financial statements. When calculating these amounts, the directors considered that the revenue generated and expenses incurred between 1 January 2016 and the acquisition date, along with the acquisition costs, did not vary.

Net cash flow from the acquisition

	Thousands of Euros
Cash paid	-
Less: cash and cash equivalents	(28,035)
Total	(28,035)

2) Other business combinations

a) MP Torre A, S.A and MP Monumental, S.A.

On 10 March 2016, the Parent Company, Merlin Properties SOCIMI, S.A. acquired 100% of the interest belonging to LSREF3 Reo Torre A, S.A., the share capital of which amounted to EUR 50,000, fully paid, and which was represented by 50,000 shares of EUR 1 par value each, totalling EUR 10,150 thousand. The core business of the acquired company is rental of offices, warehouses and commercial establishments in Lisbon. At the time of the purchase, the seller had a loan with LSREF3 Reo Torre A, S.A. amounting to EUR 32,873 thousand, which was paid simultaneously with the purchase price. On 16 March 2016, the company name was changed to MP Torre A, S.A.

On that same date, the Parent Company acquired 100% of the interest belonging to LSREF3 Reo Monumental, S.A., the share capital of which amounted to EUR 50,000, fully paid, and which was represented by 50,000 shares of EUR 1 par value each, totalling EUR 20,291 thousand. The core business of the acquired company is retail of offices and commercial establishments in Lisbon. At the time of the purchase, the seller had a loan with LSREF3 Reo Monumental, S.A. amounting to EUR 40,180 thousand, which was paid simultaneously with the purchase price. On 23 March 2016, the company name was changed to MP Monumental, S.A.

	Core business	Date of acquisition	Percentage of ownership acquired (voting rights)	Consideration transferred (thousands of euros)
MP Torre A, S.A.	Acquisition and development of property assets for lease	10/03/2016	100%	43,023 (a)
MP Monumental, S.A.	Acquisition and development of property assets for lease	10/03/2016	100%	60,471 (a)

(a) Consideration transferred taking into account settled loans of the former owner.

	Thousands of euros		
	Carrying Value	Adjustment of Value	Fair Value
Investment property	80,335	22,683	103,018
Non-current assets	27	-	27
Current assets	7,729	(4,898)	2,831
Current and non-current financial liabilities	(2,333)	(4,435)	(6,768)
Total net assets	85,758	13,350	99,108
Consideration transferred			103,494
Loss incurred in the business combination			(4,386)

The adjustment in value is mainly due to the contribution of the fair value of investment properties. The acquired assets are two office buildings and the “Dolce Vita Monumental” shopping centre in Lisbon, which at the time of the purchase was appraised by an independent appraisal company for EUR 103,018 thousand. The Torre A building is leased in its entirety to Galp, S.A.. The Monumental building and the shopping centre have an 91% occupancy ratio. These leases are the business activity of the acquired companies and their source of revenue. The object of these business combinations is to step up the Group's presence in the Lisbon property market.

The fair value of the receivables acquired in the business combinations, which are mainly trade receivables, is EUR 52 thousand and does not differ from the gross contractual amounts. The Parent's directors do not consider that at the acquisition date there were any indications that these receivables would not be collected in full.

The valuation adjustment to liabilities of EUR 4,435 thousand corresponds mainly to the deferred tax liability associated with value adjustments.

The net profit and revenues generated by the acquired businesses in 2016 and included in the 2016 consolidated income statement totalled EUR 34 thousand and EUR 2,335 thousand in the case of MP Torre A, S.A. and EUR 564 thousand and 3,503 thousand in the case of MP Monumental, S.A..

Had the two businesses been acquired on 1 January 2016, net profit would have increased by EUR 972 thousand and revenues contributed to the Group would have been approximately EUR 1,211 thousand higher compared to the figures in the accompanying consolidated financial statements. When calculating these amounts, the directors considered that the revenue generated and expenses incurred between 1 January 2016 and the acquisition date, along with the acquisition costs, did not vary.

Net cash flow from the acquisition

	Thousands of euros	
	MP Torre A, S.A.	MP Monumental, S.A.
Cash paid	43,023	60,471
Less: cash and cash equivalents	(472)	(1,590)
Total	42,551	58,881

b) *Saba Parques Logísticos, S.L.U.*

On 17 October 2016, the acquisition agreement signed by the Parent and by Saba Infraestructuras, S.A. to buy the logistics business owned by the latter, was notarised. The Group acquired 100% of the share capital of Saba Parques Logísticos, S.L.U. (hereinafter “SPL”) which was made up of 1,745,041 shares each with a par value of 40 euros. SPL is also the parent company of a group of companies whose core business is leasing logistical property assets to third parties. The acquisition price amounts to EUR 123,776 euros.

	Core business	Date of acquisition	Percentage of ownership acquired (voting rights)	Consideration transferred (thousands of euros)
Saba Parques Logísticos, S.L.U. and subsidiaries	Acquisition and development of logistics property assets for management and lease	17/10/2016	100%	123,776 (a)

- a) Consideration transferred taking into account the variable price, which it has been estimated will be paid in full.

	Thousands of euros		
	Carrying Value	Adjustment of Value	Fair Value
Concession projects	90,533	70,886	161,419
Intangible assets	2	-	2
Investment property	40,065	(12,239)	27,826
Other non-current assets	2,379	-	2,379
Deferred tax assets	10,202	-	10,202
Current assets	9,231	-	9,231
Non-current liabilities	(43,065)	(17,722)	(60,787)
Current liabilities	(9,270)	-	(9,270)
Total net assets	100,077	40,925	141,002
Consideration transferred (a)			123,776
Assignment of equity to external partners			21,182
Loss incurred in the combination			(3,956)

The adjustment in the value of the assets mainly refers to the allocation of fair value of the investment property assets, which also includes surface rights and administrative concessions as well as the interest in an associate company. The acquired assets mainly refer to logistical complexes located in Barcelona, Seville and Portugal and the 43.99% financial interest in Araba Logística, S.L. The logistical complexes are leased to third parties and have an 85% occupancy rate. Such leases are the core business and main source of revenues. The aim of this business combination is to increase the Group's logistics business.

The valuation adjustment to liabilities of EUR 17,722 thousand corresponds mainly to the deferred tax liability associated with the value adjustments.

The fair value of the receivables acquired, mainly of a commercial nature, EUR 405 thousand and does not differ from the gross contractual amounts. The Parent's directors do not consider that at the acquisition date there were any indications that these receivables would not be collected in full.

The net profit and the revenue obtained from the logistics business acquired and included in the consolidated income statement for the 2016 year are EUR -2,078 thousand and EUR 4,034 thousand.

Had the two businesses been acquired on 1 January 2016, net profit would have increased by EUR 1,244 thousand and revenues contributed to the Group would have been approximately EUR 14,655 thousand higher compared to the figures in the accompanying consolidated financial statements. When calculating these amounts, the directors considered that the revenue generated and expenses incurred between 1 January 2016 and the acquisition date, along with the acquisition costs, did not vary.

Net cash flow from the acquisition

	Thousands of euros
Cash paid	123,776
Less: cash and cash equivalents	(4,702)
Total	119,074

c) *LSREF3 Octopus Holding Adequa, S.L.U.*

On 1 December 2016, the Parent Company, Merlin Properties SOCIMI, S.A. acquired 100% of the interest belonging to LSREF3 Octopus Holding Adequa, S.L.U., the share capital of which amounted to EUR 5,075,000, fully paid, and which was represented by 5,075,300 shares of EUR 1 par value each, totalling EUR 378,755 thousand. The core business of the acquired company is rental of offices in Madrid. On 1 of December 2016 the company name was changed to Merlin Properties Adequa, S.L.U.

	Core business	Date of acquisition	Percentage of ownership acquired (voting rights)	Consideration transferred (thousands of euros)
LSREF Octopus Holding Adequa, S.L.U.	Acquisition and development of property assets for lease	01/12/2016	100%	378,755

	Thousands of euros		
	Carrying Value	Adjustment of Value	Fair Value
Investment property	272,374	107,626	380,000
Non-current assets	6,881	(4,313)	2,568
Current assets	12,495	(5,579)	6,916
Current and non-current liabilities	(11,023)	(26,907)	(37,930)
Total net assets	280,727	70,827	351,554
Consideration transferred			378.755
Loss incurred in the business combination			(27,201)

The adjustment in value is mainly due to the contribution of the fair value of investment properties. The acquired assets are two office complexes in Madrid, which at the time of the purchase was appraised by an independent appraisal company for EUR 380,000 thousand. The complex is leased out with an occupancy rate of 98%. This lease is the acquired company's business activity and its source of revenue. The object of these business combinations is to step up the Group's presence in the Madrid property market.

The fair value of the receivables acquired in the business combinations, which are mainly trade receivables, is EUR 2,308 thousand and does not differ from the gross contractual amounts. The Parent's directors do not consider that at the acquisition date there were any indications that these receivables would not be collected in full.

The valuation adjustment to liabilities of EUR 26,907 thousand corresponds mainly to the deferred tax liability associated with the value adjustments.

The net loss and the revenue obtained in 2016 and included in the consolidated income statement for the 2016 year are EUR 14,826 thousand and EUR 1,526 thousand.

Had the two businesses been acquired on 1 January 2016, net loss would have decreased by EUR 3,339 thousand and revenues contributed to the Group would have been approximately EUR 15,989 thousand higher compared to the figures in the accompanying consolidated financial statements. When calculating these amounts, the directors considered that the revenue generated and expenses incurred between 1 January 2016 and the acquisition date, along with the acquisition costs, did not vary.

Net cash flow from the acquisition:

	Thousands of euros
Cash paid	378,755
Less: cash and cash equivalents	(4,569)
Total	374,186

Other changes

1) Acquisition of 22.61% of Testa Inmuebles en Renta SOCIMI, S.A. and subsequent merger with the Parent

On 20 June 2016, the Parent Company acquired 34,810,520 shares of Testa Inmuebles en Renta SOCIMI, S.A., owned by Sacyr, and which represented 22.61% of Testa's share capital and voting rights. These shares, on top of those acquired by the Parent Company in 2015, represented 99.93% of the share capital and voting rights of Testa Inmuebles en Renta SOCIMI, S.A. The acquisition went through in accordance with the investment agreement signed by the Parent and Sacyr S.A. on 8 June 2015, with a payment of EUR 316,840 thousand for the acquired shares. The acquisition of the additional interest referred to above has not had any impact whatsoever on the consolidation method because the Group exercised control of Testa Inmuebles en Renta SOCIMI, S.A. at 31 December 2015.

Subsequently, on 21 June 2016, the Board of Directors of the Parent and Testa Inmuebles en Renta SOCIMI, S.A. approved the merger by absorption deal for the integration of Testa Inmuebles en Renta SOCIMI, S.A. within the Parent, through the transfer en bloc of the former's assets to the latter. On 6 September 2016, the Annual General Meeting of Shareholders of Testa Inmuebles en Renta, SOCIMI, S.A. approved the merger, and it was registered in the Companies' Registry on 14 October 2016.

At the time of the merger, Merlin Properties SOCIMI, S.A. owned 153,858,636 shares in Testa, which represented 99.93% of its share capital. This meant that the capital owned by third parties consisted of 109,082 shares, which represented 0.07% of Testa's share capital.

Pursuant to article 50.1 of the LME, the absorbing company, i.e. Merlin Properties, offered the shareholders of the absorbed companies the opportunity to buy their shares. The shares owned by minority interests were estimated to be worth 11.90 euros shares, so the swap ratio was 1.222 shares of the Parent for each shares of the absorbed company.

As provided in the merger agreement, for accounting and economic purposes, transactions by the absorbed company have been considered to be performed by Merlin Properties SOCIMI, S.A. since 1 January 2016.

Under the terms of the merger, all employees of the absorbing company were transferred, in accordance with the company succession regime regulated in article 44 of the Workers' Statute.

The transaction was included in the special fiscal regime as provided for under chapter VII of Title VII of article 89 of the Corporate Income Tax Act 27/2014, of 27 November.

2) Loss of control of Testa Residencial SOCIMI, S.A.

In accordance with the integration agreement between the two companies, Metrovacesa, S.A. spun off all the residential business unit - which consisted of residential property assets used for leasing (including Metrovacesa employees and in general the assets and liabilities associated with residential property, in addition to the EUR 250 million of debt not transferred in the spin-off) - to Testa Residencial SOCIMI, S.A. a company which at that time was fully owned by the Parent. In exchange for the residential business, Testa Residencial SOCIMI, S.A. carried out an increase in share capital through the issue of 3,075,278,154 shares each with a par value of EUR 0.01, with a share premium of EUR 0.13366 per issued share. This increase was subscribed in full by the shareholders of Metrovacesa, S.A., with a swap ratio of one share of Testa Residencial SOCIMI, S.A. for every shares of Metrovacesa, S.A., As a result of this transaction, shareholders of Metrovacesa, S.A. acquired 65.76% of the share capital of Testa Residencial SOCIMI, S.A. and the Parent Company lost control of the company.

Consequently, the investment in Testa Residencial is no longer consolidated through the global integration method but through the consolidated financial statements of the Merlin Group using the equity method. The net assets of the residential business were classified under the "Non-current assets held for sale" and "Liabilities linked to non-current assets held for sale" items in the consolidated financial statements for the 2015 year.

In accordance with IFRIC 10, the Merlin Group initially registered the interest in Testa Residencial, S.A. at its fair value of EUR 223,141 thousand. Appraisals carried out by independent experts of the assets of Testa Residencial SOCIMI, S.A. (mainly property assets, intangible assets and interests in associates) at the date control of the company was lost were used to determine the fair value of the investment in Testa Residencial SOCIMI, S.A.

	Thousands of Euros
Net assets of the residential business at 31 December 2015	137,109
Additions and profit/loss prior to loss of control	10,183
Equity value at 15 September 2016	147,292
Adjustment in value of residential assets (a) Fair value of the residential assets provided by Metrovacesa, S.A.	651,697
Interest held by Group	34.24%
Initial value of investment	223,141

Due to the loss of control and registering the investment at fair value, a positive gain of EUR 75,849 thousand has arisen, and is registered in the "Income from disposal on financial instruments" item of the consolidated income statement for the 2016 year.

3) Sale of hotel assets

On 30 December 2016, the Group and a third party signed an agreement to sell the former's hotel leasing business, the only exceptions being the properties shared with other businesses (Eurostars Torre Castellana in Madrid and Novotel Diagonal in Barcelona).

Specifically, the agreement entails the sale of 17 hotel assets and in the financial interests in Bardiomar, S.L. and Trade Center Hotel, S.L..

The parties agreed to a price of EUR 530 million, EUR 482,000 thousand of which will be collected in 2017 and EUR 53,000 thousand of which are to mature in 2018. On 20 January 2017, the buyer met the payment of the first commitment for a sum of EUR 20 million. As a result of this transaction, and arising from the recent acquisition of the hotels (included in the Group after the business combinations with Testa Inmuebles en Renta SOCIMI, S.A. and the rental property business of Metrovacesa, S.A.) and their measurement at fair value according to IAS 40, there was not a significant gain after the sale costs.

On the other hand, as the minimum period stipulated by the SOCIMI regime has not elapsed, the Group has included the tax income from this transaction in the tax base for the 2016 year, recognising a current tax liability.

4) *Liquidation Testa American Real Estate Corporation*

During the 2016 year, the General Shareholders Meeting of Testa American Real Estate Corporation S.A., unanimously resolved to liquidate the company which was fully owned by the Group. In October 2016, the Society was declared as liquidated by a legal ruling. This operation did not give rise to a significant result on the attached consolidated income statement.

2015-

The changes in the scope of consolidation in 2015 were as follows:

Business combinations

Testa Inmuebles en Renta, SOCIMI, S.A. and subsidiaries

On 8 June 2015, the Parent and the majority shareholder of Testa Inmuebles en Renta, SOCIMI, S.A. (Sacyr, S.A.) entered into a binding agreement for the acquisition by the Parent of a majority shareholding (99.6%) in the share capital of Testa Inmuebles en Renta, SOCIMI, S.A. According to the terms of the agreement, at 31 December 2015, the Group owned an interest of 77.32% in Testa Inmuebles en Renta SOCIMI, S.A.:

- 25% acquired in the subscription of the capital increase carried out by Testa Inmuebles en Renta, SOCIMI, S.A. on 9 June 2015. The cost of this acquisition amounted to EUR 430,839 thousand. The difference between the price paid and the individual carrying amount of the cost of the investment amounted to EUR 5,774 thousand, which relates to the ordinary dividend approved by the shareholders at Testa's Annual General Meeting of 29 June 2015 and paid on 10 July 2015.
- An additional 25.1% acquired on 23 July 2015, which gave the Parent control over Testa Inmuebles en Renta, SOCIMI, S.A. at such date. This acquisition amounted to EUR 861,240 thousand.
- Acquisition on 12 August 2015 of an additional 26.913% for EUR 377,160 thousand.

In accordance with the agreement entered into with Sacyr, at 31 December 2015 the acquisition of 34,810,520 shares representing 22.61% of the share capital of Testa Inmuebles en Renta, SOCIMI, S.A. for EUR 316,840 thousand was yet to be carried out.

- On 28 October 2015, the Board of the CNMV authorised the tender offer on 100% of the share capital of Testa Inmuebles en Renta, SOCIMI, S.A., whereby 99.62% of the share capital (belonging to Merlin and Sacyr) was withdrawn from circulation until the tender offer was completed. Consequently, the offer was effectively extended to the acquisition of 581,609 shares of Testa Inmuebles en Renta, SOCIMI, S.A., representing 0.38% of its share capital. The price offered and accepted was EUR 13.54 per share for 472,527 shares representing 81.24% of the shares that were subject to the tender offer and 0.31% of its share capital. The price paid for this percentage amounted to EUR 6,398 thousand.

Testa Inmuebles en Renta SOCIMI, S.A. was the head of a group of companies whose main activity was the ownership of investment property for lease. Following the aforementioned transactions, at 31 December 2015 the Parent held 119,048,116 shares of Testa Inmuebles en Renta SOCIMI, S.A. and had a purchase commitment with Sacyr, S.A. for an additional 34,810,520 shares at a price of EUR 9.1 per share. Once this purchase is made, the Parent would have 153,858,636 shares out of a total of 153,967,718 shares (99.93%).

The Testa Group's shares were listed on the Spanish electronic trading system. At 31 December 2015, its shares were listed at EUR 12.46 per share and the average market price in the last quarter was EUR 13.23 per share.

On 28 September 2015, the shareholders at the General Shareholders' Meeting of Testa Inmuebles en Renta, SOCIMI, S.A. approved Testa's adherence to the SOCIMI tax regime as of 1 January 2015.

MPCVI – Compra e Venda Imobiliária, S.A.

On 18 March 2015, the Parent acquired 100% of the ownership interest in MPCVI – Compra e Venda Imobiliária, S.A., the share capital of which amounted to EUR 50,000, and was fully paid and represented by 10,000 shares of EUR 5 par value each.

Merlin Logística II, S.L.U. (formerly Bintan Directorship, S.L.)

On 17 April 2015, the Parent acquired 100% of the share capital of Bintan Directorship, S.L. for EUR 8,671 thousand. The share capital of Bintan amounted to EUR 100,000 and was represented by 100,000 shares of EUR 1 par value each. Merlin Logística II, S.L.U. was the owner of a logistics unit leased to a third party at the date of acquisition.

Obraser, S.A.

On 30 September 2015, the Parent acquired 100% of the share capital of Obraser, S.A., a company which owns 50% of the Arturo Soria Plaza shopping centre for EUR 36,600 thousand. Obraser's share capital amounted to EUR 601,000 and was fully paid and represented by 100,000 shares of EUR 6.01 par value each.

Companies acquired in 2015 and consideration transferred-

	Core business	Date of acquisition	Percentage of ownership acquired (voting rights)	Consideration transferred (thousands of euros)
Testa Inmuebles en Renta, S.A. and subsidiaries	Acquisition and operation of property assets for lease	23/07/2015	77.32% (a)	1,986,703 (a)
MPCVI – Compra e Venda Imobiliária, S.A.	Acquisition and development of property assets for lease	18/03/2015	100%	74
Merlin Logística II, S.L.U. (formerly Bintan Directorship, S.L.)	Acquisition and development of property assets for lease	17/04/2015	100%	8,671
Obraser, S.A.	Acquisition and development of property assets for lease	30/09/2015	100%	36,600
				2,032,048

- (a) In accordance with the purchase agreement entered into, at 31 December 2015 the Group had yet to purchase an additional 22.61% of Testa from Sacyr, S.A. for EUR 316,840 thousand. Accordingly, the aforementioned ownership interest held by Sacyr, S.A. in the equity of Testa Inmuebles en Renta, SOCIMI, S.A. at 31 December 2015 was included under "Current liabilities – Trade and other payables" in the consolidated statement of financial position, instead of under "Equity – Non-controlling interests", as it is subject to a mandatory purchase agreement at a fixed price that is not affected by the results obtained by Testa up until the date of the sale of the aforementioned shares.

The purpose of the business combinations carried out during the 2015 year was to increase the asset portfolio and comply with the Merlin Group's investment strategy with the aim of becoming one of the leading rental property groups in Spain.

The sale and purchase agreements of the aforementioned companies do not include any type of contingent consideration. The acquisition costs totalled EUR 20,196 thousand and were recognised under "Other operating expenses" in the accompanying consolidated income statement for 2015.

- *Testa Inmuebles en Renta, S.A. and subsidiaries*

	Thousands of euros		
	Carrying Value	Adjustment of Value	Fair Value
Intangible assets	46,353	73,796	120,149
Investment property	2,013,812	1,006,948	3,020,760
Investments accounted for using the equity method	30,643	12,840	43,483
Other non-current assets	41,088	1	41,089
Deferred tax assets	16,610	-	16,610
Current assets	233,022	-	233,022
Non-current liabilities	(1,533,618)	(224,667)	(1,758,285)
Current liabilities	(223,610)	-	(223,610)
Total net assets	624,300	868,918	1,493,218
Consideration transferred			1,986,703
Value assigned to non-controlling interests			1,217
Goodwill			494,702
Impairment of goodwill			(224,667)
Goodwill (Note 7)			270,035

The Parent's directors initially (it later became definitive) allocated the cost of the business combination by provisionally estimating that the difference between the cost of the business combination and the fair value of the net assets acquired amounted to EUR 270,035 thousand. This estimate has not been modified in 2016.

To estimate the fair value of the net assets of Testa Inmuebles en Renta, SOCIMI, S.A., the Parent used the valuations of the acquired assets (mainly real estate assets) carried out by independent experts. As a result of these appraisals, the value of Testa's assets was adjusted by EUR 1,093,585 thousand. The tax effect estimated by the Parent's directors associated with the recognition of the aforementioned increase in value amounted to approximately EUR 224,667 thousand, which would mean increasing the goodwill detailed in the paragraph above by the same amount.

In accordance with current expectations regarding changes in the real estate market and the business plans drawn up for the acquisition of Testa Inmuebles en Renta, SOCIMI, S.A., the Parent's directors considered that the real estate assets acquired will increase in value over the coming years and will absorb the goodwill in the amount of EUR 270,035 thousand. However, when assessing the goodwill arising from the tax effect of assigning the value (EUR 224,667 thousand), the Parent's directors did not consider its recovery to be sufficiently evidenced and, therefore, have followed a conservative approach and have adjusted the business combination, recognising a loss that was included under "Impairment of goodwill" in the accompanying consolidated income statement for 2015.

- *MPCVI – Compra e Venda Imobiliária, S.A.*

	Thousands of euros		
	Carrying Value	Adjustment of Value	Fair Value
Current assets	7	-	7
Current liabilities	(26)	-	(26)
Total net assets	(19)	-	(19)
Consideration transferred			74
Loss incurred in the business combination			(93)

- *Merlin Logística II, S.L.U.*

	Thousands of euros		
	Carrying Value	Adjustment of Value	Fair Value
Investment property	15,787	6,423	22,210
Other financial assets	229	-	229
Current assets	403	-	403
Non-current liabilities	(13,098)	(191)	(13,289)
Current liabilities	(884)	-	(884)
Total net assets	2,477	6,232	8,709
Consideration transferred			8,671
Gain obtained in business combination			38

Investment property has been measured at fair value. The only asset of the acquiree is a logistics unit in the Meco industrial park (Madrid), the appraisal value of which at the time of purchase was EUR 22,210 thousand according to an independent appraiser.

The valuation adjustment to non-current liabilities of EUR 191 thousand corresponded to the deferred tax asset associated with the valuation adjustment of investment property. The Parent estimated this amount taking into account that the acquiree is a SOCIMI, estimating the tax rate applicable to the gain.

- Obraser, S.A.

	Thousands of euros		
	Carrying Value	Adjustment of Value	Fair Value
Investment property	6,052	29,694	35,746
Other financial assets	124	-	124
Deferred tax assets	14	-	14
Current assets	3,306	-	3,306
Non-current liabilities	-	(6,666)	(6,666)
Current liabilities	(3,054)	-	(3,054)
Total net assets	6,442	23,028	29,470
Consideration transferred			36,600
Loss incurred in the business combination			(7,130)

Investment property was measured at fair value (50% of the premises in the Arturo Soria Plaza shopping centre). The fair value was obtained from the appraisal carried out by an independent expert on the date of the purchase. The valuation adjustment to non-current liabilities of EUR 6,666 thousand corresponded to the deferred tax liability associated with the revaluation of the investment property. The Parent estimated this amount taking into account that the acquiree is a SOCIMI, estimating the tax rate applicable to gains arising on the purchase date. The difference between the fair value of the net assets acquired and the consideration transferred was taken to the consolidated income statement for 2015.

The fair value of the receivables acquired in the business combinations, which are mainly trade receivables, was EUR 9,953 thousand and did not differ from the gross contractual amounts. The Parent's directors did not consider there to be any indications at the date of acquisition that these receivables would not be collected in full. The detail, by company, is as follows:

	Thousands of euros
Testa Inmuebles en Renta, SOCIMI, S.A. and subsidiaries	9,912
MPCVI – Compra e Venda Imobiliária, S.A.	5
Merlin Logística II, S.L.U.	35
Obraser, S.A.	1
	9,953

The net profit and income generated by the acquired businesses in 2015 and included in the consolidated income statement for 2015 amounted to:

	Thousands of euros	
	Net Profit/(Loss)	Income
Testa Inmuebles en Renta, SOCIMI, S.A. and subsidiaries	(177,823)	79,615
MPCVI – Compra e Venda Imobiliária, S.A.	1,295	790
Merlin Logística II, S.L.U.	2,591	1,007
Obraser, S.A.	(5,912)	-
	(179,849)	81,412

Had the two businesses been acquired in 2015, net profit would have increased by EUR 36,872 thousand and the revenue contributed to the Group would have been approximately EUR 82,767 thousand higher compared to the figures in the 2015 consolidated financial statements.

When calculating these amounts, the directors considered that the revenue generated and expenses incurred between 1 January 2015 and the acquisition date, along with the acquisition costs, do not vary.

Net cash flow from acquisitions from 2015:

	Thousands of euros				
	Testa Inmuebles En Renta, S.A.	MPCVI – Compra e Venda Imobiliária, S.A.	Merlin Logística II, S.L.U.	Obraser, S.A.	Total
Cash paid	1,669,863	74	8,671	36,600	1,715,208
Less: cash and cash equivalents	(189,283)	(2)	(368)	(441)	(190,094)
Total	1,480,580	72	8,303	36,159	1,525,114

Other changes which took place in 2015

MPEP - Properties Escritórios Portugal, S.A

On 6 March 2015, the Parent incorporated MPEP - Properties Escritórios Portugal, S.A., with a share capital of EUR 50,000, divided into 50,000 ordinary shares of EUR 1 par value each. This share capital was contributed in full by Merlin Properties SOCIMI, S.A. and, therefore, is wholly owned thereby.

Centro Intermodal de Logística, S.A. (CILSA)

On 22 October 2015, Merlin Properties SOCIMI, S.A. acquired a 32% shareholding in CILSA for a total of EUR 56,638 thousand. CILSA (Centro Intermodal de Logística, S.A.) is the company that manages the port concession of the logistics activity area of the Port of Barcelona. Following the acquisition, 63% of CILSA was owned by the Barcelona Port Authorities, 32% by the Parent and 5% by Entidad Pública Empresarial de Suelo (SEPES) (see Note 11).

4. Distribution of the profit of the Parent

The distribution of profit proposed by the Parent's directors for approval by its shareholders at the Annual General Meeting is as follows:

	Thousands of euros
Profit/(Loss) for the year	118,966
Distribution:	
Legal reserve	11,897
Interim dividend	59,759
Dividends	47,310

Interim dividend

On 19 October 2016, the Parent's Board of Directors resolved to distribute EUR 59,759 thousand as an interim dividend with a charge to profit/(loss) for 2016. This interim dividend was paid to shareholders prior to 29 October 2016.

The provisional accounting statement prepared in accordance with legal requirements evidencing the existence of sufficient liquidity for the distribution of the dividends was as follows:

	Thousands of Euros
Profit before tax at 30 September 2016	111,279
Less: required transfer to the legal reserve	(11,128)
Profit that may be distributed with a charge to income for 2016	100,151
Interim dividend to be distributed	59,759
Forecast of cash for the period from 30 September 2016 to 30 September 2017:	
- Cash balance at 30 September 2016	292,266
- Projected proceeds	692,641
- Projected payments, including the interim dividend.	(893,817)
Projected cash balance	91,090

Other dividends distributed

On 6 April 2016, the Annual General Meeting approved the distribution of the profit for the 2015 year, amounting to EUR 1,838 thousand, paid to shareholders prior to 27 April 2016. In addition, it was approved the distribution of an additional dividend charged to the share premium for EUR 33,145 thousand.

Additionally, on 15 September 2016, the Extraordinary General Meeting also approved the distribution of an additional dividend amounting to EUR 6,461 thousand charged to available reserves.

5. Accounting policies

The main accounting policies and measurement bases applied in preparing the Group's consolidated financial statements, which comply with the IFRSs in force at the date thereof, are as follows:

5.1 Goodwill on consolidation

Goodwill is calculated as the excess of the aggregate of the consideration transferred, any non-controlling interests, and the fair value of any previously acquired interest less the net identifiable assets acquired measured at fair value.

In determining the aforementioned fair value the Group:

1. Allocates cost to specific assets and liabilities of the companies acquired, increasing the carrying amount at which they were recognised in the statements of financial position of the companies acquired up to the limit of their market values.
2. If a cost is attributable to specific intangible assets, it is recognised explicitly in the consolidated statements of financial position provided that the market value at the date of acquisition can be measured reliably.
3. If the costs assigned differ from their values for tax purposes, the related deferred tax is recognised.

Goodwill is only recognised when it has been acquired for consideration.

If a cash-generating unit is sold, the amount attributed to goodwill is included in determining the profit or loss from the sale.

Goodwill is not amortised. However, at the end of each reporting period or whenever there is any indication of a decline in value, the Group tests the goodwill for impairment to determine whether there is any indication that the goodwill has suffered a permanent loss of value that has reduced the recoverable amount thereof to below its carrying amount. If there is any impairment, the goodwill is written down and the impairment loss is recognised. An impairment loss recognised for goodwill must not be reversed in a subsequent period.

All goodwill is allocated to one or more cash-generating units. The recoverable amount of each cash-generating unit is the higher of value in use and the net selling price of the assets associated with the cash-generating unit. The value in use is calculated according to the methodology described Notes 5.4 and 7.

5.2 Intangible assets

This heading includes computer software and intangible assets relating to concession projects. They are recognised at acquisition or production cost less any accumulated amortisation and any accumulated impairment losses. And intangible asset is recognised if and only if it is probable that it will generate future economic benefits for the Group and that its cost may be measured reliably.

The gains or losses arising from the derecognition of an intangible asset are calculated as the difference between the net profit obtained on the sale and the carrying amount of the asset, and are recognised in the consolidated income statement when the asset is derecognised.

Computer software

“Computer software” includes the amount of computer programs acquired from third parties, and exclusively in those cases in which they are expected to be used over several years. Computer software is amortised over its useful life, which is normally four years.

Concession projects

This heading includes administrative concessions which are recognised at acquisition or production cost less any accumulated amortisation and any accumulated impairment losses.

Administrative concessions are recognised at the amount paid by the Group in operating fees and are amortised on a straight-line basis over the years of the concession.

The gains or losses arising from the derecognition of a concession project are calculated as the difference between the net profit obtained on the sale and the carrying amount of the asset, and are recognised in the consolidated income statement when the asset is derecognised.

5.3. Investment property

Investment property comprises buildings under construction and development for use as investment property, which are partially or fully held to generate revenue, profits or both, rather than for use in the production or supply of goods or services, or for the Group’s administrative purposes or sale in the ordinary course of business.

All assets classified as investment property are occupied by various tenants. These properties are earmarked for leasing to third parties. The Parent's directors do not plan to dispose of these assets in the near future and have therefore decided to recognise them as investment property in the consolidated statement of financial position.

Investment property is carried at fair value at the reporting date and is not depreciated. Investment property includes land, buildings or other constructions held to earn rentals or for the obtainment of gains on the sale as a result of future increases in the respective market prices.

Gains or losses arising from changes in the fair value of investment property are included in the income statement for the year in which they arise.

While construction work is in progress, the costs of construction work and finance costs are capitalised. The aforementioned assets are recognised at fair value when they become operational.

In accordance with IAS 40, the Group periodically determines the fair value of its investment property so that the fair value reflects the actual market conditions of the investment property items at that date. This fair value is determined each year based on the appraisals undertaken by independent experts.

The market value of the Group's investment property at 31 December 2016, calculated on the basis of appraisals carried out by Savills and CBRE, independent appraisers not related to the Group, amounted to EUR 9,027,184 thousand euros (see Note 9).

5.4 Impairment of property, plant and equipment and intangible assets

At the end of each reporting period, the Group reviews the carrying amounts of its items of property, plant and equipment and intangible assets to determine whether there is any indication that those assets are impaired. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where the asset itself does not generate cash flows that are independent from other assets, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Where an impairment loss subsequently reverses, the carrying amount of the asset (cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (cash-generating unit) in prior years.

5.5 Investments accounted for using the equity method

At 31 December 2016, this heading in the consolidated statement of financial position included the amount corresponding to the percentage of shareholders' equity of the investee relating to the Parent and accounted for using the equity method. In addition, and after accounting for these investments using the equity method, the Group decides whether or not an additional impairment loss needs to be recognised with regard to the Group's net investment in the associate.

5.6 Leases

5.6.1 Classification of leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the Group, which usually has the option to purchase the assets at the end of the lease under the terms agreed upon when the lease was arranged. All other leases are classified as operating leases.

5.6.2 Accounting of lessor

Operating leases

Assets leased to third parties under operating leases are recognised according to their nature.

Rental income from operating leases is recognised in the consolidated income statement on a straight-line basis over the term of the lease, net of any incentives granted.

Contingent payments from operating leases are recognised in the consolidated income statement when it is probable that they will be collected, which generally occurs when the conditions stipulated in the lease agreement are fulfilled.

5.6.3 Accounting of lessor

Finance leases

At the commencement of the lease term, the Group recognises finance leases in the consolidated statement of financial position at amounts equal to the fair value of the leased asset or, if lower, the present value of the minimum lease payments. To calculate the present value of the lease payments the interest rate stipulated in the finance lease is used.

The cost of assets acquired under finance leases is presented in the consolidated statement of financial position on the basis of the nature of the leased asset. These assets relate in full to investment property and are measured in accordance with that established in Note 5.3.

Finance charges are recognised over the lease term on a time proportion basis.

Operating leases

Lease payments under an operating lease, net of any incentives received, are recognised as an expense on a straight-line basis over the term of the lease unless another systematic basis is more representative of the time pattern of the benefits of the lease.

The Group expenses the initial costs directly incurred under the operating leases as they are incurred. Contingent payments on operating leases are expensed when it is probable that they will be incurred.

5.7 Financial Instruments

Financial instruments are classified upon initial recognition as financial assets, financial liabilities or equity instruments, in accordance with the economic reality of the contractual arrangement and the definitions of a financial asset, financial liability and equity instrument given in IAS 32 "Financial Instruments": Presentation".

Financial instruments are recognised when the Group becomes a party to the contractual provisions of the instrument.

For measurement purposes, financial instruments are classified as financial assets or liabilities at fair value through profit or loss, separating those initially classified as held for trading, loans and receivables, held-to-maturity investments, available-for-sale financial assets and financial liabilities at amortised cost. Financial instruments are classified in these categories depending on their nature and the Group's intentions at the time of initial recognition.

Financial assets

Financial assets are recognised in the consolidated statement of financial position on acquisition and are initially recognised at fair value. The financial assets held by Group companies are classified as:

1. Loans and receivables are initially recognised at the fair value of the consideration given, plus any directly attributable transaction costs and are subsequently measured at amortised cost. The Group has recognised provisions to cover uncollectibility risks. These provisions are calculated according to the probability of recovery of the debt based on age thereof and the debtor's solvency. At 31 December 2016, the fair value of these assets was not materially different from their value in the consolidated statement of financial position.
2. Financial assets held for trading are measured at fair value and the gains or losses arising from changes in fair value are recognised in the consolidated income statement. The fair value of a financial instrument on a given date is taken to be the amount for which it could be bought or sold on that date by two knowledgeable, willing parties in an arm's length transaction acting prudently.
3. Held-to-maturity investments: assets with fixed or determinable payments and fixed maturity. The Group has the positive intention and ability to hold them from the date of purchase to the date of maturity.

4. Available-for-sale financial assets: these relate to equity investments that do not meet the requirements included in IFRSs for treatment as an investment in a subsidiary, associate or joint venture. They are recognised in the consolidated statement of financial position at fair value. Gains and losses from changes in fair value are recognised directly in equity until the asset is disposed of or it is determined that it has become impaired, at which time such gains or losses are taken directly to the consolidated income statement.

At least at each reporting date the Group tests financial assets not measured at fair value through profit or loss for impairment. Objective evidence of impairment is considered to exist when the recoverable amount of the financial asset is lower than its carrying amount. When this occurs, the impairment loss is recognised in the consolidated income statement.

The Group derecognises a financial asset when it expires or when the rights to the cash flows from the financial asset have been transferred and substantially all the risks and rewards of ownership of the financial asset have been transferred. However, the Group does not derecognise financial assets, and recognises a financial liability for an amount equal to the consideration received, in transfers of financial assets in which substantially all the risks and rewards of ownership are retained.

Financial liabilities

The main financial liabilities held by the Group companies are held-to-maturity financial liabilities, which are measured at amortised cost. The financial liabilities held by the Group companies are classified as:

1. Bank loans and other borrowings: loans from banks and other lenders are recognised at the amount received, net of any transaction costs, and are subsequently measured at amortised cost. Finance costs are recognised on an accruals basis in the consolidated income statement using the effective interest method and are added to the carrying amount of the financial liability to the extent that they are not settled in the year in which they arise.
2. Trade and other payables: trade payables are initially recognised at fair value and are subsequently measured at amortised cost using the effective interest method.

The Group derecognises financial liabilities when the obligations giving rise to them cease to exist.

5.8 Derivative financial instruments and hedge accounting

The Group uses derivative financial instruments to hedge the risks to which its future activities, transactions and cash flows are exposed. These risks are mainly due to changes in interest rates and inflation. Among the various transactions, the Group uses certain financial instruments as economic hedges.

In order for these financial instruments to qualify for hedge accounting, they are initially designated as such and the hedging relationship is documented. The Group also verifies the effectiveness of the hedge initially, and subsequently on a period basis over the term of the hedge (at least at the end of each reporting period). A hedge is effective if it is expected, prospectively, that the changes in the cash flows from the hedged item (attributable to the hedged risk) are almost entirely offset by the changes in the cash flows of the hedging instrument and that, retrospectively, the gains or losses on the hedge have fluctuated within a range of 80 to 125% of gains or losses on the hedged item.

Financial derivatives are initially recognised at cost in the consolidated statement of financial position, and the required valuation adjustments are subsequently made to reflect their fair value at all times. Increases in value are recognised under "Non-current financial assets - Derivatives" and "Other current financial assets - Derivatives" and reductions in value under "Non-current and current bank borrowings - Derivatives" in the consolidated statement of financial position. Gains and losses from fair value changes are recognised in the consolidated income statement, unless the derivative has been designated and is highly effective as a hedge, in which case it is recognised as follows:

- Cash flow hedges: in hedges of this nature, the portion of the gain or loss on the hedging instrument that has been determined to be an effective hedge is recognised temporarily in equity and is recognised in the income statement in the same period during which the hedged item affects profit or loss, unless the hedge relates to a forecast transaction that results in the recognition of a non-financial asset or a non-financial liability, in which case the amounts recognised in equity are included in the initial cost of the asset or liability when it is acquired or assumed.

- Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated or exercised, or no longer qualifies for hedge accounting. At that time, any cumulative gains or losses on the hedging instrument recognised in equity are retained in equity until the forecast transaction occurs. If a hedged transaction is no longer expected to occur, the net cumulative gain or loss recognised in equity is transferred to net profit or loss for the year.

Derivatives embedded in other financial instruments or other host contracts are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contracts and provided that the host contracts are not measured at fair value by recognising changes in fair value in the consolidated statement of comprehensive income.

The fair value of the derivative financial instruments is calculated using the valuation techniques described in Note 5.9 below.

5.9 Valuation techniques and applicable assumptions to measure fair value

The fair value of financial assets and liabilities is calculated as followed:

- The fair value of financial assets and liabilities with standard terms and conditions and that are traded on active, liquid markets is calculated by reference to prices quoted in the market.
- The fair value of financial assets and liabilities (except derivative instruments) is calculated in accordance with the generally accepted valuation models on the basis of discounted cash flows using the prices of observable market transactions and the contributor prices of similar instruments.
- The fair value of interest rate swaps is calculated by discounting future settlements between fixed and floating interest rates to their present value, in line with implicit market interest rates, obtained from long-term interest rate swap curves. Implicit volatility is used to calculate the fair values of caps and floors using option valuation models.

Consideration must be given when valuing financial derivative instruments that the derivative must also effectively offset the exposure inherent to the hedged item or position throughout the expected term of the hedge, and there must be adequate documentation evidencing the specific designation of the financial derivative to hedge certain balances or transactions and how this effectiveness was intended to be achieved and measured. Moreover, pursuant to IFRS 13 and due to the inherent risk, the credit risk of the parties to the contract (both their own risk and that of the counterparty) must be included in the valuation of the derivatives. The Group applied the discounted cash flow method, considering a discount rate affected by the Merlin Group's own credit risk.

Financial instruments measured subsequent to initial recognition at fair value are grouped into levels 1 to 3 based on the degree to which the fair value is observable:

- Level 1: those measured using quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: those measured using inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: those measured using valuation techniques, including inputs for the asset or liability that are not based on observable market data (non-observable inputs).

The Group's financial assets and liabilities measured at fair value were as follows at 31 December 2016:

2016

	Thousands of euros			
	Level 1	Level 2	Level 3	Total
Derivative liability financial instruments (Note 17.2)	-	(73,902)	-	(73,902)
Embedded derivatives (Note 13)	-	207,182	-	207,182
	-	133,280	-	133,280

2015

	Thousands of euros			
	Level 1	Level 2	Level 3	Total
Derivative liability financial instruments (Note 17.2)	-	(48,749)	-	(48,749)
Embedded derivatives (Note 13)	-	194,767	-	194,767
	-	146,018	-	146,018

Note 9 also provides information on calculating the fair value of investment property in accordance with the valuation techniques described in said note.

5.10 Non-current assets held for sale and associated liabilities

Non-current assets classified as held for sale are recovered mainly through their sale rather than through continuing use.

An asset is classified as a non-current asset classified as held for sale when Group management is committed to a plan to sell the asset, the sale is considered to be highly probable and an active programme to locate a buyer and complete the plan have been initiated. Further, the asset must be actively marketed for sale at a price that is reasonable in relation to its current fair value. The sale must be expected to be completed within one year from the date of classification. The liabilities directly associated with the assets classified as held for sale that will be transferred in the transaction are also classified. Any liabilities retained by the seller will not be included in the liabilities to be classified as held for sale.

Initial recognition

Non-current assets classified as held for sale are measured at the lower of carrying amount and fair value less costs to sell.

In addition, any impairment will be determined when the assets are classified as a non-current asset classified as held for sale and the related impairment loss are recognised.

Subsequent measurement

While an asset is classified as a non-current asset held for sale, It is not depreciated but rather the appropriate valuation adjustments are made to ensure that the carrying amount is not higher than fair value less costs to sell.

When the criteria required for classifying an asset as held for sale are no longer met, the asset is reclassified under the balance sheet heading corresponding to its nature and is measured at the reclassification date at the lower of its carrying amount prior to its classification as a non-current asset held for sale adjusted, if appropriate, by the amortisation and depreciation charge and impairment losses which would have been recognised had it not been classified as held for sale, and its recoverable amount. Any difference is recognised in the statement of profit and loss in accordance with its nature.

The impairment losses on non-current assets classified as held for sale, and the reversal thereof when the circumstances giving rise to them cease to exist, are recognised in profit or loss, unless they have to be recognised directly in equity based on the general criteria applicable to the assets in their specific rules.

5.11. Equity instruments

An equity instrument is a contract that evidences a residual interest in the assets of the Parent after deducting all of its liabilities.

Capital instruments issued by the Parent are recognised in equity at the proceeds received, net of issue costs.

The Parent's equity instruments acquired by the Group are recognised separately at cost and deducted from equity in the consolidated statement of financial position, regardless of why they were acquired. No gains or losses from transactions involving own equity instruments are recognised in the consolidated income statement.

If the Parent's own equity instruments are subsequently retired, capital is reduced by the nominal amount of these treasury shares and the positive or negative difference between the acquisition price and nominal amount of the shares is debited from or credited to reserves.

Transaction costs related to own equity instruments, are recognised as a deduction from equity, once the tax effect is considered.

5.12 Shareholder remuneration

Dividends are paid in cash and recognised as a reduction in equity when the pay-outs are approved by shareholders at the Annual General Meeting.

The Parent is subject to the special regime for SOCIMIs. As established in Article 6 of Law 11/2009, of 26 October, amended by Law 16/2012, of 27 December, the SOCIMIs opting to pay tax under the special tax regime are required to distribute the profit generated during the year to shareholders as dividends. Once the corresponding commercial obligations have been fulfilled, said distribution must be agreed within six months from year end, and the dividends paid within 30 days from the date on which the pay-out is agreed.

Moreover, as specified in Law 11/2009, of 26 October, amended by Law 16/2012, of 27 December, the Parent must distribute the following as dividends:

- 100% of the profit from dividends or shares in profits distributed by the entities referred to in Section 1, Article 2 of Law 11/2009.
- At least 50% of the profits arising from the transfer of the properties, shares or ownership interests referred to in Section 1, Article 2 of Law 11/2009, of 26 October, subsequent to expiry of the time limits referred to in Section 3, Article 3 of Law 11/2009, which are used for pursuit of the entities' principal corporate purpose. The remainder of these profits must be reinvested in other property or investments used for the pursuit of said activity within three years after the transfer date. Otherwise these profits should be distributed in full together with any profit arising in the year in which the reinvestment period expires. If the items to be reinvested are transferred prior to the end of the holding period, that profit must be distributed in full together with, if applicable, the profit generated during the year in which the items were transferred. The obligation to distribute profit does not apply to the portion of the profit attributable to prior years in which the Company was not included under the special tax regime established in this Law.
- At least 80% of the remaining profits obtained. When dividend distributions are charged to reserves generated from profits in a year in which the special tax regime applied, the distribution must necessarily be approved as set out above.

5.13 Cash and cash equivalents

The Group includes under this heading cash and short-term highly liquid investments maturing in less than three months that are readily convertible to cash and which are subject to an insignificant risk of changes in value. The interest income associated with these transactions is recognised as income when accrued while unmatured interest

is presented in the consolidated statement of financial position as an addition to the balance of the aforementioned heading.

5.14 Provisions

When preparing the consolidated financial statements the Parent's directors made a distinction between:

- Provisions: credit balances covering present obligations arising from past events with respect to which it is probable that an outflow of resources embodying economic benefits that is uncertain as to its amount and/or timing will be required to settle the obligations; and
- Contingent liabilities: possible obligations that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more future events not wholly within the Group's control.

The consolidated financial statements include all the provisions with respect to which it is likely that the obligation will have to be settled. Contingent liabilities are not recognised in the consolidated financial statements but rather are disclosed in the notes to the consolidated financial statements, unless the possibility of an outflow in settlement is considered to be remote.

Provisions are measured at the present value of the best possible estimate of the amount required to settle or transfer the obligation, taking into account the information available on the event and its consequences. Where discounting is used, adjustments made to provisions are recognised as finance cost on an accrual basis.

The compensation receivable from a third party on settlement of the obligation is recognised as an asset, provided there is no doubt that the reimbursement will take place, unless there is a legal relationship whereby a portion of the risk has been externalised, as a result of which the Group is not liable, in which case, the compensation will be taken into account when estimating, if appropriate, the amount of the related provision.

5.15 Recognition of revenue

Revenue and expenses are recognised on an accrual basis, i.e. when the actual flow of the related goods and services occurs, regardless of when the resulting monetary or financial flow arises. Rental income is measured at the fair value of the consideration received, net of discounts and taxes.

Discounts (rent waivers and rebates) granted to lessees are recognised as a reduction in rental income when it is probable that conditions precedent will be fulfilled requiring them to be granted.

Discounts are recognised by expensing the total rent waiver or rebate on a straight-line basis over the term of the lease agreement in force. If a lease agreement is cancelled earlier than expected, any outstanding rent waiver or rebate is recognised in the last period prior to the end of the agreement.

Leasing of investment property to third parties

The Group companies' principal activity comprises the acquisition and leasing of primarily shopping malls, logistics units and offices. The Group's ordinary income is generated from the leasing of this investment property to third parties.

Ordinary income from the leasing of investment property is recognised taking into account the stage of completion of the transaction at the reporting date, provided the result of the transaction can be reliably estimated. Income from the Group's leases is recognised by Group companies on a monthly basis pursuant to the conditions and amounts agreed with the lessees in the various agreements. This income is only recognised when it can be measured reliably and it is probable that the economic benefits from the lease will be received.

Where the outcome of services rendered cannot be measured reliably, revenue is recognised to the extent that the expenses incurred are deemed recoverable.

Service charges rebilled to lessees are recognised net of other operating expenses.

5.16 Income tax

5.16.1 General regime

Tax expense (tax income) comprises current tax expense (current tax income) and deferred tax expense (deferred tax income).

The current income tax expense is the amount payable by the Group as a result of income tax settlements for a given year. Tax credits and other tax benefits, excluding tax withholdings and pre-payments, and tax loss carryforwards from prior years effectively offset in the current year reduce the current income tax expense.

The deferred tax expense or income relates to the recognition and derecognition of deferred tax assets and liabilities. These include temporary differences measured at the amount expected to be payable or recoverable on differences between the carrying amounts of assets and liabilities and their tax bases, and tax loss and tax credit carryforwards. These amounts are measured at the tax rates that are expected to apply in the period when the asset is realised or the liability is settled.

Deferred tax liabilities are recognised for all taxable temporary differences, unless the temporary difference arises from the initial recognition of goodwill, goodwill for which amortisation is not deductible for tax purposes or the initial recognition of other assets and liabilities in a transaction that affects neither accounting profit (loss) nor taxable profit (tax loss).

Deferred tax assets are recognised for temporary differences to the extent that it is considered probable that the consolidated companies will have sufficient taxable profits in the future against which the deferred tax asset can be utilised, and the deferred tax assets do not arise from the initial recognition of other assets and liabilities in a transaction that affects neither accounting profit (loss) nor taxable profit (tax loss). The other deferred tax assets (tax loss carryforwards, temporary differences and tax credit carryforwards) are only recognised if it is considered probable that the consolidated companies will have sufficient future taxable profits against which they can be utilised.

The deferred tax assets recognised are reassessed at the end of each reporting period and the appropriate adjustments are made to the extent that there are doubts as to their future recoverability. Also, unrecognised deferred tax assets are reassessed at the end of each reporting period and are recognised to the extent that it has become probable that they will be recovered through future taxable profits.

5.16.2 SOCIMI regime

The SOCIMI special tax regime, as amended by Law 16/2012 of 27 December, is based on a 0% corporate income tax rate, provided certain requirements are met. Particularly noteworthy amongst those conditions is that at least 80% of income must come from urban real estate used for leasing purposes and acquired in full ownership or through holdings in companies that comply with the same investment and dividend distribution requirements, whether foreign or Spanish, and whether or not they are quoted in organized markets. Likewise, the main sources of income for these entities must come from the real estate market, either through leasing the properties, their subsequent sale after a minimum lease period, or the income generated from holdings in entities with similar characteristics. Nevertheless, tax is accrued in proportion to dividend distributions. Dividends received by the shareholders are exempt, unless the recipient is a legal person subject to corporate income tax or a permanent establishment of a foreign entity, in which case a deduction in the tax liability is established, so that these earnings are taxed at the shareholder's rate. However, the remaining earnings shall not be taxed so long as they are not distributed to shareholders.

As established in Transitional Provision Nine of Law 11/2009, of 26 October, amended by Law 16/2012, of 27 December, which regulate SOCIMIs, the entity will be subject to a special tax rate of 19% on the total dividends or profit shares distributed to shareholders with a shareholding in the entity of 5% or more, when these dividends are exempt or taxed at a rate below 10% in the shareholders. The Group has therefore established the procedure guaranteeing confirmation by shareholders of their tax rate, proceeding where applicable, to withhold 19% of the dividend distributed to shareholders that do not meet the aforementioned tax requirements.

5.17 Share-based payments

The Parent recognises, on the one hand, the goods and services received as an asset or as an expense, depending on their nature, when they are received and, on the other, the related increase in equity, if the transaction is equity-settled, or the related liability if the transaction is settled with an amount based on the value of the equity instruments.

In the case of equity-settled transactions, both the services rendered and the increase in equity are measured at the fair value of the equity instruments granted, by reference to the grant date. In the case of cash-settled share-based payments, the goods and services received and the related liability are recognised at the fair value of the latter, by reference to the date on which the requirements for recognition are met.

At 31 December 2016, the Parent had a commitment to award a variable annual bonus to the management team as determined by the Appointments and Remuneration Committee, linked to the Parent's shares, since senior management is remunerated based on the returns obtained by the Group's shareholders (the "Management Stock Plan").

The Group must therefore exceed the following thresholds before members of senior management are entitled to shares under the Management Stock Plan:

- The annual shareholder return will have to be above 8%. The annual return for shareholders is calculated as the sum of any fluctuation in the Group's EPRA NAV over the year minus the net funds obtained from shares issued during the year, plus the dividends distributed during the year.
- The sum of (i) the Merlin Group's EPRA NAV at 31 December of that year and (ii) the total dividends (or any other form of remuneration or payment to shareholders) which may have been distributed that year or in any previous year since the last year in which payment of the Management Stock Plan was authorised, will have to be higher than the larger of the two following amounts: (a) the initial EPRA NAV (initial EPRA NAV being considered to be net funds obtained by the Company as a result of the offering and admission to trading of its shares), and (b) the EPRA NAV at 31 December (with the adjustments arising from excluding the net funds from any issue of ordinary shares performed that year) of the last year in which it was authorised to pay the Management Stock Plan. This excess is referred to as the High Watermark Outperformance and represents the amount over and above the last EPRA NAV that gave rise to entitlement to shares under the Management Stock Plan.

Once both thresholds are reached, the amount to be allocated to the Management Stock Plan for the year (the bonus) will be the lesser of the following:

- (x) 6% of the annual shareholder return once this exceeds 8%, and 9% of the shareholder return if the annual shareholder return is over 12%; or
- (y) 16% of the High Watermark Outperformance.

According to the terms of the plan, members of the Senior Management will have to remain in the Group and provide their services for a period of 3 years, and they will receive their stock in the 5th year.

5.18 Employee commitments

Under current employment legislation, the Group companies are required to pay termination benefits to employees terminated under certain conditions.

The Group's policy is to allocate the provisions to meet future payments at the point at which the restructuring plan is approved by the Directors, made public and the employees are informed. These provisions are calculated in accordance with the best estimates available of foreseeable costs.

On 31 December 2016, the Group has a commitment for an Employment Regulation Plan announced on 20 of December, 2016 and which affects 52 employees. On 31 December 2016, the "Trade and other payables" item in liabilities of the consolidated balance sheet includes a provision of EUR 4,392 euros for meeting the commitment yet to be paid.

5.19 Current assets and liabilities

The Group classifies its assets and liabilities as current and non-current in the consolidated statement of financial position. To this end, current assets and current liabilities are those that meet the following criteria:

- Assets are classified as current when they are expected to be realised, or are intended for sale or consumption, during the course of the Group's normal operating cycle, when they are held primarily for the

purpose of being traded, when they are expected to be realised within twelve months after the reporting date, or when they constitute cash or a cash equivalent, unless they are restricted from being exchanged or used to settle a liability for at least twelve months after the reporting date.

- Liabilities are classified as current when they are expected to be settled during the course of the Group's normal operating cycle, when they are held primarily for the purpose of being traded, when they are expected to be settled within twelve months after the reporting date, or when the Group does not have an unconditional right to defer repayment of the liability for at least twelve months after the reporting date.
- Derivative financial instruments not held for trading are classified as current or non-current according to the period of maturity or periodic settlement.

5.20 Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenue and incur expenses, whose results from operations are reviewed regularly by the Group's highest operating decision-making body to determine how resources should be allocated to the segment and assess its performance, for which separate financial information is available.

5.21 Earnings per share

Basic earnings per share are calculated by dividing net profit or loss attributable to the Parent by the weighted average number of ordinary shares outstanding during the year, excluding the average number of shares of the Parent held by the Group companies.

5.22 Environment

The Group carries out activities whose primary purpose is to prevent, mitigate or repair environmental damage caused by its operations.

Expenses incurred in connection with these environmental activities are recognised as other operating expenses in the year in which they are incurred. However, because of their nature, the Group's business activities do not have a significant environmental impact.

5.23 Consolidated statements of cash flows

The following terms are used in the consolidated statements of cash flows (prepared using the indirect method) with the meanings specified:

1. Cash flows: inflows and outflows of cash and cash equivalents, which are short-term, highly liquid investments that are subject to an insignificant risk of changes in value.
2. Operating activities: the principal revenue-producing activities of the entities composing the consolidated Group and other activities that are not investing or financing activities.
3. Investing activities: the acquisition and disposal of long-term assets and other investments not included in cash and cash equivalents.
4. Financing activities: activities that result in changes in the size and composition of the equity and liabilities that are not operating activities.

6. Segment reporting

a) Basis of segmentation

Group management has segmented its activities into the business segments detailed below according to the type of assets acquired and managed:

- Office buildings

- High Street retail assets
- Shopping centres
- Logistics assets
- Other.

Any revenue or expense that cannot be attributed to a specific line of business or relate to the entire Group are attributed to the Parent as a "Corporate unit/Other", as are the reconciling items arising from the reconciliation of the result of integrating the financial statements of the various lines of business (prepared using a management approach) and the Group's consolidated financial statements.

The profits of each segment, and each asset within each segment, are used to measure performance as the Group considers this information to be the most relevant when evaluating the segments' results compared to other groups operating in the same businesses.

The Group carried out its business activities mainly in Spain and Portugal in the year ended 31 December 2016.

b) Basis and methodology for business segment reporting

The segment information below is based on monthly reports prepared by Group management and is generated using the same computer application that prepares all the Group's accounting information. The accounting policies applied to prepare the segment information are the same as those used by the Group, as described in Note 5.

Segment revenue relates to ordinary revenue directly attributable to the segment plus the relevant proportion of the Group's general income that can be allocated on a reasonable basis to that segment. Ordinary revenue of each segment does not include interest or dividend income, gains on the disposal of investment property, debt recoveries or cancellation.

Segment expenses are calculated as the directly attributable expenses incurred in the operating activities, plus the corresponding proportion of the expenses that can be reasonably allocated to the segment.

The segment profit or loss is presented before any adjustment for non-controlling interests.

Segment assets and liabilities are those directly related to each segment's operations, plus the assets and liabilities that can be directly attributed thereto using the aforementioned allocation system, and include the proportional part of the assets and liabilities of joint ventures. Liabilities do not include income tax payments.

Segment reporting

Segment information about these businesses at 31 December 2016 is presented below:

	Thousands of euros						
	Office buildings	High Street Retail	Shopping Centres	Logistics	Other	Corporate Unit	Total Group
Revenue from non-Group customers							
Rental income	134,081	101,264	53,201	22,402	35,911	4,787	351,646
Total revenue	134,081	101,264	53,201	22,402	35,911	4,787	351,646
Other income	86	-	459	132	738	2,197	3,612
Staff costs	(23)	-	(284)	(124)	(385)	(42,425)	(43,241)
Operating expenses	(8,651)	(1,756)	(4,150)	(2,450)	(4,396)	(30,262)	(51,665)
Gains or losses on disposals of non-current assets	(24)	2,639	(5,345)	(1,011)	12,225	-	8,484
Excessive provisions	15	-	-	-	-	17	32
Depreciation and amortisation charge	-	(27)	(439)	(1,422)	(2,230)	(661)	(4,777)
Negative difference on business combinations	(30,683)	-	(905)	(3,956)	-	73,117	37,573
Operating profit/(loss)	94,801	102,120	42,537	13,571	41,863	6,770	301,662
Impairment of goodwill	-	-	-	-	-	-	-
Absorption of the revaluation of investment property	(101,935)	-	(38,380)	(8,792)	(5,321)	-	(154,428)
Changes in fair value of investment properties	166,052	123,593	109,617	39,506	14,381	-	453,149
Net finance income/(expense)	(2,676)	(21,561)	159	(1,815)	(775)	(62,913)	(89,581)
Profit/(Loss) on disposal of financial instruments	-	-	48	-	48,706	25,892	74,646
Changes in the value of derivative financial instruments	(53)	11,744	-	(393)	(477)	(5,464)	5,357
Share of results of companies accounted for using the equity method	-	-	557	-	(2,924)	4,184	1,817
Profit/(Loss) before tax	156,189	215,896	114,538	42,077	95,453	(31,531)	592,622
Income tax	(1,666)	(4,231)	(838)	(231)	(1,408)	(1,474)	(9,848)
Profit/(Loss) for the year	154,523	211,665	113,700	41,846	94,045	(33,005)	582,774

	Thousands of euros						
	Office Offices	High Street Retail	Shopping Centres	Logistics	Other	Corporate Unit	Total Group
Investment property	4,645,053	1,997,428	1,525,247	455,142	404,310	4	9,027,184
Non-current financial assets- <i>Derivatives</i>	17,855	222,100	10,616	4,869	3,585	16,407	275,432
<i>Other financial assets</i>	-	207,182	-	-	-	-	207,182
Deferred tax assets	17,855	14,918	10,616	4,869	3,585	16,407	68,250
Other non-current assets	55	7,337	932	9,494	1,479	121,747	141,044
	231	11	110,056	160,156	4,321	360,455	635,230
Non-current assets	4,663,194	2,226,876	1,646,851	629,661	413,695	498,613	10,078,890
Trade receivables	14,842	6,228	4,429	4,721	318,067	157,607	505,894
Other current financial assets	17	459	-	1,421	-	4,547	6,444
Other current assets	17,607	34,511	13,616	7,501	753	253,364	327,352
Current assets	32,466	41,198	18,045	13,643	318,820	415,518	839,690
Total assets	4,695,660	2,268,074	1,664,896	643,304	732,515	914,131	10,918,580
Non-current payables with credit institutions	233,988	925,246	130,301	100,380	-	3,784,667	5,174,582
Other non-current liabilities	234,132	135,295	50,175	29,018	454	245,938	695,012
Non-current liabilities	468,120	1,060,541	180,476	129,398	454	4,030,605	5,869,594
Current liabilities	40,442	16,530	15,269	12,261	25,233	98,482	208,217
Total liabilities	508,562	1,077,071	195,745	141,659	25,687	4,129,087	6,077,811

Segment information about these businesses at 31 December 2015 is presented below:

	Thousands of euros							
	Office buildings	High Street Retail	Shopping Centres	Logistics	Hotels	Other	Unit Corporate	Total Group
Revenue from non-Group customers								
Rental income	63,327	91,345	28,779	12,703	11,433	6,778	64	214,429
Total ordinary income	63,327	91,345	28,779	12,703	11,433	6,778	64	214,429
Other income	1,271	-	696	-	-	354	31	2,352
Staff costs	(1,429)	(25)	(399)	(125)	(382)	(1,800)	(11,550)	(15,710)
Operating expenses	(6,126)	(3,737)	(3,473)	(808)	(1,121)	(766)	(23,788)	(39,819)
Gains or losses on disposals of non-current assets	3,406	12	-	(12)	580	-	-	3,986
Excessive provisions	-	-	-	-	-	-	476	476
Depreciation and amortisation charge	-	(28)	-	(1)	(34)	-	(44)	(107)
Operating profit/(loss)	60,449	87,567	25,603	11,757	10,476	4,566	(34,811)	165,607
Impairment of goodwill	(97,450)	-	(57,651)	(12,937)	(18,402)	(45,412)	-	(231,852)
Absorption of the revaluation of investment property	(155,380)	-	(29,470)	(12,240)	(5,260)	132,014	-	(70,336)
Changes in fair value of investment properties	181,655	182,184	56,666	23,678	1,760	(131,357)	-	314,586
Net finance income/(expense)	(14,555)	(22,172)	(5,694)	(1,106)	(2,453)	(2,823)	(4,793)	(53,596)
Changes in the value of derivative financial instruments	(12)	(67,905)	-	(23)	-	2	-	(67,938)
Share of results of companies accounted for using the equity method	-	-	-	(33)	1,310	(2,297)	1,825	805
Profit/(Loss) before tax	(25,293)	179,674	(10,546)	9,096	(12,569)	(45,307)	(37,779)	57,276
Income tax	(293)	(8,162)	-	-	-	132	-	(8,323)
Profit/(Loss) for the year	(25,586)	171,512	(10,546)	9,096	(12,569)	(45,175)	(37,779)	48,953

	Thousands of euros							
	Office Offices	High Street Retail	Shopping Centres	Logistics	Hotels	Other	Unit Corporate	Total Group
Investment property	2,198,045	1,689,141	683,680	295,844	325,955	204,426	-	5,397,091
Non-current financial assets-	14,844	208,421	6,511	2,539	3,948	1,691	86	238,040
Derivatives	-	194,767	-	-	-	-	-	194,767
Other financial assets	14,844	13,654	6,511	2,539	3,948	1,691	86	43,273
Deferred tax assets	3,068	7,337	340	235	871	11,289	0	23,140
Other non-current assets	96,135	38	38,483	74,273	140,299	23,865	686	373,779
Non-current assets	2,312,092	1,904,937	729,014	372,891	471,073	241,271	772	6,032,050
Trade receivables								
Other accounts receivable	2,461	2,864	793	554	2,597	11,042	4,073	24,384
Other current financial assets	0	2,830	0	1,102	0	426	5	4,363
Other current assets	13,993	17,516	1,905	2,831	1,870	295,005	522,521	855,641
Current assets	16,454	23,210	2,698	4,487	4,467	306,473	526,599	884,388
Total assets	2,328,546	1,928,147	731,712	377,378	475,540	547,744	527,371	6,916,438
Non-current payables with credit institutions	246,430	978,887	130,303	66,774	27,819	5,264	0	1,455,477
Other non-current liabilities	131,360	44,563	65,909	16,452	24,652	17,334	4,856	305,126
Non-current liabilities	377,790	1,023,450	196,212	83,226	52,471	22,598	4,856	1,760,603
Current liabilities	911,267	16,692	146,934	67,717	225,238	180,907	680,649	2,229,404
Total liabilities	1,289,057	1,040,142	343,146	150,943	277,709	203,505	685,505	3,990,007

a) *Geographical segment reporting*

For the purposes of geographical segment reporting, segment revenue is grouped according to the geographical location of the assets. Segment assets are also grouped according to their geographical location.

The following tables summarises ordinary income and non-current investment property for each of the assets held by the Group by geographical area:

2016

	Thousands of euros			
	Ordinary income	%	Investments Investment property / Intangible assets / Non- current assets held for sale	%
Madrid	170,997	49	5,260,469	57
Catalonia	55,576	16	1,442,324	16
Galicia	22,559	6	413,939	4
Basque Country	14,800	4	371,740	4
Andalusia	19,234	5	399,924	4
Valencia	15,077	4	382,538	4
Castilla y León	6,293	2	108,430	1
Rest of Spain	39,024	11	747,417	8
Portugal	7,229	2	146,147	2
France	857	0	-	2
Total	351,646	100	9,272,928	100

2015

	Thousands of euros			
	Ordinary income	%	Investments Investment property / Intangible assets / Non-current assets held for sale	%
Madrid	89,992	42.0	3,125,795	53.5
Catalonia	28,982	13.5	777,895	13.1
Galicia	23,942	11.2	409,752	7.6
Basque Country	13,485	6.3	238,663	3.5
Andalusia	12,903	6.0	300,087	5.6
Valencia	10,125	4.7	170,792	3.2
Castilla y León	6,250	2.9	96,716	1.8
Rest of Spain	27,960	13.0	618,021	11.5
Portugal	790	0.4	19,160	0.4
Total	214,429	100.0	5,756,881	100.0

b) *Main customers*

The table below lists the lessees from which the most rental has been received at 31 December 2016, and the primary characteristics of each of them:

2016

2016

Position	Name	Type	% of total rental income	% accumulated	Maturity
1	BBVA	High Street Retail	19.54%	19.54%	2040-2029
2	Endesa	Offices	4.67%	24.21%	2022
3	Técnicas Reunidas	Offices	2.54%	26.75%	2019
4	Inditex	Shopping Centres	2.52%	29.27%	2017
5	Renault	Offices	1.99%	31.26%	2017
6	Comunidad de Madrid	Offices	1.61%	32.87%	2019
7	PricewaterhouseCoopers. S.L	Offices	1.59%	34.45%	2022
8	Hotusa + WTC	Hotel	1.44%	35.89%	2021
9	Caprabo	High Street Retail	1.54%	37.44%	2023
10	Indra Sistemas. S.A	Offices	1.43%	38.87%	2022

2015

Position	Name	Type	% of total rental income	% accumulated	Maturity
1	BBVA - Branches	High street retail	28.7	29.9	2040
	Flagship buildings		1.2		2029
2	Endesa	Offices	7.2	37.1	2022
3	City Council Community Madrid	Offices	4.5	41.6	2017
4	Hotusa + WTC	Hotel	2.6	44.2	2021
5	Pricewaterhousecoopers, S.L.	Offices	2.3	46.5	2022
6	Caprabo	High street retail	2.3	48.8	2023
7	Indra Sistemas, S.A.	Offices	2.2	51.0	2022
8	L'Oreal España, S.A.	Offices	1.5	52.5	2022
9	Sacyr, S.A.	Offices	1.5	54.0	2019
10	Uría Menéndez Abogados, S.L.P.	Offices	1.4	55.4	2021

7. Goodwill on consolidation

The goodwill recognised at 31 December 2016 arose from the business combination with Testa Inmuebles en Renta, SOCIMI, S.A. and subsidiaries (see Note 3). The changes in this heading in 2016 were as follows:

2016

	Thousands of euros				
	Balance at 31/12/2015	Transfer to non-current assets held for sale	Cancellations (Note 3)	Transfers by absorption of value (Note 9)	Balance at 31.12.2016
Goodwill	193,039	(503)	(28,269)	(154,428)	9,839

The main changes in the "Goodwill" heading refer to the withdrawal of EUR 28,269 thousand arising from the sale of the hotel rental business, which had been assigned part of the goodwill.

The change also includes the effect of the increase in value in 2016 due to property assets from Testa. Accordingly, the valuations on the assets acquired in the Testa business combination carried out by independent appraisers at 31 December 2016 increased by EUR 202,731 thousand against 31 December 2015 (see Note 9). The Group considers that this revaluation shows that the expectations existing at the date of the business combination were met. Therefore, the amount of the goodwill was reduced in an amount of EUR 154,428 thousand, corresponding this amount to the goodwill absorption as a result of the revaluation of the real estate assets in 2016.

2015

	Thousands of euros				
	Balance at 31/12/2014	Transfer to non- current assets held for sale	Business combination	Transfers by absorption of value	Balance at 31/12/2015
Goodwill	-	270,035	(6,660)	(70,336)	193,039

The main movements in the 2015 year concerned the registration of the business combination with Testa Inmuebles en Renta SOCIMI, S.A., giving rise to the initial goodwill registration, the impairment registered due to the rise in value of the Testa real estate assets from their acquisition up to 31 December 2015, by EUR 70,336 thousand, and the transfer of goodwill allocated to the residential business due to being classified as non-current assets held for sale at 31 December 2015.

In accordance with IAS 36, management identifies the various cash-generating units as the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets.

In this connection, and when determining its cash-generating units, the Group took into consideration the synergies and efficiency improvements in accordance with which the management of the various real estate assets forming part of the Group is organised. These cash-generating units are included in each business segment and, as indicated above, depend on the operating units for the organised management of the various rental properties.

The cash-generating units, which include goodwill, are as follows.

	Thousands of	
	2016	2015
Offices	-	96,135
Shopping centres	-	38,380
Logistics	7,075	15,811
Hotels	-	33,191
Other	2,764	9,522
	9,839	193,039

The recoverable amount was estimated in accordance with its value in use, which was based on assumptions relating to cash flows, cash flow growth rates and discount rates consistent with those used to calculate the market values of the investment properties

The values in use for each cash-generating unit were calculated as the present value of the cash flows resulting from the financial projections discounted at rates that take into account the specific risks of the assets and the implementation of a strategic plan based on a long-term approach that complements Merlin's identity from a strategic and operational perspective.

Each year Group management prepares a business plan for the next 10 years for each cash-generating unit (which is customary in the investment property sector). The main components of this plan are as follows:

- Projected rent
- Exit yield
- Discount rate

The projections are prepared for each cash-generating unit based on their performance and past experience in the market of similar assets under management by the Merlin Group.

The main variables affecting the calculations of the aforementioned projections are as follows:

- Discount rate and exit yield:

	Discount Rate	Exit Yield
Logistics	7.5% - 8%	6% - 6.5%
Other	6%	4.1%

- In relation to the rent assumptions, average growth rates for rental income were estimated according to the following table:

	Average increase in Rentals
Logistics	2.1%
Other	2.2%

The Parent's directors consider that there are no significant events that would require changing the estimates made at year-end 2016 for preparing the impairment tests, and that any potential reasonable change in key assumptions on which the calculation of the recoverable amount is based would not cause the carrying amount of the assets of the Group's cash-generating units to exceed this recoverable amount.

In any case, in accordance with IAS 36, an impairment loss recognised for goodwill shall not be reversed in a subsequent period.

8. Intangible concession projects

The changes in concession projects at year-end 2016 are as follows:

	Thousands of euros
Balance at 1 January 2015	-
Change in scope of consolidation	120,149
Transfer to non-current assets held for sale	(48,649)
Balance at 31 December 2015	71,500
Disposals	(71,500)
Changes in the scope of consolidation (Note 3)	248,242
Depreciation and amortisation charge	(2,498)
Balances at 31 December 2016	245,744

In 2016, after the integration of the commercial assets of Metrovacesa, S.A., the Group has added the La Fiura shopping centre which is in Reus (Tarragona).

This shopping centre is operated under an administrative concession regime granted by the Reus City Council for a duration of not longer than 50 years, expiring in 2060.

Also, as a result of the business combination with Saba Parques Logísticos, S.L.U. (see Note 3), the Group has registered additions of EUR 161,419 thousand referring to:

- Operating rights of the logistics centre in the free trade zone of Barcelona under the terms of the contract signed with the Free Trade Zone Consortium, lasting until 31 December 2049.
- Administrative concessions granted by the Seville Port Authority to operate a number of plots of land in the Seville port area. These concessions last until 2033-2043.

As indicated in Note 3, these assets were included in the consolidated financial position statement at the fair value determined by independent experts at the date of purchase.

The Group, having carried out the business combination with Testa Inmuebles SOCIMI, S.A. in 2015, acquired the concession to operate a hotel establishment in the World Trade Centre of Barcelona; this was cancelled in 2016 after the agreement to sell the hotel assets business signed with a third party (see Note 3).

In 2015, within its policy of divesting from residential assets, the Group transferred the concession of 255 homes and 277 parking places in San Sebastián (Guipúzcoa), which lasts until 2069, to the "Non-current assets held for sale" item.

No finance costs were capitalised in 2016.

The Group takes out insurance policies to cover the possible risks to which its concession projects are subject. At the end of 2016 the concession projects were fully insured against these risks.

These assets did not have any type of related mortgage collateral at 31 December 2016.

The Group did not have any significant investment commitments in concession projects at 31 December 2016.

9. Investment property

The breakdown of and changes in items included under this heading in the consolidated statement of financial position in 2016 and 2015 are as follows:

	Thousands of euros	
	2016	2015
Beginning balance	5,397,091	1,969,934
Additions due to business combinations (Note 3)	3,570,380	3,078,716
Additions for the year	171,817	269,045
Transfer to non-current assets held for sale	-	(235,190)
Disposals	(565,253)	-
Changes in value of investment property	453,149	314,586
Ending balance	9,027,184	5,397,091

Investment property is recognised at fair value. Income recognised in the consolidated income statement from measuring investment property at fair value amounted to EUR 453,149 thousand (EUR 314,585 thousand in 2015). EUR 202,731 thousand of this amount (EUR 70,336 thousand in 2015) refer to the increase in value of the investment property acquired in the business combination with Testa Inmuebles en Renta, SOCIMI, S.A., EUR 154,428 corresponding to the goodwill absorption arising as a result of its acquisition (see Note 7).

Investment property mainly includes real estate assets in the office, high street retail, shopping centre, logistics and hotel segments.

Additions and assets acquired through business combinations in 2016 are as follows:

Type of asset	Thousands of euros	
	2016	2015
Business combination		
Offices	2,329,823	1,710,350
Shopping centres	878,524	385,146
Hotels	286,306	319,700
Residential assets	9,565	235,190
Logistics	18,460	136,160
Other	47,702	292,170
	3,570,380	3,078,716
Acquisitions:		
Logistics	61,704	70,242
Offices	30,700	88,197
High street retail	35,200	99,138
Improvements to assets	44,213	11,468
	171,817	269,045
	3,742,197	3,347,761

Real estate assets were incorporated into all of the Group's main operating segments in 2016 as a result of the business combinations and acquisitions carried out during the year. Accordingly, the most significant assets acquired relate to office buildings located in Lisboa, Madrid and Barcelona, logistics units in Madrid and Cataluña, shopping centres in Madrid, Barcelona, Valencia and Murcia, High Street retail units in Madrid, etc.

In 2015, the investments made also referred to office buildings located in Madrid and Barcelona, logistics units in Madrid and Catalonia, 33 supermarkets (high street retail) in Catalonia, shopping centres in Madrid, Palma de Mallorca and Málaga, residential assets located in Madrid, etc.

The disposals are mainly due to the sale of the hotel rental business (see Note 3), whose sale price (including the concession asset described in Note 8 above and the stake in the associate company Bardiomar, S.L.) amounted to EUR 535,000 thousand. In 2016, the Group also sold other assets, including the office building in calle Alcalá 45 of Madrid and Grande Armée in Paris, on which the Group reported, having taken into account the costs incurred for the sale, a profit of EUR 8,484 thousand.

At 31 December 2016, the Group had pledged real estate assets totalling EUR 2,704,824 thousand (EUR 5,034,621 thousand in 2015) to secure various loans and derivative financial instruments, the balances of which at 31 December 2016 amounted to EUR 1,268,557 thousand and EUR 53,605 thousand (EUR 2,612,250 thousand and EUR 48,749 thousand in 2015), respectively (see Note 17). The Group holds no rights of use, seizure or similar situations with regard to its investment property.

“Investment property” includes finance lease transactions as detailed below:

Type of asset	Thousands of euros			Maturity maturity
	Number of Properties	Fair Value	Price of the Buy option	
Offices	4	419,113	105,992	14/02/2018
	5	419,113	105,992	

At 31 December 2016, all properties included in “Investment property” are insured.

At 31 December 2016, the Group did not have any outright purchase agreements for investment property. In 2016 and 2015 no finance costs were capitalised in the cost of constructing the properties.

The Group had a building replacement commitment corresponding to the BBVA project, as per clause 20 of the general terms and conditions of the lease agreement, under which 42 BBVA bank branches were replaced with another 45 in 2015. The principles regulating this replacement process are that the lease terms and conditions, including the rent, will remain unchanged, and the market value as calculated by an independent valuer, will be the same.

Fair value measurement and sensitivity

All investment property leased or earmarked for lease through operating leases (rental property business segment) is classified as investment property.

In accordance with IAS 40, the Group periodically determines the fair value of its investment property so that the fair value reflects the actual market conditions of the investment property items at that date. This fair value is determined each year based on the appraisals undertaken by independent experts.

The market value of the Group's investment property at 31 December 2016 and 2015, calculated on the basis of appraisals carried out by Savills Consultores Inmobiliarios, S.A. and CBRE Valuation Advisory, S.A., independent appraisers not related to the Group, amounted to EUR 9,027,184 thousand (EUR 5,591,858 thousand in 2015). This valuation includes the value of the embedded derivative of the rent in the lease agreement with BBVA amounting to EUR 207,182 thousand and EUR 194,767 thousand in 2016 and 2015, respectively, and does not include pre-payments made by the Group to third parties for the purchase of assets in the amount of EUR 19,777 thousand (EUR 17,513 thousand in 2015). The valuation was carried out in accordance with the Appraisal and Valuation Standards issued by the Royal Institute of Chartered Surveyors (RICS) of the United Kingdom and the International Valuation Standards (IVS) issued by the International Valuation Standards Committee (IVSC).

The method used to calculate the market value of investment property, except the BBVA and Caprabo portfolios, involves drawing up ten-year projections of income and expenses for each asset, adjusted at the reporting date using a market discount rate. The residual amount at the end of year 10 is calculated by applying an exit yield or cap rate to the net income projections for year 11. The market values obtained are analysed by calculating and assessing the capitalisation of the returns implicit in these values. The projections are designed to reflect the best estimate of future

income and expenses from the investment properties. Both the exit yield and discount rate are determined taking into account the national market and institutional market conditions.

The method used by Savills to value the BBVA and Caprabo portfolios analyses each property individually, without making any adjustments for inclusion in a large portfolio of properties. For each property, a capitalisation rate has been assumed for the estimated market rent and subsequently adjusted on the basis of the following parameters:

- Term of the lease agreement and creditworthiness of the lessee.
- Location of the premises within the city (downtown, metropolitan area or suburbs).
- Immediate vicinity of the property.
- Level of upkeep of the property (outside and inside).
- Above and below-ground distribution of the floor area.
- Façade on one street or more than one (corner, three-sided).
- Lease situation with respect to current market rent.

In any event, the situation of the rental property market could lead to material differences between the fair value of the Group's investment property and their effective realisable values.

Fees paid by the Group to valuers for appraisals conducted up to 31 December 2016 and 2015 were as follows:

	Thousands of euros	
	2016	2015
Valuation services	633	670
Total	633	670

Breakdown of fair value of investment property

The detail of assets measured at fair value by their level in the fair value hierarchy is as follows:

2016

	Thousands of euros			
	Total	Level 1	Level 2	Level 3
Recurring fair value measurement				
<i>Investment property</i>				
Offices				
- Land	1,898,367			1,898,367
- Buildings	2,614,613			2,614,613
High Street retail				
- Land	584,383			584,383
- Buildings	1,413,045			1,413,045
Shopping centres				
- Land	436,316			436,316
- Buildings	1,088,931			1,088,931
Logistics				
- Land	90,188			90,188
- Buildings	243,633			243,633
Others				
- Land	354,915			354,915
- Buildings	302,973			302,973
Total assets measured at at fair value	9,027,184			9,027,184

2015

	Thousands of euros			
	Total	Level 1	Level 2	Level 3
Recurring fair value measurement				1,969,934
<i>Investment property</i>				
Offices				
- Land	719,732			719,732
- Buildings	1,478,313			1,478,313
High Street retail				
- Land	432,658			432,657
- Buildings	1,256,484			1,256,484
Shopping centres				
- Land	52,867			48,727
- Buildings	667,850			634,953
Logistics				
- Land	78,802			78,802
- Buildings	217,042			217,042
Hotels				
- Land	145,549			145,549
- Buildings	180,406			180,406
Other				
- Land	135,450			139,590
- Buildings	31,938			64,836
Total assets measured at at fair value	5,397,091			5,397,091

No assets were reclassified from one level to another during 2016 or 2015.

At 31 December 2016, the gross surface areas and occupancy rates of the assets by line of business were as follows:

2016	Square metres										Occupancy rate (%)
	Gross leasable area										
	Comm. of Madrid	Catalonia	Castilla-La Mancha	Galicia	Basque Country	Andalusia	Comm. of Valencia	Rest of Spain	Portugal	Total	
Offices	973,130	214,377	-	-	-	17,124	-	4,488	37,347	1,246,465	87.9
High Street retail	94,866	112,985	24,673	26,910	31,789	31,839	41,050	96,413	-	460,525	100.0
Shopping centres	64,021	93,155	-	100,187	24,323	21,504	71,286	75,206	5,495	455,176	88.6
Logistics	127,740	200,989	-	-	72,717	109,724	26,612	217,289	-	755,071	95.4
Other	59,409	55,479	-	5,898	46	272	-	-	-	121,104	76.5
Total surface area	1,319,165	676,986	24,673	132,995	128,875	180,462	138,948	393,395	42,842	3,038,341	
% weight	43.4	22.3	0.8	4.4	4.2	5.9	4.6	12.9	1.4	100	

2015	Square meters										Occupancy rate (%)
	Gross leasable area										
	Comm. of Madrid	Catalonia	Castilla-La Mancha	Galicia	Basque Country	Andalusia	Comm. of Valencia	Rest of Spain	Portugal	Total	
Offices	399,182	126,828	-	-	-	17,124	-	4,488	6,740	554,362	90.0
High Street retail	65,680	113,692	12,896	29,468	32,655	32,481	41,670	108,866	-	437,408	100.0
Shopping centres	24,040	-	-	99,929	-	21,504	-	26,559	-	172,032	93.4
Logistics	127,739	48,481	136,892	-	72,717	-	26,612	42,343	-	454,784	93.5
Hotels	60,743	30,155	-	5,898	-	10,637	9,308	-	-	116,741	100.0
Residential rental properties (a)	96,348	-	10,327	-	17,344	-	-	-	-	124,019	98.3
Other	311	-	-	5,829	-	-	-	-	-	6,140	100.0
Total surface area	774,043	319,156	160,115	141,124	122,716	81,746	77,590	182,256	6,740	1,865,487	94.7
% weight	41.5	17.1	8.6	7.6	6.6	4.4	4.2	9.8	0.4	100.0	

(a) The residential assets were transferred to "Non-current assets held for sale" (see Note 12).

The main assumptions used to calculate the fair value of investment property were as follows:

2016

	Net initial yield	Discount rate
Offices	-1.02% - 6.65%	5.00% - 9.50%
High Street retail	2.49% - 7.40%	6.00% - 7.00% (*)
Shopping centres	1.78% - 6.75%	6.50% - 11.00%
Logistics	-0.28% - 10.00%	8.00% - 13.86%
Hotels	0.00% - 7.34%	5.00% - 10.00%
Other	-1.02% - 6.65%	5.00% - 9.50%

(*) Not applicable, performed by direct capitalisation of earnings

2015

	Net initial yield yield	Discount rate
Offices	7.37% - 3.14%	9.95% - 7.00%
High Street retail	3.75% - 7.25%	(*)
Shopping centres	4.44% - 5.70%	7.00% - 8.25%
Logistics	4.14% - 8.56%	8.55% - 10.11%
Hotels	3.45% - 10.32%	8.25% - 10.50%
Other	2.14% - 43.77%	5.40% - 15.00%

(*) Not applicable, performed by direct capitalisation of earnings

The effect of a one-quarter of one point change in the required capitalization rates, calculated as rent as a percentage of the market value of the assets, in the consolidated assets and in the consolidated income statement, would be as follows:

	Thousands of euros			
	2016		2015	
	Assets	Consolidated net profit/(loss)	Assets	Consolidated net profit/(loss)
One-quarter of one point increase in the yield	(527,221)	(527,221)	(272,422)	(272,422)
One-quarter of one point decrease in the yield	589,304	589,304	299,904	299,904

The effect of a 10% change in the rent increases considered on the investment property in consolidated assets and in the consolidated income statement would be as follows:

	Thousands of euros			
	2016		2015	
	Assets	Consolidated net profit/(loss)	Assets	Consolidated net profit/(loss)
10% increase in market rent	342,153	342,153	181,716	181,716
10% decrease in market rent	(342,153)	(342,153)	(181,716)	(181,716)

Details of "Change in value of investment property" in the consolidated income statement are as follows:

Type of asset	Thousands of euros	
	2016	2015
Offices	155,168	181,655
High Street retail	125,729	182,184
Shopping centres	105,330	56,666
Logistics	31,968	23,678
Other	34,954	(129,597)
	453,149	314,586

Accordingly, the impact on the consolidated income statement of the revaluations of the Group's real estate assets in 2016, taking into consideration all headings affected in the consolidated income statement, is as follows:

	Thousands of euros	
	2016	2015
Changes in fair value of investment property		
Real estate	453,149	314,586
Changes in the fair value of derivatives	12,415	(66,922)
Absorption of the revaluation of investment property of Testa Inmuebles en Renta (Note 7)	(154,428)	(70,336)
Effect on the income statement	311,136	177,328

10. Operating leases

10.1 Operating leases – Lessee

At the end of 2016 the Group had contracted with tenants the following minimum lease payments, based on the leases currently in force, without taking into account the charging of common expenses, future increases in the CPI or future contractual lease payment revisions (in thousands of euros).

Operating leases Minimum Amounts	Nominal value	
	2016	2015
Within one year	491	471
Between one and five years	982	1,884
Total	1,473	2,355

The main expense relating to operating leases corresponds to the lease agreement that the Parent entered into to rent out its offices at calle Paseo de la Castellana, 42, Madrid, the location of its registered office.

Until 1 December 2015, Magic Real Estate, S.L.U. had leased, as the lessee, the ninth floor of the building located at Paseo de la Castellana, 42, Madrid, and in turn had subleased part of this floor to the Parent. On that date, these lease and sublease agreements were terminated, and the Parent, directly as the lessee, leased this floor (along with two other floors) from the owner.

This lease agreement was entered into for a term of five years and the monthly rent was set at EUR 41 thousand. On 1 December 2015, the Parent sublet of surface area of the ninth floor, and 2 parking places, to the company Magic Real Estate, S.L.U.

10.2 Operating leases – Lessor

The occupancy rates of the leased buildings at 31 December 2016 were as follows:

	% occupancy	
	2016	2015
Offices	87.70	90.00
High street retail	100.00	100.00
Shopping centres	88.60	93.40
Logistics	95.4	93.50
Hotels	-	100.00
Residential rental properties	-	98.30
Other	76.5	100

At 31 December 2016 and 2015, the ordinary income from and the fair value of each of the assets were as follows:

2016

	Thousands of euros	
	Income Ordinary (a)	Fair Fair (b)
Offices	138,418	4,645,053
High street retail	99,864	1,997,428
Shopping centres	52,566	1,610,493
Logistics	23,265	615,280
Other	36,910	404,674
Total	351,023	9,272,928

- (a) The income shown in the table above refers to the rental income of the properties accrued since they were included in the Group's scope of consolidation. The annualised amount of rental income would be approximately EUR 451,348 thousand (only the estimate of fixed rental income of the establishments is included in the calculation).
- (b) Includes investment properties and concession projects.

2015

	Thousands of euros	
	Income Ordinary (a)	Fair Fair (b)
Offices	63,327	2,198,045
High street retail	91,345	1,689,142
Shopping centres	28,779	720,717
Logistics	12,703	295,844
Hotels	11,433	397,455
Other	6,842	455,678
Total	214,429	5,756,881

- (a) The income shown in the table above refers to the rental income of the properties accrued since they were included in the Group's scope of consolidation. The annualised amount of rental income would be approximately EUR 320,226 thousand (only the estimate of fixed rental income of the establishments is included in the calculation).
- (b) It includes investment property, residential assets classified as non-current assets held for sale and concession projects.

The lease agreements entered into between the Group and its customers include a fixed rent and, where applicable, a variable rent linked to the lessee's performance.

At 31 December 2016 and 2015, future minimum lease payments under non-cancellable operating leases (calculated at the nominal amount) are as follows:

	Thousands of euros	
	2016 (a)	2015 (a)
Up to a year	435,804	281,015
Between one and five years	1,195,797	958,323
After five years	1,523,866	1,565,985
	3,155,467	2,805,323

- (a) Includes the future minimum lease payments under non-cancellable operating leases indicated in Note 10.3

10.3 Financial leases

At 31 December 2016, the Group had arranged the following lease payments with the lessors:

	Thousands of euros	
	2016	2015
Within one year	10,849	11,705
Between one and five years	124,911	140,128
After five years	-	23,722
Total (Note 17)	135,760	175,555

There are no rent review or escalation clauses and the restrictions imposed are those found in standard financing agreements. There are no restrictions with regard to the payment of dividends, additional debt or new finance lease agreements.

At the end of 2016 the Group had contracted the aforementioned leases with the lessees for the following minimum lease payments, based on the leases currently in force, without taking into account the charging of common expenses, future increases in line with the CPI or future contractual lease payment revisions until the end of the agreements:

	Thousands of euros	
	2016	2015
Within one year	16,261	16,922
Between one and five years	79,332	64,078
After five years	6,604	34,705
	102,197	115,705

11. Investments accounted for using the equity method

The changes in 2016 in investments in companies accounted for using the equity method are as follows:

	Thousands of euros	
	2016	2015
Beginning balance	101,126	-
Change due to loss of control (Note 3)	223,141	-
Interests acquired in business combinations (Note 3)	22,484	43,483
Acquisitions made during the year	3,641	56,762
Disposals (Note 3)	(32,512)	-
Profit/(Loss) for the year	1,817	805
Other changes	-	76
Ending balance	319,697	101,126

As indicated in Note 3, due to the integration process with Metrovacesa, S.A., the Parent Company has lost control of Testa Residencial SOCIMI, S.A. Until the integration with Metrovacesa, S.A. this company was the subsidiary which owned the residential asset leasing business, whose net assets, as indicated in Note 12, were classified as held for sale at 31 December 2015.

The Group has initially registered the remaining interest in Testa Residencial SOCIMI, S.A. at its fair value, which has been determined based on the appraisals of its real estate assets made by independent experts. As a result of the difference between the fair value of the interest and the previous carrying value of the net assets, the Group has

registered a gain of EUR 75,849 thousand, approximately, which is included in the “Gains or losses on disposals of financial instruments” heading of the attached consolidated income statement of the 2016 year.

Interests acquired in business combinations are from the investment in Paseo Comercial Carlos III, S.A. included with the business combinations with Metrovacesa, as well as Araba Logística, S.A. included with the acquisition of Saba Parques Logísticos, S.L.U. The fair value of this investment was determined based on the appraisals carried out by independent experts and amount to EUR 22,484 thousand and EUR 0 thousand, respectively.

The balance of disposals for the 2016 year is due to the financial investment which the Group had in Bardiomar, S.L. which was disposed of as part of the agreement for the sale of the hotel leasing business (see Note 3).

The detail of investments in companies accounted for using the equity method and the profit or loss attributable to the Group at 31 December 2016 is as follows:

2016

Associate	Line of business	Registered office	Percentage of Ownership interest	Thousands of euros	
				Investment	Result attributable with Group (a)
Testa Residencial, Socimi, S.A.	Residential lease	Madrid	34.24%	231,910	8,769
Centro Intermodal de Logística, S.A.	Management of the port concession of the logistics activity area	Barcelona	32%	54,271	(4,192)
Paseo Comercial Carlos III, S.A.	Shopping centre lease	Madrid	50%	23,041	557
Provita Centros Asistenciales, S.L.	Healthcare services	Madrid	50%	4,503	(534)
Other investments	-	-		5,972	(2,783)
				319,697	1,817

(a) Profit or loss obtained by the associate since its date of inclusion in the scope of consolidation.

(b) All companies detailed in the table above are accounted for using the equity method.

2015

Associate	Line of business	Registered office	Percentage of Ownership interest	Thousands of euros	
				Investment	Result attributable with Group (a)
Bardiomar, S.L. Provita Centros Asistenciales, S.L.	Leasing of premises Healthcare services	Madrid Madrid	50% 50%	32,512 5,037	1,301 (1,898)
Centro Intermodal de Logística, S.A.	Management of the port concession of the logistics activity area	Barcelona	32%	58,463	1,825
Other investments	-	-	-	5,114	(423)
				101,126	805

(a) Profit or loss obtained by the associate since its date of inclusion in the scope of consolidation.

(b) All companies detailed in the table above are accounted for using the equity method.

As indicated in Note 3, a business combination with Testa Inmuebles en Renta, SOCIMI, S.A. was carried out in 2015. As a result, the Group included interests in consolidated companies using the equity method, with a fair value of EUR 43,483 thousand at the acquisition date. The fair value was determined based on the appraisals carried out by independent experts. The main investments acquired relate to those in Bardiomar, S.L. and Provita, S.L.

In addition, the Group acquired a 32% shareholding in Centro Intermodal de Logística, S.L. in 2015. This investment cost EUR 56,638 euros. Lastly, the Group also acquired other shareholdings and associates in the amount of EUR 124 thousand.

The key business indicators for the Group's associates (standardised using the regulatory framework applicable to the Group) are as follows:

2016

	Thousands of euros				
	Testa Residencial SOCIMI, S.A.	Provita, S.L.	Paseo Comercial Carlos III, S.A.	Centro Intermodal de Logística, S.A.	Other
Non-current assets	1,039,624	7,300	105,437	220,855	75,696
Current assets	32,257	6	4,376	26,982	3,075
Non-current liabilities	418,155	-	69,978	133,762	22,629
Current liabilities	19,548	1,953	9,297	35,045	40,847
Revenue	9,850	-	8,254	40,694	3,647
Profit/(loss) from continuing operations	8,769	(534)	557	(4,192)	(2,783)

2015

	Thousands of euros			
	Bardiomar, S.L.	Provita, S.L.	Centro Intermodal de Logística, S.A.	Other
Non-current assets	28,541	8,299	331,598	77,166
Current assets	622	11	25,281	2,578
Non-current liabilities	6,154	-	138,214	60,935
Current liabilities	6,716	1,902	28,967	2,527
Revenue	7,537	-	-	3,305
Profit/(loss) from continuing operations	3,874	(58)	5,939	953
Income and expenses recognised in equity	-	-	(652)	-
Dividends received in the year	(67)	-	-	(40)

12. Non-current assets held for sale and liabilities associated with non-current assets held for sale

As part of the process of acquiring Testa Inmuebles en Renta, SOCIMI, S.A. and subsidiaries and of assessing the strategic nature of its various assets, the Group decided to take the appropriate actions to dispose of the residential real estate assets acquired, as they were not considered to be strategic for the Group. Consequently, and in accordance with IFRS 5, the Group classified the assets and liabilities associated with the residential activity under "Non-current assets held for sale" and "Non-current liabilities held for sale" in the accompanying consolidated statement of financial position.

As indicated in Note 11, due to the agreement signed with the shareholders of Metrovacesa, S.A., the Group has lost control of the residential leasing business, and has disposed of its net assets, registering the remaining interest (34.21%) as an investment in the associate company.

The details of assets and liabilities classified as held for sale at 31 December 2015 were as follows:

	Thousands of euros
Non-current assets held for sale	298,534
Goodwill	6,660
Intangible assets (Note 8)	48,649
Investment property (Note 9)	235,190
Financial assets	6,339
Trade and other receivables	780
Other	916
Non-current liabilities held for sale	161,424
Provisions	(100)
Financial debt	(118,836)
Deferred tax liabilities (Note 20)	(39,220)
Trade and other accounts payable	(1,057)
Other liabilities	(2,211)
Non-current assets held for sale	137,109

13. Current and non-current financial assets

The breakdown, by type of transaction, of the balance of this heading in the consolidated statement of financial position at 31 December 2016 is as follows:

Classification of financial assets by category:

	Thousands of euros	
	2016	2015
Non-current:		
At fair value-	207,182	194,767
Derivative embedded in BBVA lease agreement		
At amortised cost		
Equity instruments	206	-
Loans to third parties	55,608	3,076
Deposits and guarantees	66,431	40,197
	329,427	238,040
Current:		
At amortised cost-		
Investment in associates	72,860	-
Other financial assets	10,504	4,363
Trade and other receivables	505,894	24,384
	589,258	28,747

The carrying amount of financial assets recognised at amortised cost does not differ significantly from their fair value.

Derivatives

“Derivatives” includes the value of the embedded derivative corresponding to the inflation multiplier included in the lease agreement with BBVA to revise rents annually (see Note 9). The changes in the value of this derivative in 2016 amounted to EUR 12,415 thousand (EUR 66,922 thousand in 2015) and were recognised under “Changes in fair value of financial instruments” in the accompanying 2016 consolidated income statement. The measurement approach used is described in Note 5.9 and is applicable to Level two of the fair value measurement hierarchy established in IFRS 7, as observable inputs but not quoted prices are reflected.

Sensitivity to fluctuations of percentage points in the inflation curves is analysed below:

2016

Scenario	Thousands of euros	
	Assets	Consolidated profit/(loss) before tax
+50 bps	60,023	60,023
-50 bps	(43,275)	(43,275)

2015

Scenario	Thousands of euros	
	Assets	Consolidated profit/(loss) before tax
+50 bps	57,736	57,736
-50 bps	(39,165)	(39,165)

Credit to third parties

The "Credit to third parties" item includes part of the sale price of the hotel assets which will be received in 2018, according to the payments schedule agreed by the parties.

Deposit and guarantees

"Deposits and guarantees" primarily includes the guarantees provided by lessees as security amounting to EUR 63,539 thousand (EUR 40,197 thousand at 31 December 2015), which the Group has deposited with the housing authority (Instituto de la Vivienda) in each region. At 31 December 2016, guarantees provided by lessees as security amounted to EUR 73,565 thousand (EUR 49,392 thousand at 31 December 2015) and were recognised under "Non-current liabilities – Other financial liabilities" on the liability side of the accompanying consolidated statement of financial position (Note 18).

Investments in associates

The balance of "Investments in associates" includes the loan granted by the Parent to Paseo Comercial III, S.A. In 2000 Eurohypo AG (now Hypothekebank Frankfurt AG) entered into a financing agreement with the associated company, which was assigned on 2 August 2014 to LSREF3 Octopus Investments, S.a.r.l. Subsequently, on 30 July 2015 LSREF3 Octopus Investments, S.a.r.l. ceded and transferred the rights, obligations and full contractual position of the loan, transmitting all rights and obligations to Metrovacesa, S.A. (currently integrated into the Parent). The loan accrues a three-month Euribor interest rate + 0.55%.

This credit obliges the maintenance and compliance of the coverage coefficients, standards in this type of real estate companies, as the current ratio between the value of the assets over the outstanding debt ("Loan to Value") and the ratio between the income of the company and the service the debt ("ICR"). At year-end 2016 Paseo Comercial Carlos III, S.A. did not meet the mentioned ratios. However, the Parent and the associate company have signed an early non-enforceability agreement for the loan until December 2017.

Classification of financial assets by maturity:

The classification of financial assets by maturity at 31 December 2016 and 2015 is as follows:

2016

	Thousands of euros				
	Less than 1 year	From one to five years	Over 5 years	Undetermined maturity	Total
Derivative embedded in BBVA lease agreement	-	-	207,182	-	207,182
Equity Instrument	-	206	-	-	206
Loans to third parties	-	55,608	-	-	55,608
Deposits and guarantees	-	-	-	66,431	66,431
Investments in group companies and affiliates	72,860	-	-	-	72,860
Other financial assets	10,504	-	-	-	10,504
Trade and other receivables	505,894	-	-	-	505,894
Total financial assets	589,258	55,814	207,182	66,431	918,685

2015

	Thousands of euros				
	Less than 1 year	From one to five years	Over 5 years	Undetermined maturity	Total
Derivative embedded in BBVA lease agreement	-	-	194,767	-	194,767
Deposits and guarantees	-	3,076	-	40,197	43,273
Other financial assets	4,363	-	-	-	4,363
Trade and other receivables	24,384	-	-	-	24,384
Total financial assets	28,747	3,076	194,767	40,197	266,787

14. Trade and other receivables

“Trade and other receivables” included the following items at 31 December 2016:

	Thousands of euros	
	2016	2015
Trade debtors and notes receivable	27,392	9,176
Customer receivables for sales	453,150	-
Group companies and associates	640	9
Sundry accounts receivable	12,246	10,138
Personnel	178	-
Current tax assets	1	4,477
Other accounts receivable from public authorities (Note 20)	29,689	2,469
Impairment of trade receivables	(16,826)	(1,876)
	505,894	24,393

“Trade and notes receivable” in the accompanying consolidated statement of financial position at 31 December 2016 mainly included the balances receivable from leasing investment property. In general these receivables are interest free and the terms of collection range from immediate payment on billing to payment at 30 days, while the average collection period is approximately 5 days (4 days in 2015).

The balance of the "Sundry accounts receivable" account includes EUR 477 million, approximately, which refers to the sale price of the hotel rental business which is expected to expire in 2017.

At 31 December 2016, a breakdown by age of overdue receivables not considered impaired is as follows:

	Thousands of euros	
	2016	2015
Fewer than 30 days	12,672	56
31 to 60 days	2,689	29
61 to 90 days	291	20
More than 90 days	1,005	104
	16,675	209

At 31 December 2016 and 2015, no collection rights had been transferred to financial institutions.

The Group periodically analyses the risk of insolvency of its accounts receivable by updating the related provision for impairment losses. The Group's directors consider that the amount of trade and other receivables approximates their fair value.

The changes in the impairment losses and bad debt in 2016 and 2015 were as follows:

	Thousands of Euros
Balance at 31 December 2014	(77)
Changes in the scope of consolidation	(1,720)
Transfers to assets held for sale	517
Charges for the year	(706)
Reversals/amounts used	110
Balance at 31 December 2015	(1,876)
Changes in the scope of consolidation	(14,678)
Charges for the year	(781)
Reversals/amounts used	508
Balance at 31 December 2016	(16,826)

The majority of impaired receivables are overdue by more than 6 months.

Details of the concentration of customers (customers that account for a significant share of business) are included in the segment information in Note 6.

15. Cash and cash equivalents

"Cash and cash equivalents" includes the Group's cash and short-term bank deposits with an original maturity of three months or less. The carrying amount of these assets does not differ from their fair value.

At 31 December 2016 and 2015, the balance of "Cash and cash equivalents" is freely available, except for EUR 648 thousand and EUR 12,163 thousand, respectively, which are included in reserves to cover payment of a quarterly instalment of the senior syndicated mortgage loan.

16. Equity

The detail of "Equity" and of the changes therein is presented in the consolidated statement of changes in equity.

16.1 Share capital

At 31 December 2016, the share capital of Merlin Properties SOCIMI, S.A., amounted to EUR 469,771 thousand, represented by 469,770,750 fully subscribed and paid shares of EUR 1 par value each, all of which are of the same class and confer the holders thereof the same rights.

All the Parent's shares are admitted to official listing on the Madrid, Barcelona, Bilbao and Valencia stock exchanges. The market price of the Parent's shares at 31 December 2016 and the average market price for the fourth quarter amounted to EUR 10.33 and EUR 9.98 per share, respectively.

The changes in the Parent's shares in 2016 were as follows:

	Number of shares	
	2016	2015
Beginning balance	323,030,000	129,212,001
Capital increase of 8 May 2015	-	64,605,999
Capital increase of 7 August 2015	-	129,212,000
Capital increase of 15 September 2016	146,740,750	-
Ending balance	469,770,750	323,030,000

On 8 May 2015, the Parent increased its share capital by EUR 613,756,990 through the issuance of 64,605,999 new ordinary shares, of the same class and series as those currently outstanding, with a par value of EUR 1 each and a share premium of EUR 8.5 per share. The shares were fully subscribed and paid.

Subsequently, on 7 August 2015 share capital was increased again by EUR 1,033,696,000 through the issuance of 129,212,000 new ordinary shares, of the same class and series as those currently outstanding, with a par value of EUR 1 each and a share premium of EUR 7 per share. The shares were fully subscribed and paid.

Finally, on 15 September 2016 the Parent increased its share capital by EUR 146,740,750 through the issuance of 146,740,750 new ordinary shares, of the same class and series as those currently outstanding, with a par value of EUR 1 each and a share premium of EUR 1,526,104 thousand (EUR 10.40 per share). The shares were subscribed and paid in by the shareholders of Metrovacesa, S.A. through the contribution of its rental property business (see Note 3).

At 31 December 2016, the significant shareholders of Merlin Properties SOCIMI, S.A. with direct or indirect ownership interests exceeding 3% of share capital, are as follows:

	Shares			% of share capital
	Direct	Indirect	Total	
Banco Santander, S.A.	78,437,100	26,172,125	104,609,225	22.27%
Banco Bilbao Vizcaya, S.A.	23,491,385	6,781,194	30,272,579	6.44%
Standard Life Investment Ltd.	-	14,574,584	14,574,584	3.10%
BlackRock, INC	-	14,115,963	14,115,963	3.01%

16.2 Share premium

The Consolidated Text of the Spanish Limited Liability Companies Law expressly permits the use of the share premium to increase capital and establishes no specific restrictions as to its use.

This reserve is unrestricted so long as its allocation does not lower equity to below the amount of share capital. In 2016, the Annual General Meeting approved the application of EUR 85,017 thousand from the "Share premium" to

negative reserves of the Parent. It also resolved to pay dividends of EUR 33,145 thousand and EUR 6,460 thousand charged from the share premium.

16.3. Other reserves

The detail of reserves at 31 December 2016 and 2015 is as follows:

	Thousands of euros	
	2016	2015
To legal reserve	2,986	-
Reserves of consolidated companies	(158,493)	49,670
Other reserves	11,970	(82,034)
Total other reserves	(143,537)	(32,364)

To legal reserve

The legal reserve will be established in accordance with Article 274 of the Consolidated Text of the Spanish Limited Liability Companies Law, which stipulates, in all cases, that 10% of net profit for each year must be transferred to the legal reserve until the balance of this reserve reaches at least 20% of the share capital.

This reserve cannot be distributed, and if it is used to offset losses, in the event no other reserves are available for this purpose, it must be restored with future profits.

At 31 December 2016, the Group had not yet reached the legally required minimum established in the Consolidated Text of the Spanish Limited Liability Companies Law.

The legal reserve of companies which have chosen to avail themselves of the special tax regime established in Law 11/2009, of 26 October, governing SOCIMIs, must not exceed 20% of share capital. The bylaws of these companies may not establish any other type of restricted reserves.

Reserves of consolidated companies

The detail of the reserves of consolidated companies is as follows:

	Miles de euros	
	2016	2016
Merlin Properties SOCIMI, S.A.	(337,858)	(921)
Tree Inversiones Inmobiliarias, SOCIMI, S.A.	136,058	31,837
Merlin Retail, S.L.U.	52,449	18,678
Merlin Oficinas, S.L.U.	14,969	95
Merlin Logística, S.L.U.	9,871	(19)
Merlin Logística II, S.L.U.	2,590	-
Obraser	(7,004)	-
MPCVI	1,548	-
MPEP	(2)	-
Varitelia Distribuciones	(4,757)	-
Metroparque	(3,282)	-
Metropolitana Castellana	29,718	-
La Vital Centro Comercial	28,599	-
Global Carihuela	332	-
Sadorma 2003	(189)	-
Metrovacesa Francia	(2,640)	-
Metrovacesa Mediterranee	369	-
Centros Comerciales Metropolitanos	(32,740)	-
Exp. Urbanos españolas	(30,134)	-
Acoche	(16,912)	-
Global Murex Iberia	(10)	-
Project Maple IBV	385	-
Inmobiliaria Metrogolf	11	-
Testa Hoteles	(4)	-
Gescentesta	1	-
Gesfintesta	139	-
	(158,493)	49,670

Other reserves

In 2016, the Annual General Meeting of the Parent approved the application of EUR 85,017 thousand from the “Share premium” to negative reserves of previous years.

As indicated in the Note 16.1 above, the Group carried out a capital increase paid through the contribution of the rental property business of Metrovacesa, S.A. Pursuant to accounting laws, the difference between the fair value of the issued shares - obtained using the share prices at 15 September 2016 (of EUR 9.88 per share) and the nominal value of the capital increase (EUR 11.4 per share), for an amount of EUR 223,046 thousand has been registered as a lower share premium.

Interim dividend

On 19 October 2016, the Parent’s Board of Directors resolved to distribute EUR 59,759 thousand as an interim dividend with a charge to profit/(loss) for 2016.

16.4 Non-controlling interests

The changes in “Non-Controlling Interests” in 2016 and in the profit or loss attributable to non-controlling interests were as follows:

	Thousands of euros	
	2016	2015
Beginning balance	1,092	-
External partners originating from business combinations (Note 3)	21,182	1,217
Absorbition of Testa Inmuebles en Renta SOCIMI, S.A. (Note 3)	(1,092)	
Profits attributable to non-controlling partners	129	(125)
Ending balance	21,311	1,092

At 31 December 2016, the entire balance of the “Non-controlling interests” item in the attached consolidated statement of financial position referred to non-controlling shareholders (0.07%) of Testa Inmuebles en Renta SOCIMI, S.A. As indicated in Note 3, this subsidiary was absorbed by merger in 20167 and the non-controlling interests were eliminated.

16.5. Treasury shares

At 31 December 2016, the Parent has treasury shares amounting to EUR 105 thousand.

Changes in over the 2016 year were as follows:

	Number of shares	Thousands of euros
Beginning balance	-	-
Additions	133,299	1,369
Disposals	(123,069)	(1,264)
Ending balance	10,230	105

On 6 April 2016, the Shareholders of the Parent Company authorised the Board of Directors to acquire shares in the Parent Company, up to 10% of the share capital. By means of that authorization, the Board of Directors authorized on 21 June 2016 the acquisition of own shares of the Company in the context of the merger of the Company with Testa Inmuebles en Renta, S.A.

Disposals of treasury shares, for the amount of EUR 123,069 thousand (average cost of EUR 10.27 per share) are due to the share swap made with non-controlling interests of Testa Inmuebles en Renta SOCIMI, S.A. as part of the merger carried out in 2016. In exchange, the Parent Company obtained 0.07% of Testa Inmuebles en Renta SOCIMI, S.A.

16.6 Capital management

The Group's capital management objectives are to safeguard its capacity to continue operating as a going concern so that it can continue to provide returns to shareholders and to benefit interest groups, as well as maintaining an optimum financial structure to reduce the cost of capital.

In line with the practices of other groups present in the sector, the Group controls its capital structure through the leverage ratio, calculated as net debt divided by total capital. Net debt is determined as the sum of financial liabilities less cash and cash equivalents. Total capital is calculated as the sum of equity plus net debt.

	Thousands of euros	
	2016	2015
Total financial debt (a)	5,277,300	3,269,270
Less- Cash and cash equivalents and Other current financial assets (b)	(671,323)	(243,900)
Net debt	4,605,977	3,025,370
Equity	4,840,769	2,926,431
Total capital	9,446,746	5,951,801
Debt-to-equity ratio	48.8%	50.83%

(a) In 2015, it included the financial debt of the residential assets classified under “Non-current assets held for sale” in the amount of EUR 119,414 thousand (stripping out loan arrangement expenses).

(b) In 2016 it includes the amount of the account receivable for the sale of the hotel portfolio for an amount of EUR 421,193 thousand. In 2015, the balance was reduced by the outstanding payment for the purchase of Testa Inmuebles en Renta, SOCIMI, S.A. shares in the amount of EUR 316,840 thousand.

16.7 Earnings per share

Basic

Basic earnings per share are calculated by dividing the net profit attributable to common equity holders of the Parent by the weighted average number of ordinary shares outstanding during the period, excluding treasury shares.

The detail of the calculation of basic earnings per share is as follows:

	2016	2015
Profit for the year attributable to holders of equity instruments net of the Parent Company (thousand euros)	582,646	49,078
Weighted average number of shares outstanding (thousands)	359,870	223,377
Basic earnings per share (euros)	1.62	0.22

The average number of ordinary shares outstanding is calculated as follows:

	Number of shares	
	2016	2015
Ordinary shares at beginning of period	323,030,000	129,212,001
Capital increases	146,740,750	193,817,999
Average effect of outstanding shares	(109,900,396)	(99,652,542)
Weighted average number of ordinary shares outstanding at 31 December 2014 (thousands of shares)	359,870,354	223,377,458

Diluted

Diluted earnings per share are calculated by adjusting the profit attributable to equity holders of the Parent by the weighted average ordinary shares outstanding after adjusting for the dilutive effects of potential ordinary shares, i.e., as if all potentially dilutive ordinary shares had been converted.

The Parent does not have different classes of potentially dilutive ordinary shares.

16.8 Valuation adjustments

This heading of the consolidated statement of financial position includes changes in the value of financial derivatives designated as cash flow hedges. Movement in this heading in 2016 was as follows:

	Thousands of euros
Balance at beginning of 2015 year	(2,636)
Changes in the fair value of hedges in the year	(3,470)
Balance at 31 December 2015	(6,106)
Changes in the fair value of hedges in the year	(41,476)
Balance at 31 December 2016	(47,582)

17. Current and non-current financial liabilities

At 31 December 2016, current and non-current liabilities were as follows:

	Thousands of euros	
	2016	2015
Non-current:		
<i>Measured at amortised cost</i>		
Syndicated loan	1,253,885	-
Syndicated loan arrangement costs	(12,422)	-
Total syndicated loan	1,241,463	-
Senior syndicated mortgage loan (Tree)	899,924	920,961
Syndicated loan arrangement expenses	(18,871)	(21,697)
Total senior syndicated mortgage loan (Tree)	881,053	899,264
Revolving credit facility	180,000	-
Mortgage loans	357,054	358,408
Leases, credit facilities and loans	124,911	163,850
Loan arrangement expenses	(6,911)	(8,485)
Total other loans	655,054	513,773
Debentures and bonds	2,350,000	-
Issue expenses of the debentures	(22,655)	-
Total debentures and bonds	2,327,345	-
Total amortised cost	5,104,915	1,413,037
<i>Measured at fair value</i>		
Derivative financial instruments	69,667	42,440
Total at fair value	69,667	42,440
Total non-current	5,174,582	1,455,477
Current:		
<i>Measured at amortised cost</i>		
Syndicated loan	6,529	-
Senior syndicated mortgage loan (Tree)	11,476	10,755
Debentures and bonds	25,629	-
Mortgage loans	2,912	1,333,309
Leases, credit facilities and loans	10,849	11,705
Bridge loan	-	350,868
Bridge loan arrangement expenses	225	-
Bridge loan arrangement expenses	-	(2,921)
Total amortised cost	57,620	1,703,716
<i>Measured at fair value</i>		
Derivative financial instruments	4,235	6,309
Total at fair value	4,235	6,309
Total current	61,855	1,710,025

There is no material difference between the carrying amount and the fair value of financial liabilities at amortised cost.

On 20 April 2016, the Parent was given a credit rating of “BBB” by Standard & Poor’s Rating Credit Market Services Europe Limited. Additionally, on 17 October 2016, the Company was given by Moody’s a credit rating “investment grade” “Baa2”.

17.1 Loans

The breakdown of mortgage loans at 31 December 2016 is as follows:

2016

	Thousands of euros				
	Bank borrowings				
	Limit	Debt arrangement expenses	31/12/2016		Short-term interest
			Long-term	Short term	
Syndicated loan	1,790,000	(12,422)	1,253,885	5,045	1,485
Senior syndicated mortgage loan (Tree)	939,756	(18,871)	899,924	10,225	1,251
Mortgage loans rest of assets	360,845	(6,652)	357,054	1,351	1,561
Leases (Note 10)	149,125	(263)	124,911	10,849	-
Revolving credit facility	420,000		180,000	-	225
Total	3,659,726	38,208	2,815,774	27,470	4,522

2015

	Thousands of euros				
	Bank borrowings				
	Limit	Debt arrangement expenses	31/12/2015		Short-term interest
			Long term	Short term	
Senior syndicated mortgage loan (Tree)	939,756	(21,697)	920,961	9,397	1,358
Active mortgage loans - Merlin	360,845	(7,706)	358,408	1,351	1,453
Mortgage loans - Testa Group	1,322,250	-	-	1,322,250	8,255
Leases (Note 10)	175,555	(779)	163,850	11,705	-
Bridge loan - Merlin	350,000	(2,921)	-	350,000	868
Total	3.148.406	(33,103)	1,443,219	1,694,703	11,934

The financing includes commitments to maintain certain coverage ratios, which are standard in these types of real estate companies, such as the loan-to-value ratio, the ratio of the subsidiary's income used to service the debt (interest coverage ratio, ICR), and a minimum credit rating of BBVA from ratings agencies. The Parent's directors have confirmed that these ratios were met at 31 December 2016 and do not expect that they will not be fulfilled in the coming years.

Syndicated loans

Syndicated loan Parent Company

On 8 January 2016, a syndicated loan without mortgage collateral signed by the Parent for EUR 1,700 million came into force. This financing arrangement was used to cancel mortgage loans contracted by Testa Inmuebles en Renta SOCIMI, S.A. amounting to EUR 1,279 million and the bridge loan contracted by the Parent to finance the acquisition of Testa, amounting to EUR 350 million. This syndicated loan without mortgage collateral has the following conditions:

- The loan is divided into two tranches:

- a) The first loan consists of a bank facility with a corporate guarantee of EUR 850 million which matures in June 2021, and which has an interest rate of Euribor + 160 basis points. All of the first tranche is repaid on maturity, and it was used in its entirety to cancel mortgage loans held by Grupo Testa.
- b) The second tranche consists of a bridge loan of EUR 850 million which matures in December 2017 and which has an initial cost of Euribor +100 basis points. This second tranche has been used to cancel mortgage loans held by Grupo Testa and the bridge loan signed to partially finance the acquisition of Testa. As explained below in this Note, this second tranche was cancelled early in full through the issue of debentures in April 2016.

On 24 October 2016 it was signed a novation and modification of the syndicated loan without mortgage collateral of the mentioned above, by which the syndicated financing without mortgage collateral of Metrovacesa was consolidated in such financing. The following three tranches with the following conditions were added to the existing first tranche of EUR 850 million:

- a) The new second tranche consists in a loan of EUR 370 million which matures in April 2021 and which has an initial cost of Euribor +170 basis points linked to the rating of the Company (currently the margin amounts to 155 basis points).
- b) The third tranche consists in a bridge loan of EUR 500 million which matures in April 2017 and which has an initial cost of Euribor +100 basis points. This loan has been anticipated and completely amortized through the issue of debentures executed in October 2016.
- c) The fourth tranche consists in a revolving credit facility of EUR 100 million. The credit facility matures in April 2021 and accrues an interest rate of Euribor + 130 basis points linked to the rating of the Company (currently the margin amounts to 115 basis points). This financing will be used for the acquisition of new real estate assets. As of 31 December 2016 the Group complies with the covenants set forth.

Syndicated loan Grupo Merlin Parques Logísticos, S.A.

On 17 October 2016, the Parent Company formalized the acquisition of the group Saba Parques Logísticos, S.L.U. (currently denominated Merlin Parques Logísticos, S.A.). This Group company has the following bank borrowings:

- a) Syndicated loan without mortgage collateral subscribed for a nominal of EUR 36,000 thousand, which matures in 2019, and with an interest rate of Euribor + 275 basis points and annual repayment of approximately the 7% of the nominal and 68.6% at maturity. At the close of 2016 year, the Group complies with the covenants set forth in that contract and according to the Directors' estimates it will do so in 2017.
- b) Syndicated loan without mortgage collateral subscribed for a nominal of EUR 31,000 thousand which matures in 2020. This financing consists of two tranches of EUR 25,000 and 6,000 thousand, with an interest rate of Euribor + 125 and 200 basis points, respectively, and an annual repayment of 6.7% of the nominal until maturity in both tranches. At the Group complies with the covenants set forth in that contract and according to the Directors' estimates it will do so in 2017.

Senior syndicated mortgage loan (Tree)

On 30 December 2014, the Group entered into a novation agreement to amend the senior syndicated loan taken out on 29 July 2010 by Inversiones Inmobiliarias SOCIMI, S.A., the agent bank of which is Deutsche Bank.

Pursuant to this agreement, the senior syndicated loan, which at the novation date totalled EUR 776,547 thousand, was increased to EUR 939,756 thousand. Similarly, the initial 2017 maturity date was extended to 24 September 2024. The loan bears interest at 3M Euribor plus a spread of 1.75%.

The financing includes commitments to maintain certain coverage ratios, which are standard in these types of real estate companies, such as the loan-to-value ratio, the ratio of the subsidiary's income used to service the debt (interest coverage ratio, ICR), and a minimum credit rating of BBVA from ratings agencies. The Parent's directors have confirmed that these ratios were met at 31 December 2016 and do not expect that they will not be fulfilled in the coming years.

Rest of loans of the Group subsidiaries:

Mortgage loans rest of assets

At 31 December 2016, the Group subsidiaries had the following mortgage loans:

Financial institution	Thousands of euros				Collateral
	Loan Original	Long Term	Short Term	Interest	
Santander	70,000	67,000	1,000	385	Mortgage
Allianz Real Estate	133,600	133,600	-	888	Mortgage
Deutsche Pfandbriefbank	22,845	22,531	114	29	Mortgage
Caixabank	21,000	21,000	-	81	Mortgage
Caixabank	45,500	45,027	237	172	Mortgage
ING	56,670	56,670	-	5	Mortgage
ING	11,230	11,230	-	1	Mortgage
Total	360,845	357,054	1,351	1,561	

On 2 October 2014, the Group obtained a EUR 70,000 thousand mortgage loan from Banco Santander secured by the office buildings in Madrid (Edificio Sanchinarro T2, T4 and T7). The loan bears interest at the Euribor rate, plus a spread of 185 pp. The loan falls due on 7 October 2021 and will be repaid in fixed quarterly instalments of EUR 250 thousand. At the close of 2016 year, the Group complies with the covenants set forth in that contract and according to the Directors' estimates it will do so in 2017.

On 19 February 2015, the Group signed a mortgage-backed loan with Allianz Real Estate for the Marineda shopping centre. The loans signed has a principal of EUR 133,000 thousand, a term of 10 years, has a fixed interest rate of 2.66% and the principal is repaid in full on maturity. At the close of 2016 year, the Group complies with the covenants set forth in that contract and according to the Directors' estimates it will do so in 2017.

On 13 March 2015, the Group signed a mortgage-backed loan with Deutsche Pfandbriefbank on the World Trade Center Alameda Park 6 office building. The loan signed has a principal of EUR 22,845 thousand, a term of 9 years, has a fixed interest rate of 2.41%, an annual repayment of 0.5% of the principal and 95.5% on maturity. At the close of 2016 year, the Group complies with the covenants set forth in that contract and according to the Directors' estimates it will do so in 2017.

On 26 March 2015, the Group subrogated a mortgage-backed loan contracted with Caixabank, S.A. on the Alcalá 38-40 office building. This loan has a principal of EUR 21,000 thousand, a term of 15 years, an interest rate of 3M Euribor plus a spread of 150 basis points, a 4-year interest-only period, and repayment in full using the French method over the following 11 years.

On 2 October 2015, the Group signed a first ranking floating-rate mortgage-backed loan with Caixabank, S.A. on the portfolio made up of 33 real estate assets in Catalonia. This loan has a principal of EUR 45,500 thousand and will be used to refinance part of the acquisition price of the assets portfolio. It matures in October 2025, has a daily interest rate of 3M Euribor plus a spread of 1.5% until the end of the loan, and is paid quarterly. While the contract is in force, at the close of each year the Group has to comply with certain debt ratios concerning the coverage of debt service and levels of net debt relating to the GAV of the real estate assets. At the close of 2016 year, the Group complies with the covenants set forth in that contract and according to the Directors' estimates it will do so in 2017.

On 4 December 2015, the Group signed two first ranking mortgage-backed loans with ING Bank N.V. through its subsidiaries Merlin Logística and Merlin Logística II for the portfolio of 7 logistics assets. It also signed a first ranking pledge on the credit rights arising from the loan accounts, the lease contracts and the insurance policies. At the same time as it signed this contract, it also signed an interest rate swap contract and a second ranking mortgage on the properties and a second ranking pledge on the credit rights arising from the lease contracts and insurance policies, as collateral for the obligations of the swap contract.

This loans have a principal of EUR 56,670 thousand and EUR 11,230 thousand, respectively, mature on 4 December 2020, have an interest rate of 3M Euribor plus a spread of 1.5% until the end of the loan, and are payable quarterly. While the contract is in force, at the close of each six-month period the Group has to comply with certain debt ratios concerning the coverage of debt service and levels of net debt relating to the GAV of the real estate assets. At the

close of 2016 year, the Group complies with the covenants set forth in that contract and according to the Directors' estimates it will do so in 2017.

Revolving credit facility

On 21 June 2016, the Parent signed a revolving credit facility with a group of 12 financial institutions for EUR 320 million. The credit facility matures in 2021 and its interest rate is Euribor + 140 basis points. This facility will be used to buy new real estate assets. At 31 December 2016, the Group has drawn EUR 120,000 thousand.

The revolving credit facility has the same guarantees and ratio compliance obligations as the syndicated loan.

Maturity of debt

The breakdown by maturity of these loans is as follows:

2016

	Thousands of euros					
	Syndicated Loan	Loan H. Senior Syndicated Tree	Mortgage Loans	Leasing	Credit facility revolving	Total
2017	5,045	10,225	1,351	10,849	-	27,470
2018	5,101	8,968	1,460	124,911	-	140,347
2019	26,878	11,085	4,229	-	120,000	162,192
2020	1,905	10,947	72,988	-	-	85,840
2021	1,220,000	10,811	69,515	-	60,000	1,360,326
Over 5 years	-	858,116	208,866	-	-	1,066,982
	1,258,929	910,150	358,409	135,760	180,000	2,843,157

2015

	Thousands of euros			
	Loan H. Senior Syndicated Tree	Mortgage Loans and bridge loan	Mortgage Loans Grupo Testa, Leasing, credits and loans	Total
2016	9,398	351,351	1,333,955	1,694,704
2017	9,398	1,351	11,920	22,669
2018	9,398	1,460	125,995	136,853
2019	11,747	4,617	1,099	17,463
2020	11,747	72,948	1,115	85,810
Over 5 years	878,670	278,032	23,721	1,180,423
	930,358	709,759	1.497.805	3.137.922

The Group has credits and loans not drawn at 31 December 2016 and 2015 with a number of different financial institutions amounting to EUR 243,000 and EUR 1,883 thousand euros, respectively.

At 31 December 2016 and 2015, the Group does not have debt in any currency other than the euro.

There are no significant differences between the fair value and the carrying amount of the Group's financial liabilities.

The finance cost for interests on the loans totalled EUR 44,762 thousand in 2016 (EUR 36,584 thousand in 2015) and is recognised in the accompanying 2016 consolidated income statement.

At 31 December 2016 and 2015, the loan arrangement costs were recognised as a reduction in "Bank borrowings". In the 2016 and 2015 years, the Group has expensed EUR 18,440 thousand and EUR 13,410 thousand, respectively in the "Finance costs" item of the accompanying consolidated income statement (see Note 21.d) associated with the debt.

17.2 Issue of debentures

On 6 April 2016, the Parent subscribed a bond issue programme (Euro Medium Term Notes - EMTN) of up to EUR 1,000 million, completing on 25 April 2016 a first issue of non-subordinate ordinary bonds on the Euromarket totalling EUR 850 million, issuing EUR 8,500 bonds each with a par value of EUR 100,000. The bonds were issued at par with maturity after 7 years and an annual coupon of 2.225% payable every year on years due. At 31 December 2016, the bond was trading at around MS + 153 basis points, equivalent to a yield of 1.799% approximately.

On 14 October 2016, the Parent increased this bond issue programme by EUR 1,000 million. Furthermore, on 2 November 2016, the Parent carried out a second non-subordinated ordinary bond issue for a total of EUR 800 million, issuing 8,000 bonds each with a par value of EUR 100,000. The bonds were issued at 98.931% of their nominal value with maturity after 10 years and an annual coupon of 1.875% payable every year on years due. At 31 December 2016, the bond was trading at around MS + 163 basis points, equivalent to a yield of 2.402% approximately.

The terms and conditions of the issued bonds abide by UK laws and are traded on the Luxembourg Stock Market. The bond issue has the same guarantees and ratio compliance obligations as the syndicated loan and the revolving credit facility.

The funds obtained were used to repay the second tranche of the syndicated loan described in this same Note and to repay the debt of the Metrovacesa rental property business.

Due to the business combination with Metrovacesa, the Group registers an amount of EUR 691 thousand euros in the "Debentures and bonds" item of non-current liabilities of the consolidated statement of the financial position. This amount corresponds to the bond issue performed by Metrovacesa under the European Medium Term Note (EMTN) Programme amounting to EUR 700 million maturing on 23 May 2022, with coupons payable every year at an interest rate of 2.375%. The bonds were issued at 99.438% of their nominal value, and at 31 December 2016 their price was MS + 147 basis points, equivalent to a yield of 1.638% approximately. The terms and conditions of these bonds are governed and are in accordance with UK laws and are traded on the Irish Stock Market; including a series of compliance obligations which is common in these types of transactions.

The interest expense corresponding to the issue of debentures amounted to EUR 20,468 in 2016 and is included in the consolidated income statement of the attached 2016 year. During 2016 the Group has accounted EUR 547 thousand in the "Financial expenses" item of the consolidated income statement attached (see Note 21.d).

17.3. Derivatives

Details of financial derivative instruments at 31 December 2016 are as follows:

	Thousands of euros	
	2016	2015
Non-current		
Interest rate derivatives	74,201	50,836
Inflation derivatives	(4,534)	(8,396)
Total non-current	69,667	42,440
Current		
Interest rate derivatives	4,235	6,309
Total current	4,235	6,309

To measure the fair value of the interest rate and inflation derivatives, the Company discounts cash flows based on the underlyings determined by the euro interest rate curve as per market conditions on the measurement date.

These financial instruments are classified as Level 2 as per IFRS 7.

Details of the financial derivative instruments in the consolidated statement of financial position at 31 December 2016 are as follows:

2016

	Thousands of euros	
	Financial Assets	Financial Liabilities
Non-current		
Interest rate derivatives	-	78,436
Inflation derivatives	-	(4,534)
Contract implicit derivative		
BBVA lease (Note 13)	207,182	
Total derivatives recognised	207,182	73,902

2015

	Thousands of euros	
	Financial Assets	Financial Liabilities
Non-current		
Interest rate derivatives	-	57,145
Inflation derivatives	-	(8,396)
Contract implicit derivative		
BBVA lease (Note 13)	194,767	-
Total derivatives recognised	194,767	48,749

During 2016, the Parent Company has subscribed, in the context of the syndicated financing without mortgage collateral signed in this year, the interest rate hedge (IRS), which matures in 2021, for a 70% of the notional value, i.e., EUR 595 million and a cost of the 0.0981%.

Additionally, linked to the syndicated financing without mortgage collateral coming from Metrovacesa, it includes an interest rate hedge (IRS), which matures in 2021, with a notional value of EUR 310 million and a cost of the -0.12%.

At 31 December 2016 and 2015, the change in fair value of the financial instruments registered in equity as valuation adjustments amounts to EUR 41,688 thousand and EUR 3,470 thousand, respectively. These amounts are reached

having eliminated the fluctuations in value which are not attributable to the Group, as they are value adjustments included in the equity acquired in the business combinations.

The entry in the consolidated income statement at 31 December 2016 amounts to EUR 13,070 thousand, EUR 6,012 thousand of which are included as financial expenses, and EUR 7,058 thousand refer to inefficiencies included in the "Change in the fair value of financial instruments- others" item.

The derivatives held by the Group and the fair values thereof at that date are as follows (in thousands of euros):

2016

	Interest Contracted	Thousands of euros					
		Fair Value	Outstanding notional at each date				
			2017	2018	2019	2020	Years following years
Interest rate derivatives	3.97% - 0.25%	(69,757)	1,087,578	1,077,162	1,063,137	941,084	865,750
Inflation derivative	0.0981%	(8,539)	595,000	595,000	595,000	595,000	595,000
Interest rate derivatives-Testa	-0.12%	(140)	310,000	310,000	310,000	310,000	310,000
Inflation derivatives	3.14%	4,534	-	-	-	-	-
		(73,902)	1,992,578	1,982,162	1,968,137	1,846,084	1,770,750

2015

	Interest Contracted	Fair Value	Thousands of euros				
			Outstanding notional at each date				
			2016	2017	2018	2019	Years following years
Interest rate derivatives	3.46%-0.65%	(47,812)	1,106,758	1,094,775	1,085,140	1,074,222	1,060,200
Inflation derivative	3.14%	8,396	82,500	-	-	-	-
Interest rate derivatives-Testa	3.98%-0.30%	(9,333)	145,940	130,040	120,740	37,240	37,240
		(48,749)	1,335,198	1,224,815	1,205,880	1,111,462	1,097,440

The Group has opted for hedge accounting, suitably designating the hedging relationships in which these financial instruments are hedging instruments of the financing used by the Group. In this manner, the Group has neutralized flow variations stemming from interest payments and fixed the rate to be paid for said financing. These hedging relationships are, cumulatively, highly effective prospectively and retrospectively, starting at their designation date for certain derivatives.

The Group requested to file tax under the special regime for listed real estate investment companies (SOCIMI tax regime) pursuant to Law 11/2009 of 26 October, regulating SOCIMIs (SOCIMI Law). As a result of this, the Group recognised a total of EUR 47,582 thousand and of EUR 6,106 thousand under equity at 31 December 2016 and 2015, respectively, corresponding to the fair value of the derivatives fulfilling the requirements thereof, without considering any tax effect. It also recognised EUR 7,058 thousand and EUR 1,016 thousand under "Change in fair value of financial instruments" in the consolidated income statement as a result of the derivative financial instruments not meeting the hedge requirements due to inefficiency.

On adopting IFRS 13, the Group adjusted the measurement techniques for calculating the fair value of its derivatives. The Group includes a bilateral credit risk adjustment to reflect both the own credit risk and the counterpart party risk in the measurement of the fair value of the derivatives. The Group applied the discounted cash flow method, considering a discount rate affected by its own credit risk.

In order to calculate the fair value of the financial derivatives, the Group used generally accepted measurement techniques in the market, which account for current and future expected exposure, adjusted by the probability of

default and the potential loss given default affecting the contract. The CVA (Credit Value Adjustment) or counterparty credit risk and DVA (Debt Value Adjustment) or own credit risk were therefore estimated.

Current and expected exposure in the future is estimated using simulations of scenarios of fluctuations in market variables, such as interest rate curves, exchange rates and volatilities as per market conditions at the measurement date.

Furthermore, for the credit risk adjustment, the Group's net exposure has been taken into account with regards to each of the counterparties, if the financial derivatives arranged with them are within a financial transaction framework agreement which provides for netting positions. For counterparties for whom credit information is available, the credit spreads have been obtained from the CDS (Credit Default Swaps) quoted in the market; whereas for those with no available information, references from peers have been used. The Group hired Chatham Financial Europe Ltd. to measure the fair value of the derivatives.

At 31 December 2016 and 2015, the impact on liabilities and profit before tax of a 50 basis point fluctuation in the estimated credit risk rate would be as follows:

2016

Scenario	Thousands of euros		
	Liabilities	Equity	Consolidated profit/(loss) before tax
5% rise in credit risk rate	(51,542)	35,161	16,381
5% reduction in credit risk rate	53,553	(25,043)	(28,510)

2015

Scenario	Thousands of euros		
	Liabilities	Equity	Consolidated profit/(loss) before tax
5% rise in credit risk rate	(47,256)	(45,253)	(2,003)
5% reduction in credit risk rate	49,437	49,232	205

18. Other current and non-current liabilities

Details of this heading at 31 December 2016 are as follows:

	Thousands of euros			
	2016		2015	
	Non-current	Current	Non-current	Current
Other provisions	34,092	867	16,573	274
Guarantees and deposits received	85,123	75	49,392	-
Deferred tax liabilities	556,771	-	223,088	-
Other payables	19,026	3,119	16,073	1,961
Payable to associates	-	803	-	408
Other current liabilities	-	629	-	1,224
Total	695,012	5,493	305,126	3,867

The "Other provisions" item includes provisions for the measurement of risk associated with a number of litigation processes and claims by third parties arising from the Group's activity, which have been registered in accordance with the best existing estimates.

This item also includes tax debt liabilities whose amount or due date is to some degree uncertain, and when it is likely that the Group may have to dispose of resources to cancel these obligations as the result of a present obligation. These provisions were mainly included due to the business combination with Testa Inmuebles en Renta, SOCIMI, S.A. and at 31 December 2016 totalled EUR 5,235 thousand.

It also includes the provision for the variable remuneration indicated in Note 23 for the sum of EUR 10,158 thousand euros (EUR 4,857 thousand in 2015) and which will be paid in the long-term.

“Guarantees and deposits received” primarily comprise the amounts deposited by lessees to secure leases, which will be reimbursed at the end of the lease term.

The Parent and most of its subsidiaries are subject to the SOCIMI tax regime. Under this regime, gains from the sale of assets are taxed at 0%, provided that certain requirements are met (basically, the assets must have been held by the SOCIMI for at least three years). Any gains from the sale of assets acquired prior to joining the SOCIMI tax regime will be distributed on a straight-line basis (unless proven to be distributed otherwise) over the period during which the SOCIMI owned them. Any gains generated prior to joining the SOCIMI tax regime will be taxed at the general rate, while a rate of 0% will be applied for the other years. In this regard, the Parent's directors performed an estimate on the tax rate applicable to the fiscal gain of the assets acquired before they were included in the SOCIMI regime (calculated in accordance with the assets' fair value obtained from expert appraisals at the date of the business combination and at 31 December 2016), registering the appropriate deferred tax liability. The change in the balance of the “Deferred tax liabilities” item is mainly due to the business combinations which occurred in 2016 as well as the increase caused by the rise in asset values.

The Parent's directors do not envisage disposing of any of the investment property acquired after the Parent and its subsidiaries joined the SOCIMI tax regime within three years, and have therefore not recognised the deferred tax liability corresponding to the changes in fair value since the assets were acquired as the applicable tax rate is 0%.

19. Trade and other accounts payable

Details of this heading at 31 December 2016 are as follows:

	Thousands of euros	
	2016	2015
Current		
Payable to suppliers	60,959	18,283
Sundry accounts payable	25,434	3,377
Remuneration payable	11,944	5,738
Current tax liabilities (Note 20)	27,231	898
Other payables to public authorities (Note 20)	12,625	8,176
Other accounts payable	-	316,840
Advances from customers	2,675	775
Total	140,868	354,087

In 2016, the Group acquired the interest in Testa Inmuebles en Renta SOCIMI, S.A. which it had committed to buy at the close of the 2015 year. This investment cost EUR 316,840 thousand, and at 31 December 2016 it has been completed.

The carrying amount of the trade payables is similar to their fair value.

Information on average payment periods to suppliers Final second provision of Law 31/2014, of 3 July:

The information required subject to additional provision three of Act 15/2010, of 5 July (amended by virtue of final provision two of Act 31/2014, of 3 December) prepared in accordance with the ICAC Resolution of 29 January 2016, regarding the information to be included in the notes to the financial statements on the average supplier payment period in trading operations, is as follows:

	2016	2015
	Days	Days
Average supplier payment period	38.94	29.84
Ratio of payments made	28.76	29.34
Ratio of transactions payable	69.66	35.40
	Thousands of euros	Thousands of euros
Total payments made	193,835	75,854
Total payments pending	8,654	8,602

The figures in the preceding table on payments to suppliers refer to those whose nature makes them trade creditors because they are suppliers of goods and services. Therefore, they include the figures relating to "Trade and other payables" under current liabilities in the accompanying consolidated statement of financial position.

"Average supplier payment period" is taken to mean the time of payment or delay in paying commercial debt. This "Average supplier payment period" is calculated as the ratio formed in the numerator by adding the ratio of paid transactions for the total amount of the payments made to the ratio of operations still to be paid by the total amount of pending payments, and in the denominator, by the total amount of payments made and the payments still to be made.

The paid operations ratio is calculated as the ratio formed in the numerator by multiplying the products referring to the amounts paid, by the number of payment days (difference between the natural days elapsed from the end of the legal payment deadline until the actual payment of the operations), and, in the denominator, the total amount of payments made.

Furthermore, the ratio of operations still to be paid corresponds to the ratio formed in the numerator by multiplying the products referring to the amounts pending payment, by the number of pending payment days (difference between the natural days elapsed from the end of the legal payment deadline until the closing date of the financial statements), and, in the denominator, the total amount of payments pending.

Pursuant to Law 3/2004, of 29 December, which sets out measures to combat arrears in trading operations and in accordance with the transitory provisions set out in Law 15/2010, of 5 July, the legal payment deadline applicable to the Group in the 2014/2015 year is 60 days until the publication of Act 11/2013 of 26 July and 30 days from the publication of that Act and until the present (unless the conditions set out in the Act are fulfilled, in which case the payment deadline is extended to 60 days).

20. Public Authorities and tax situation

a) Current balances with Public Authorities

At 31 December 2016, the main taxes receivable and payable are as follows:

2016

	Thousands of euros			
	Tax assets		Tax liabilities	
	Non-current	Current	Non-current	Current
Accounts payable to the Treasury for withholdings	-	23,612	-	3,352
VAT	-	6,076	-	9,035
Tax assets	141,044	-	-	-
Corporate income tax	-	1	-	27,231
Payable to the Social Security	-	-	-	238
Deferred tax liabilities	-	-	556,771	-
	141,044	29,689	556,771	39,856

2015

	Thousands of euros			
	Tax assets		Tax liabilities	
	Non-current	Current	Non-current	Current
Accounts payable to the Treasury for withholdings	-	106	-	5,475
VAT	-	2,363	-	2,575
Tax assets	23,140	-	-	-
Corporate income tax	-	-	-	898
Payable to the Social Security	-	-	-	126
Deferred tax liabilities	-	-	223,088	-
	23,140	2,469	223,088	9,074

b) Reconciliation of accounting result and tax base

At 31 December 2016, the tax base was calculated as the accounting profit for the period plus effect of changes in the fair value of investment property, and temporary differences for the existing limitations. At the closing date of the financial statements, the Group has not registered any deferred tax assets for this item, as it is generally subject to a tax rate of 0% as the Parent and most of the subsidiaries are subject to the SOCIMI regime.

The reconciliation of the accounting profit to the consolidated income tax expense at 31 December 2016 is as follows:

	Thousands of euros	
	2016	2015
Profit/(Loss) before tax	592,622	57,276
Permanent differences:		
- Capital increase expenses	(17)	(51,559)
- Negative difference on business combinations	(37,572)	302,188
- Goodwill absorption	154,428	-
- Consolidation adjustments to the Financial Gain/(Loss)	(79,187)	-
- Consolidation adjustments to the Operating Gain/(Loss)	36,541	-
- Other adjustments to the Consolidation Gain/(Loss)	(5,019)	-
- Other permanent differences	6,958	-
Temporary differences:		
- Changes in the value of investment property		
a) acquired after joining the SOCIMI tax regime	(340,321)	(134,698)
b) acquired before joining the SOCIMI tax regime	(112,828)	(179,888)
- Adjustments to amortization	(2,765)	-
Offset of tax loss carryforwards	(42,532)	-
Adjusted tax base	170,308	(6,681)

Capital increase expenses are treated as a permanent difference because the applicable tax rate is 0%.

Temporary differences arose from the change in value of investment property (IAS 40 Fair value model). As the Parent's directors plan and state that investment property acquired by subsidiaries already subject to the SOCIMI tax regime will not be sold within three years, the fair value adjustment in 2016 and 2015 is taxed at 0% and therefore the deferred tax liability is also zero.

c) Reconciliation of accounting profit and tax expense

	Miles de euros	
	2016	2015
Expense for increase in value of investment property (a)	(3,602)	(2,859)
Expenses to replace properties outside the SOCIMI Regime (b)	-	(7,488)
Expenses for disposal of real estate assets within SOCIMI Regime	(630)	-
Expenses for disposals of real estate assets outside the SOCIMI Regime	(28,076)	-
Expense for adjustment of bases exit SOCIMI Regime	(4,435)	(642)
Income from reinvestment of gains on sales	4,592	2,827
Income from amortization adjustment 2016	359	-
Income from adjustment to the income tax	8,210	-
Income from adjustment revaluation on sold assets	20,246	-
Expense for gain/(loss) at general rate	(6,342)	-
Other	(170)	(161)
Total corporate income tax expense	(9,848)	(8,323)

- (a) Refers to the amount of the increase in value of investment properties acquired before joining the SOCIMI regime. The result arises from applying the tax rate which the Directors consider will be applicable to the gain to the increase in value.
- (b) Adjustments in Corporate income tax expenditure arising from the gain in the individual financial statements of the subsidiary Tree Inversiones Inmobiliarias, SOCIMI, S.A. due to the replacement of investment properties in accordance with the contract signed with BBVA.

d) Deferred tax assets recognised

At 31 December 2016, the details of the tax credits for tax loss carryforwards are as follows:

2016

	Thousands of euros	
	Amount in Base	Tax Credit
<i>Tax loss carryforwards:</i>		
Before 2008	-	-
2008	184,305	46,076
2009	154,057	38,514
2010	48,545	12,136
2011	78,639	19,660
Total tax loss carryforwards	465,547	116,387
Other deferred tax registered	98,628	24,657
Total capitalized deferred tax assets	564,175	141,044

2015

	Thousands of euros	
	Amount in Base	Tax Credit
<i>Tax loss carryforwards:</i>		
2010	18,384	4,589
2011	11,010	2,748
Total tax loss carryforwards	29,394	7,337
Other deferred tax registered	-	15,803
Total capitalized deferred tax assets		23,140

The “Other deferred taxes registered” item mainly includes the temporary differences arising from the valuation of derivatives as well as the temporary difference arising from the limit on the deductibility of asset depreciation from the acquisition of the Testa subgroup and Metrovacesa.

Changes in deferred tax assets in the 2016 year were mainly due to the inclusion of tax credits from the rental property business of Metrovacesa, S.L. The changes in deferred tax assets in the 2015 year were mainly due to the offsetting of tax loss carryforwards performed by the subsidiary Tree Inversiones Inmobiliarias, SOCIMI, S.A. for the result obtained in the replacement of real estate assets.

At 31 December 2016, the Group has tax deductions which have yet to be applied mainly for reinvestment and internal double taxation.

The aforesaid deferred tax assets were recognised in the consolidated statement of financial position since the Group's directors consider that, based on the best estimates of the Group's future results, including certain tax planning measures, it is likely that these assets will be recovered.

The details of the tax assets not registered at 31 December 2016 are as follows:

	Thousands of euros
	Not registered Amount in Base
<i>Tax loss carryforwards:</i>	
Before 2008	214,580
2009	123,875
2011	8
2012	489
Total tax loss carryforwards	338,952

e) Deferred tax liabilities

As indicated above, the deferred tax liabilities mainly arise from business combinations performed in recent years and the increase in the value of the assets of Tree Inversiones Inmobiliarias, SOCIMI, S.A. (assets acquired before joining the SOCIMI regime).

Movements at 31 December 2016 in these deferred tax liabilities were as follows:

	Thousands of euros
Balance at 31 December 2014	24,432
Business combination additions	235,562
Increase in value of investment property	2,859
Temporary differences	(545)
Transfer of deferrals to "Non-current assets held for sale"	(39,220)
Total deferred tax liabilities at 31 December 2015	223,088
Business combination additions	359,943
Increase in value of investment property	4,424
Temporary differences	(30,684)
Total deferred tax liabilities at 31 December 2016	556,771

As stipulated in Note 20.b, the increase in value of investment property acquired by subsidiaries subject to the SOCIMI tax regime generate temporary differences at a tax rate of 0%, whereby no deferred tax liability has been recognised.

f) Years open to review and tax inspections

Under current legislation, taxes cannot be deemed to have been definitively settled until the tax returns filed have been reviewed by the tax authorities or until the four-year statute of limitations has expired. At period-end 2016, the Parent Company and part of its subsidiaries is open to inspection of all the taxes for which it is liable since its incorporation. The other subsidiaries have the years 2012 to 2015 of Corporate Income Tax open to inspection and 2013 to 2016 for the other taxes applicable. The Parent's directors consider that the tax returns for the aforementioned taxes have been filed correctly and, therefore, even in the event of discrepancies in the interpretation of current tax legislation in relation to the tax treatment afforded to certain transactions, such liabilities as might arise would not have a material effect on the accompanying financial statements. Furthermore, the Act 34/2015, of 21 September, partially amending the General Tax Act 58/2003 of 17 December provides that the Administration's right to initiate

the procedure to investigate the tax bases or tax amounts payable offset or pending compensation or deductions applied or pending application, will lapse after ten years counting from the date following the regulatory deadline established to make the declaration of self-settlement for the year or fiscal period on which the right to offset such bases or amounts payable or to apply such deductions were based.

g) Information requirements because of its classification as a SOCIMI, Law 117/2009, amended by Law 16/2012

The information requirements due to the Parent and part of the subsidiaries being classified as SOCIMIs are included in the pertinent notes of the individual financial statements.

21. Revenue and expenses

a) Revenues

Details of ordinary revenues are provided in Note 6 alongside the segment information.

b) Other operating expenses

At 31 December 2016, the breakdown of this item of the consolidated income statement is as follows:

	Thousands of euros	
	2016	2015
Non-recoverable expenses of leased properties	19,744	10,236
Overheads		3,808
Independent professional services	5,825	2,923
Travel expenses	395	290
Office rental	642	209
Insurance	1,325	226
Other	319	160
Costs associated with asset acquisitions and financing	22,588	25,046
Losses, impairment and variation of provisions	272	336
Other expenses	555	69
Total	51,665	39,819

c) Employee benefits expense and average headcount

The breakdown of employee benefits expense at 31 December 2016 is as follows:

	Thousands of euros	
	2016	2015
Wages, salaries and similar expenses	37,287	14,491
Termination benefits	4,467	433
Social security costs	1,332	786
Other social expenses	155	-
Total	43,241	15,710

As indicated in Note 5.18, on 20 December 2016 the Group approved an Employment Regulation Plan, which affects 52 employees, and which was disbursed in January 2017. Severance expenses incurred as a result amount to EUR 4,392 thousand, and a provision has been registered in the "Trade and other payables" item of the consolidated statement of the financial position at 31 December 2016.

The average headcount at the various Group companies in 2016 and 2015 was 132 and 115 people, respectively.

The breakdown by category is as follows:

2016

	Women	Men	Total
General Directors and Chairpersons	-	2	2
Other Directors and Managers	1	9	10
Technicians and support staff	7	27	34
Accounting, Administrative and Clerical Staff	85	64	149
Total	93	102	195

2015

	Women	Men	Total
General Directors and Chairpersons	-	5	5
Other Directors and Managers	1	10	11
Technicians and support staff	25	35	60
Accounting, Administrative and Clerical Staff	28	15	43
Total	54	65	119

The number of people employed during 2016 with a disability greater than or equal to 33%, broken down by category, was as follows:

Categories	2016
Senior Management	-
Technicians and middle management	-
Administrative personnel	4
Total	4

d) Finance income and costs

The breakdown of these items in the consolidated income statement is as follows:

	Thousands of euros	
	2016	2015
Finance income:		
Deposits and current account interest	1,709	1,970
	1,709	1,970
Finance costs:		
Interest from loans and other credits	(90,229)	(55,566)
Other financial expenses	(1,061)	-
	(91,290)	(55,566)
Net finance expense	(89,579)	(53,596)

Financial expenses include, mainly, the interests corresponding to the bank borrowings and obligations detailed in the Note 17 for amounts of EUR 44,762 thousand and EUR 20,468 thousand, respectively. Additionally, it includes the charge for the amortisation of loan arrangement costs of EUR 18,347 thousand and EUR 13,410 thousand at 31 December 2016 and 2015, respectively, applying the effective interest method to financial debt, as well as other financial costs for an amount of EUR 6,012 thousand.

e) Profit from the disposal of financial instruments

The balance in this section of the consolidated income statement for 2016, attached, includes, primarily, the profits obtained in the loss of control of Testa Residencial SOCIMI, S.A. for an amount of 75,849 thousand euros, approximately.

f) Contribution to consolidated profit

The contributions to 2016 profit by each company included in the consolidation scope are as follows:

Company	Thousands of euros	
	2016	2015
Overall integration:		
Merlin Properties SOCIMI, S,A,	273,858	(39,604)
Tree Inversiones Inmobiliarias, SOCIMI, S,A,	190,529	167,453
Merlin Logística, S,L,	33,210	16,721
Merlin Retail, S,L,	29,954	48,052
Merlin Oficinas, S,L,	34,109	34,357
Merlin Logística II, S,L,	2,368	2,591
Obraser, S,A,	8,848	(5,912)
Testa Inmuebles en Renta, S,A,	-	(176,678)
MPCVI - Compra e Venda Imobiliária, S,A,	2,328	1,295
MPEP - Properties Escritórios Portugal, S,A	(7)	(2)
MP Monumental, S,A,	564	-
MP Torre A, S,A,	34	-
Merlin Properties Adequa, S,L,	(14,826)	-
Subgrupo Merlin Parques Logísticos	(2,206)	-
Varitelia Distribuciones, S,L,U,	16,781	-
Metroparque, S,A,	13,380	-
Metropolitana Castellana, S,L,	1,682	-
La Vital Centro Comercial y de Ocio, S,L,	1,317	-
Global Carihuela Patrimonio Comercial, S,L,U,	119	-
Sadorma 2003, S,L,	(4,244)	-
Otras sociedades	(6,970)	-
Method of participation:		
Testa Residencial SOCIMI, S,A,	8,769	-
Paseo Comercial Carlos III, S,A,	557	-
Centro Intermodal de Logística, S,L,	(4,192)	1,825
Bardiomar, S,L,	-	1,301
Provitae, S,L,	(534)	(1,898)
Other affiliated companies	(2,781)	(423)
Total	582,647	49,078

22. Related party transactions

In addition to subsidiaries, associates and joint ventures, the Group's "related parties" are considered to be the Company's shareholders, "key management personnel" (members of the Board of Directors and executives, along with their close relatives), and the entities over which key management personnel may exercise significant influence or control.

Details of transactions considered material given their value or relevant due to their substance between the Parent or its Group companies and related parties are:

2016

Related Party	Type of relationship de la relación	Thousands of euros		
		Income	Expenses	Liabilities
Banco Santander, S.A. (a)	Financing	4	4,366	300,683
Banco Santander, S.A.	Notional Derivatives	-	-	227,981
Banco Santander, S.A. (b)	Lease	1,639	-	-
Banco Bilbao Vizcaya Argentaria, S.A.(a)	Financing	-	192	-
Banco Bilbao Vizcaya Argentaria, S.A. (b)	Sub-lease	93,242	-	-
Magic Real Estate, S.L. (d)	Real Estate Services	48	-	-
Testa Residencial, SOCIMI, S.A. (c)	Lease	2,249	-	-
Testa Residencial, SOCIMI, S.A. (c)	Financing	31	-	-
Total		95,570	4,558	528,664

(a) The Group has loans of EUR 300,683 thousand with its shareholder Banco Santander, S.A. In 2016, finance costs in transactions with shareholder banks totalled EUR 4,558 thousand, EUR 4,366 thousand of which are from financing transactions with Banco Santander, S.A.

The notional value of the outstanding derivatives with Banco Santander, S.A. amounts to EUR 227,981 thousand.

At 31 December 2016, the Group had EUR 143,027 thousand and EUR 4,294 thousand of funds deposited in Banco Santander, S.A. and Banco Bilbao Vizcaya, S.A., respectively. In 2016, the Group incurred finance costs of EUR 57 thousand. In 2016, the Group obtained financial income of EUR 4 thousand.

The Group has been granted guarantee lines by the shareholder Banco Santander, S.A. and by Banco Bilbao Vizcaya, S.A. of EUR 766 thousand and of EUR 5,496 thousand, respectively.

The Group has made contributions of EUR 49 thousand in employees' pension funds managed by its shareholder Banco Santander, S.A.

(b) As indicated in Note 6, the Group leases 867 branches to Banco Bilbao Vizcaya Argentaria, S.A. The lease contracts last between 2 and 24 years; in the 2016 year income from these leases totalled EUR 23,093 thousand.

The Group also leases 5 properties to Banco Santander, S.A. The lease contracts last between 1 and 9 years; in the 2016 year income from these leases totalled EUR 1,639 thousand.

(c) The Group performs property management services for its subsidiary Testa Residencial, SOCIMI, for which it receives income of EUR 2,280 thousand, including the rental of a property for which it has received EUR 31 thousand in rental and in expenses passed on.

(d) Merlin Properties, Socimi, S.A. subleases 125 square metres of office space to Magic Real Estate S.L. The parties formalised this sublease in December 2015.

2015

Related party	Type of the relationship	Thousands of euros			
		Income	Expenses	Assets	Liabilities
Magic Real Estate, S.L. (a)	Sub-lease	5	62	-	-
Total		5	62	-	-

- (a) Until 2015, Magic Real Estate S.L. subleased half a floor of offices to the Parent Company. This sublease was cancelled in 2015, when Merlin Properties, Socimi, S.A. replaced Magic Real Estate, S.L. as the direct lessee of the office, subleasing 125 square metres of office space to Magic Real Estate S.L.

23. Stakes held by directors and their affiliates in other companies

The directors of the Parent and their affiliates have not been in a position involving a conflict of interests that required reporting under Article 229 of the Consolidated Text of the Spanish Limited Liability Companies Law.

Directors' compensation and other benefits

At 31 December 2016 and 2015, salaries, per diem attendance fees and compensation of other kinds earned by members of the Parent's governing bodies totalled EUR 4,759 thousand and EUR 4,324 thousand, as detailed below:

	Thousands of euros	
	2016	2015
Fixed and variable remuneration	4,748	4,314
Statutory compensation	-	-
Termination benefits	-	-
Per diem allowances	-	-
Life and health insurance	11	10
Total	4,759	4,324

At 31 December 2016, executive directors had accrued an entitlement to EUR 3,650 thousand of variable remuneration (EUR 3,330 thousand in 2016). 50% of these amounts will be paid 10 days after the Board of Directors draws up the Group's financial statements. The other 50% will be paid five years after the Company's financial statements are drawn up for issue. In 2016, EUR 1,665 thousand has been paid for the bonuses earned previous years.

At 31 December 2016, the amount of variable remuneration paid over the long-term amounts to EUR 3,780 thousand, and is registered in the "Long-term provisions" item of the attached balance sheet.

As indicated below in this Note, as the Executive Directors are members of the Senior Management they have been awarded a stock option if they meet certain conditions linked to the value of the Group's net assets. In this sense, at 31 December 2016, the conditions set out in the plan have been met so that the Senior Management will receive the shares of the Stock Management Plan - provided they remain as staff of the Parent for the next 3 years –in five years time.

The breakdown, by board member, of the amounts disclosed above is as follows:

Board member		Miles de euros	
		2016	2015
<i>Remuneration of board members</i>			
Rodrigo Echenique Gordillo	Chairmen	-	-
Ismael Clemente Orrego	Executive Chairman (a)	2,150	1,990
Miguel Ollero Barrera	Executive director (a)	2,100	1,940
Maria Luisa Jordá Castro	Independent director	71	65
Ana García Fau	Independent director	71	65
Alfredo Fernández Agras	Independent director	77	67
George Donald Johnston	Independent director	68	62
John Gómez Hall	Independent director	60	17
Fernando Ortiz Vaamonde	Independent director	68	63
Ana de Pro	Independent director	60	45
Juan María Aguirre Gonzalo	Independent director	12	-
Pilar Cavero Mestre	Independent director	11	-
Agustín Vidal-Aragón de Olives	Proprietary director	-	-
Javier García-Carranza Benjumea	Proprietary director	-	-
Francisca Ortega Hernández Agero	Proprietary director	-	-
Total		4,748	4,314

(a) Additionally, at the present day the executive directors have the right to be granted in a 5 years time a maximum of 750,000 shares.

The Company has granted no advances, loans or guarantees to any of its directors.

The Directors of the Parent Company are covered by the "Corporate Insurance Policies of Civil Liability of Board members and Directors" contracted by the Parent Company in order to cover possible damages that may be claimed, and that are evidenced as a consequence of a management error committed by its Directors or managers, as well as those of its subsidiaries, in the exercise of their positions. The total annual amount of the insurance premium amounts to EUR 162 thousand.

Senior executives' compensation and other benefits

The remuneration of the Parent's senior executives and persons discharging similar duties, excluding those who are simultaneously members of the Board of Directors (whose remuneration is disclosed above), in 2016 and 2015 is summarised as follows:

2016

Thousands of euros			
Number of people	Fixed and variable remuneration (a)	Other remuneration	Total
4	4,405	14	4,419

(a) In addition, as mentioned above, at the present day the members of the Senior Management other than the executive directors have a right to be granted in a 5 years time with a maximum, of 623,334 shares

2015

Thousands of euros			
Number of people	Fixed and variable remuneration	Other remuneration	Total
4	3,940	12	3,953

At 31 December 2016, Senior Management had accrued an entitlement to EUR 3,400 thousand of variable remuneration (EUR 2,980 thousand in 2015). 50% of these amounts will be paid 10 days after the Board of Directors draws up the Group's financial statements. The other 50% will be paid five years after the Company's financial statements are drawn up for issue. In 2016, EUR 1,490 thousand has been paid for the bonuses earned in the 2015 and 2014 years. At 31 December 2015, the amount of variable remuneration paid over the long-term amounts to EUR 3,419 thousand, and is registered in the "Long-term provisions" item of the attached balance sheet at 31 December 2016.

In addition, the Parent had a commitment to award an additional bonus to the management team as determined by the Appointments and Remuneration Committee, linked to the Company's shares, since the Company's Senior Management is remunerated based on the returns obtained by the Company's shareholders (the "Management Stock Plan").

The Company must exceed the following thresholds before members of Senior Management are entitled to shares under the Management Stock Plan:

- Total shareholder return per annum must be over 8%. The annual shareholder return is calculated as the sum of any fluctuation in the Company's EPRA NAV over the year minus the net funds obtained from shares issued during the year, plus the dividends distributed during the year. At the behest of the management team, at year end the EPRA NAV will be adjusted for the outstanding goodwill created from the acquisition of Testa, which is equivalent to the paid premium of the market value of Testa assets.
- The sum of (i) MERLIN's EPRA NAV at 31 December of that year and (ii) the total dividends (or any other form of remuneration or payment to shareholders) which may have been distributed that year or in any previous year since the last year in which payment of the Management Stock Plan was authorised, will have to be higher than the larger of the two following amounts: (a) the initial EPRA NAV (initial EPRA NAV being considered to be net funds obtained by the Company as a result of the offering and admission to trading of its shares), and (b) the EPRA NAV at 31 December (with the adjustments arising from excluding the net funds from any issue of ordinary shares performed that year) of the last year in which it was authorised to pay the Management Stock Plan. This excess is referred to as the High Watermark Outperformance and represents the amount over and above the last EPRA NAV that gave rise to entitlement to shares under the Management Stock Plan.

Once both thresholds are reached, the amount to be allocated to the Management Stock Plan for the year (the bonus) will be the lesser of the following:

(x) 6% of the annual shareholder return once this exceeds 8%, and 9% of the shareholder return if the annual shareholder return is over 12%; or

(y) 16% of the High Watermark Outperformance.

According to the terms of the plan, members of the Senior Management will have to remain in the Group and provide their services for a period of 3 years, and they will receive their stock in the 5th year.

The calculation for the 2016 year is shown below:

<i>(€ thousands)</i>	
EPRA NAV 31 December 2016	5,274,730
Net funds capital increase of September 2016	(1,672,845)
Testa acquisition goodwill	(9,839)
Adjusted EPRA NAV 31 December 2016	3,592,047
EPRA NAV, start of period	2,981,547
Adjusted EPRA NAV, end of period	3,592,047
Change in adjusted EPRA NAV	610,500
Dividends distributed during the period	101,205
Shareholder return	711,705

Shareholder return required to exceed annualized profitability thresholds of 8%.	278,104
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High Watermark start of period	2,981,547
Period end EPRA NAV + dividends paid	3,693,252
Return over and above applicable High Watermark	711,705

Testing of conditions for entitles to bonus	
Shareholder return above 8%	YES
Return over and above applicable High Watermark	YES
Calculation of bonus. The lower of:	
9% of annual shareholder return for management team	64,053
16% of return over and above applicable High Watermark	113,873
Bonus applicable	64,053

Consequently, taking into account the amount of the bonus and the share price of the Parent Company, the Senior Management will be entitled to receive 6,000,000 shares in 5 years time, as long as they continue working for the Group over the next 3 years. Additionally, the right to be granted with two thirds of these shares is conditional upon the Company has financial solvency in the next two years. The Group has registered the expense accrued at 31 December 2016, credited to equity, which amounts to EUR 15,625 thousand, corresponding to the portion accrued, as this commitment must be satisfied with the delivery of shares of the Parent.

Lastly, as regards “golden parachute” clauses for executive directors and other senior executives of the Parent or Group in the event of dismissal or takeover, contracts provide for compensation. These clauses entail a total commitment of EUR 51,560 thousand at 31 December 2016 (EUR 31,480 thousand in 2015).

24. Auditors' remuneration

Fees for audit services for the different companies in the Merlin Group and subsidiaries, provided by the main auditor, Deloitte, S.L. and companies related thereto and by other auditors, are as follows:

Description	Thousands of euros	
	2016	2015
Audit services	378.8	91
Other audit-related services:		
Other assurance services	291.0	446.8
Total audit and related services	669.8	537.8
Other services	551.6	577.7
Tax advisory services	-	-
Total other services	551.6	577.7
Total	1,221.4	1,115.5

Other audit-related services include the assurance services performed as part of the share issue processes of the Parent Company as well as the issue of comfort letters related to the issue of bonds.

The fees for services provided by other auditors in the companies which make up the Group in the 2015 year amount to EUR 80.5 thousand, and for other tasks EUR 375 thousand, no providing any service in 2016 year.

25. Environmental information

Given the activity in which the Group engages, it has no environmental liabilities, expenses, assets, provisions or contingencies that could have a material impact on its equity, financial position and results of its operations.

Therefore, no specific environmental disclosures have been included in these notes to the consolidated financial statements.

26. Risk exposure

Financial risk factors

The Group's activities expose it to a variety of financial risks: market risk, credit risk, liquidity risk and cash flow interest rate risk. The Group's overall risk management programme is based on the uncertainty of financial markets and aims to minimize the adverse effects of such risks on the financial profitability of the Group.

Risk management is undertaken by the Group's Senior Management in accordance with the policies approved by the Board of Directors. Senior Management identifies, evaluates and mitigates financial risks in close collaboration with the Group's operating units. The Board of Directors issues the written global risk management policies and the policies for specific areas, including those for covering market risk, interest rate risk and liquidity risk and investing cash surpluses.

Market risk

Given the current status of the real-estate sector and in order to mitigate the effects thereof, the Group has specific measures in place to minimize said impact on its financial position.

These measures are applied pursuant to the results of sensitivity analyses carried out by the Group on a regular basis. These analyses involve:

- Economic backdrop in which it operates: Designing different economic scenarios and modifying the key variables potentially affecting the Group. Identifying interdependent variables and the extent of their relationship; and
- Time horizon in which the assessment is being made. The time horizon of the analysis and its possible deviations will be taken into account.

Credit risk

Credit risk is defined as the potential risk of loss in earnings to which the Group is exposed if a customer or counterparty breaches its contractual obligations.

As a general rule, the Group places cash and cash equivalents with financial institutions with high credit ratings.

Except in the case of the BBVA branch leases, the Group is not exposed to significant concentration of credit risk with one customer or counterparty. The Group regularly reviews the credit rating and thus the creditworthiness of BBVA vis-à-vis the segment of bank branches leased to this bank. The Group also pays close attention to this situation, since the finance held is dependent on credit quality being maintained. The Parent's directors do not consider that there is any material credit risk regarding receivables due from this lessee.

With respect to other customers, the Group has policies in place to limit the volume of risks posed by customers. Exposure to the risk of being unable to recover receivables is mitigated in the normal course of business through funds or guarantees deposited as collateral.

The Group has formal procedures to identify any impairment of trade receivables. Delays in payment are detected through these procedures and individual analysis by business area and methods are established to estimate impairment loss.

Details of the estimated maturities of the Group's financial assets in the consolidated statement of financial position at 31 December 2016 are as follows. The tables present the results of the analysis of the aforesaid maturities of financial assets at 31 December 2016:

2016

	Thousands of euros				
	Less than 3 months	3 to 6 months	6 months to 1 year	Over 1 year	Total
Loans to third parties				1,796	1,796
Deposits and guarantees:				66,431	66,431
Trade and other receivables	501,017	-	4,877	-	505,894
Other current financial assets	6,444	-	-	-	6,444
Cash and cash equivalents	247,081	-	-	-	247,081
Total	754,542	-	4,877	68,227	827,646

2015

	Thousands of euros				
	Less than 3 months	3 to 6 months	6 months to 1 year	Over 1 year	Total
Loans to third parties	-	-	-	3,076	3,076
Deposits and guarantees	-	-	-	40,197	40,197
Trade and other receivables	17,544	-	6,840	-	24,384
Other current financial assets	6,995	-	-	-	6,995
Cash and cash equivalents	560,740	-	-	-	560,740
Total	585,279	-	6,840	43,273	635,392

Cash and cash equivalents

The Group has cash and cash equivalents of EUR 247,081 thousand, which represents its maximum exposure to the risk posed by these assets.

Cash and cash equivalents are deposited with banks and financial institutions.

Liquidity risk

Liquidity risk is defined as the risk of the Group encountering difficulties meeting its obligations regarding financial liabilities settled in cash or with other financial assets.

At 31 December 2016m the Group has positive working capital of EUR 626,492 thousand euros.

The Group conducts prudent management of liquidity risk by maintaining sufficient cash to meet its payment obligations when they fall due, both in normal and stressed conditions, without incurring unacceptable losses or risking the Group's reputation.

Details of the Group's exposure to liquidity risk at 31 December 2016 are provided in the table below. The tables present the results of the analysis of financial liabilities by remaining contractual maturity date:

2016

	Thousands of euros				
	Less than 3 months	3 to 6 months	6 months to 1 year	Over 1 year	Total
Bank borrowings	13,022	6,036	45,991		65,049
Other non-current liabilities - Guarantees				85,123	
Trade and other payables (excluding payables to public authorities)	51,182	27,350	22,479		101,011
Total	64,204	33,386	68,470	85,123	251,183

2015

	Thousands of euros				
	Less than 3 months	3 to 6 months	6 months to 1 year	Over 1 year	Total
Bank borrowings	1,692,289	11,848	7,849	-	1,711,986
Other non-current liabilities - Guarantees	-	-	-	49,392	49,392
Trade and other payables (excluding payables to public authorities)	18,283	9,890	316,840	-	345,013
Total	1,710,572	21,738	324,689	49,392	2,106,391

Cash flow interest rate risk and fair value risk

At 31 December 2016, the Group held current financial assets earning a fixed rate of interest (deposits) to extract value from the surplus cash not invested in investment properties.

The Group manages its interest rate risk by borrowing at fixed and floating rates of interest. The Group's policy is to ensure non-current net financing from third parties is at a fixed rate. To manage this, the Group enters into interest rate swaps which are designated as hedges of the respective loans. The impact of interest rate fluctuations is explained in Note 17.2.

Exchange rate risk

The Group is not exposed to exchange rate fluctuations as all its operations are in its functional currency.

Price risk

The Group has inflation hedges to protect rental income from risks of fluctuations in the inflation rate (CPI) (see Note 17.2).

Tax risk

As mentioned in Note 1, the Parent and its subsidiaries are subject to the special tax regime for SOCIMIs. As established in Article 6 of Law 11/2009, of 26 October, amended by Law 16/2012, of 27 December, the SOCIMIs opting to pay tax under the special tax regime are required to distribute the profit generated during the year to shareholders as dividends. Once the corresponding commercial obligations have been fulfilled, said distribution must be agreed within six months from year end, and the dividends paid within 30 days from the date on which the pay-out is agreed (Note 5.7).

Should the shareholders of these companies at their respective general meetings not approve the distribution of dividends proposed by their Board of Directors calculated pursuant to the requirements of the aforementioned law they will be in breach of the law and will therefore have to pay tax under the general tax regime not the one applicable to SOCIMIs.

27. Events after the reporting period

On 12 January, the Parent Company formalized the acquisition of the building Torre Glòries. It comprises a gross area of 37,614 sqm, in ground level plus 34 above ground floors, plus an auditorium. It also benefits from 300 parking spaces located in four below ground levels. The total constructed area amounts to 51,485 sqm. The acquisition price amounts to € 142 million.

Appendix I
Subsidiary and associate companies 2016

Consolidation of subsidiaries and associate companies 2022			Thousands of euros									
Company	Activity / Address	Method	Share capital	Profit /(loss)		Rest of Equity	Total Equity	Dividends Received	Carrying amount		Equity Consolidation	Auditor
				Operation	Profit / (losses)				Cost	Impairment losses		
Tree Inversiones Inmobiliarias, SOCIMI, S.A.U.	Acquisition and development of real estate assets for rental use / Paseo de la Castellana 42, Madrid	100%	9,323	85,296	42,773	43,885	95,981	9,323	85,296	42,773	Full Consolidation	Deloitte
Merlin Logística, S.L.U.	Acquisition and development of real estate assets for rental use / Paseo de la Castellana 42, Madrid	100%	12,418	5,781	4,218	110,052	126,688	12,418	5,781	4,218	Full Consolidation	Deloitte
Merlin Retail, S.L.U.	Acquisition and development of real estate assets for rental use / Paseo de la Castellana 42, Madrid	100%	17,963	15,197	9,932	157,501	185,396	17,963	15,197	9,932	Full Consolidation	Deloitte
Merlin Oficinas, S.L.U.	Acquisition and development of real estate assets for rental use / Paseo de la Castellana 42, Madrid	100%	16,779	10,806	7,840	142,118	166,737	16,779	10,806	7,840	Full Consolidation	Deloitte
MPEP – Properties Escritórios Portugal, S.A.	Acquisition and development of real estate assets for rental use / Rua Eça de Queirós 20, Lisboa	100%	50	(7)	(7)	(2)	41	50	(7)	(7)	Full Consolidation	Deloitte Portugal
MPCVI – Compra e Venda Imobiliária, S.A.	Acquisition and development of real estate assets for rental use / Rua Eça de Queirós 20, Lisboa	100%	1,050	1,313	457	5,433	6,940	1,050	1,313	457	Full Consolidation	Deloitte Portugal
Merlin Logística II, S.L.U.	Acquisition and development of real estate assets for rental use / Paseo de la Castellana 42, Madrid	100%	300	622	293	4,079	4,672	300	622	293	Full Consolidation	Deloitte
Obraser, S.A.	Acquisition and development of real estate assets for rental use / Paseo de la Castellana 42, Madrid	100%	601	3,827	3,969	3,312	7,882	601	3,827	3,969	Full Consolidation	N/A

Thousands of euros												
Company	Activity / Address	Method	Share capital	Profit /(loss)		Rest of Company	Activity / Address	Method			Profit / (losses)	Company
				Operation	Profit / (losses)				Share capital	Operation		
MP Torre A, S.A.	Acquisition and development of real estate assets for rental use / Avda Fontes Pereira de Melo, 51, Lisboa	100%	50	1,710	(196)	1,754	1,608	-	10,186	-	Full Consolidation	EY
MP Monumental, S.A.	Acquisition and development of real estate assets for rental use / Avda Fontes Pereira de Melo, 51, Lisboa	100%	50	3,576	855	10,642	11,547	-	20,348	-	Full Consolidation	EY
Merlin Properties Adequa, S.L.	Acquisition and development of real estate assets for rental use / Paseo de la Castellana 42, Madrid	100%	5,075	4,527	(3,920)	281,541	282,696	-	378,755	-	Full Consolidation	Deloitte
Belkyn West Comapny, S.L.	Acquisition and development of real estate assets for rental use / Paseo de la Castellana 42, Madrid	100%	3	(27)	(27)	-	(24)	-	3	-	Full Consolidation	N/A
Merlin Parques Logísticos, S.A.U.	Acquisition and development of real estate assets for rental use / Avda 3 del Parc Logistic, 26, Barcelona	100%	69,802	228	2,226	2,717	74,745	-	115,292	-	Full Consolidation	Deloitte
Gescentesta, S.L.U.	Provision of services / Paseo de la Castellana 83-85. Madrid	100%	3	290	224	-	227	187	3	-	Full Consolidation	N/A
Gesfitesta, S.L. (antes Itaceco, S.L.U.)	No activity / Paseo de la Castellana 83-85. Madrid	100%	6	(320)	(409)	139	(264)	-	6	-	Full Consolidation	N/A
Testa Hoteles, S.A.	No activity / Paseo de la Castellana 83-85. Madrid	100%	180	(1)	(1)	4,103	4,282	-	4,287	-	Full Consolidation	N/A
Inmobiliaria Metrogolf, S.A.	No activity / Avda. António Augusto de Aguiar, 19, Lisboa	100%	1	(19)	(19)	3,720	3,702	-	3,709	-	Full Consolidation	PKF & Asociados SROC
Metropolitana Castellana, S.L.	Acquisition and development of real estate assets for rental use / C. Quintanavides, 13, Madrid	100%	743	2,250	1,686	21,235	23,664	-	7,559	-	Full Consolidation	Deloitte

Thousands of euros												
Company	Activity / Address	Method	Share capital	Profit /(loss)		Rest of Company	Activity / Address	Method			Profit / (losses)	Company
				Operation	Profit / (losses)				Share capital	Operation		
Holding Jaureguizahar 2002, S.A.	No activity / Pza de Carlos Trias Bertrán, 7, Madrid	100%	1,481	-	-	(6,722)	(5,241)	-	-	-	Full Consolidation	N/A
Sadorma 2003, S.L.	Acquisition and development of real estate assets for rental use / C. Quintanavides, 13, Madrid	100%	73	(196)	(532)	21,477	21,018	-	25,449	(4,460)	Full Consolidation	Deloitte
Global Murex Iberia, S.L.	Acquisition and development of real estate assets for rental use / C. Quintanavides, 13, Madrid	100%	13	(1)	(1)	(15,545)	(15,533)	-	-	-	Full Consolidation	N/A
Project Maple I BV	No activity / Prins Bernhardplein 200, 1097 JB Amsterdam, Holanda	100%	474,641	-	(2)	(474,845)	(206)	-	-	-	Full Consolidation	N/A
Global Carihuella, Patrimonio Comercial S.A.	Acquisition and development of real estate assets for rental use / C. Quintanavides, 13, Madrid	100%	3	(1,652)	(2,465)	1,350	(1,112)	-	1,102	-	Full Consolidation	N/A
Varitelia Distribuciones, S.L.	Acquisition and development of real estate assets for rental use / C. Quintanavides, 13, Madrid	100%	3	25,782	22,154	(154,339)	(132,182)	-	-	-	Full Consolidation	Deloitte
Metrovacesa France, S.A.S.	Acquisition and development of real estate assets for rental use /34 avenue des Champs-Élysées, Paris	100%	1,895	2,377	1,970	6,149	10,014	-	10,135	(122)	Full Consolidation	Deloitte France
Metrovacesa Méditerranée, S.A.S.	Acquisition and development of real estate assets for rental use / 35 Boulevard Saint Assiscle Perpignan, Francia.	100%	28,770	(6,927)	(7,403)	(30,119)	(8,752)	-	-	-	Full Consolidation	Deloitte France

Thousands of euros												
Company	Activity / Address	Method	Share capital	Profit /(loss)		Rest of Company	Activity / Address	Method			Profit / (losses)	Company
				Operation	Profit / (losses)				Share capital	Operation		
Centros Comerc. Metropolitanos., S.A.	Acquisition and development of real estate assets for rental use / C. Quintanavides, 13, Madrid	100%	61	958	9,936	(8,059)	1,938	-	36,262	-	Full Consolidation	Deloitte
Metroparque, S.A.	Acquisition and development of real estate assets for rental use / C. Quintanavides, 13, Madrid	100%	56,194	9,243	6,835	21,070	84,099	-	231,557	-	Full Consolidation	Deloitte
Desarrollo Urbano de Patraix, S.A.	Land management / Avda. Barón de Carcer, 50, Valencia	100%	2,790	(1)	(1)	22,301	25,090	-	25,090	-	Full Consolidation	N/A
Testa Residencial, Socimi S.A.	Acquisition and development of real estate assets for rental use / Paseo de la Castellana, 83-85, Madrid	34%	46,766	179	(1,215)	588,627	634,178	-	144,369	-	Full Consolidation	EY
Centro Intermodal de Logística S.A. (CILSA)	Development, management and execution of logistics activities in the port system / Avenida Ports d'Europa 100, Barcelona	32%	15,467	10,080	5,196	58,367	79,030	-	50,038	-	Método de participación	KPMG
Provitae Centros Asistenciales, S.L.	Acquisition and promotion of real estate assets for rental use / C. Fuencarral, 123. Madrid	50%	6,314	(47)	(55)	(906)	5,353	-	5,541	(1,070)	Método de participación	N/A
PK. Inversiones 22, S.L.	Provision of services / C. Príncipe de Vergara, 15. Madrid	50%	60	-	-	(24)	36	-	30	-	Método de participación	N/A
Pazo de Congresos de Vigo, S.A.	Project of execution, construction and management of Palacio de Congresos de Vigo / Avda. García Barbón, 1. Vigo	44%	11,100	(309)	(1,005)	(2,367)	7,728	-	3,652	(217)	Método de participación	EY
PK. Hoteles 22, S.L.	Acquisition and promotion of real estate assets for rental use / C. Príncipe de Vergara, 15. Madrid	33%	5,800	431	363	(1,036)	5,127	-	1,985	(1,888)	Método de participación	N/A
Parking del Palau, S.A.	Acquisition and promotion of real estate assets for rental use / Paseo de la Alameda, s/n. Valencia	33%	1,998	157	116	326	2,440	-	2,236	-	Método de participación	N/A

- (a) In 2015, the Parent received a dividend of EUR 5,774 thousand, according to the distribution of dividends approved by the Ordinary General Shareholders' Meeting of Testa. Given that the dividend refers to results before Testa's capital was included in the Parent Company, they have been registered by reducing the cost of the interest.
- (b) Amounts in US dollars

Appendix I
Subsidiary and associate companies 2015

			Thousands of euros									
Company	Activity/ Address	Method	Share capital	Profit/(Loss)		Rest of Equity	Total Equity	Dividends Received	Carrying amount		Equity Consolidation	Auditor
				Operation	Profit/(Losses)				Cost	Impairment		
Tree Inversiones Inmobiliarias, SOCIMI, S.A.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	9,323	98,705	51,167	(17,561)	42,929	41,164	657,984	-	Full consolidation	Deloitte
Merlin Logística, S.L.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	6,453	5,902	5,803	53,739	65,995	4,287	64,503	-	Full consolidation	Deloitte
Merlin Retail, S.L.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	13,093	14,288	10,719	110,381	134,193	8,954	130,908	-	Full consolidation	Deloitte
Merlin Oficinas, S.L.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	14,828	20,846	18,224	115,131	148,183	11,653	148,253	-	Full consolidation	Deloitte
MPEP - Properties Escritórios Portugal, S.A	Acquisition and development of property assets for lease / Rua Eça de Quierós 20, Lisbon	100%	50	(2)	(2)	-	48	-	50	-	Full consolidation	Deloitte Portugal
MPCVI – Compra e Venda Imobiliária, S.A.	Acquisition and development of property assets for lease / Rua Eça de Quierós 20, Lisbon	100%	1,050	668	158	5,275	6,483	-	6,418	-	Full consolidation	Deloitte Portugal
Merlin Logística II, S.L.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	300	405	(284)	4,332	4,348	-	10,671	-	Full consolidation	Deloitte

Thousands of euros												
Company	Activity/ Address	Method	Share capital	Profit/(Loss)		Rest of Equity	Total Equity	Dividends Received	Carrying amount		Equity Consolidation	Auditor
				Operation	Profit/(Losses)				Cost	Impairment		
Testa Inmuebles en Renta, SOCIMI, S.A.	Acquisition and development of property assets for lease / Paseo de la Castellana 83-85, Madrid	77.32%	30,794	16,248	(12,291)	594,485	612,988	(a)	1,669,864	-	Full consolidation	EY
Obraser, S.A.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	601	1,377	1,430	4,725	6,756	-	36,600	-	Full consolidation	N/A
Centro Intermodal de Logística S.A. (CILSA)	Development, management and carrying out of logistical activities in the port system / Avenida Ports d'Europa 100, Barcelona	32%	15,467	12,289	5,939	53,252	74,658	-	50,037	-	Equity method	KPMG
Trade Center Hotel, S.L.U.	Property Rental / Avda. Diagonal, 490, Barcelona	100%	12,020	4,243	3,174	22,365	37,559	3,075	12,020	-	Full consolidation	EY
Testa Residencial, S.L.U.	Property Rental / Paseo de la Castellana, 83-85, Madrid	100%	102,696	5,031	7,155	39,201	149,052	-	101,732	-	Full consolidation	EY
Testa American Real Estate Corporation (b)	Property Rental / 1111 Brikell Avenue. Miami. USA	100%	73,000	(267)	1,339	105,091	179,430	-	70,682	-	Full consolidation	N/A
Gesfontesta, S.L.U.	Service Provision / Paseo de la Castellana, 83-85 Madrid	100%	571	410	313	143	1,027	354	642	-	Full consolidation	N/A
Gescentesta, S.L.U.	Service Provision / Paseo de la Castellana, 83-85 Madrid	100%	3	258	187	1	191	184	3	-	Full consolidation	N/A
Gesfitesta, S.L. (formerly Itaceco, S.L.U.)	No Activity / Paseo de la Castellana, 83-85 Madrid	100%	6	(231)	(172)	311	145	-	6	-	Full consolidation	N/A

			Thousands of euros									
Company	Activity/ Address	Method	Share capital	Profit/(Loss)		Rest of Equity	Total Equity	Dividends Received	Carrying amount		Equity Consolidation	Auditor
				Operation	Profit/(Losses)				Cost	Impairment		
Prosacyr Hoteles, S.A.	No Activity / Paseo de la Castellana, 83-85 Madrid	100%	180	(1)	-	4,103	4,283	-	4,287	-	Full consolidation	N/A
Bardiomar, S.L.	Property Rental / Ctra. Las Rozas-El Escorial km.0,3. Madrid	50%	7,631	2,565	3,874	4,787	16,292	66	19,713	-	Equity method	N/A
Provitae Centros Asistenciales, S.L.	Property Rental / C. Fuencarral, 123. Madrid	50%	6,314	(22)	(58)	151	6,407	-	11,572	-	Equity method	N/A
PK. Inversiones 22, S.L.	Service Provision / C. Príncipe de Vergara, 15. Madrid	50%	60	-	-	(24)	36	-	30	-	Equity method	N/A
Pazo de Congresos de Vigo, S.A.	Project for the execution, construction and operation of the Vigo Conference Centre / Avda. García Barbón, I. Vigo	44.44%	11,100	(266)	(1,426)	(570)	9,104	-	10,587	-	Equity method	EY
PK. Hoteles 22, S.L.	Property Rental / C. Príncipe de Vergara, 15. Madrid	32.50%	5,801	242	337	(1,339)	4,799	-	5,688	-	Equity method	N/A
Parking del Palau, S.A.	Property Rental / Paseo de la Alameda, s/n Valencia	33%	1,998	61	136	330	2,464	40	660	-	Equity method	N/A

- (a) In 2015, the Parent received a dividend of EUR 5,774 thousand, according to the distribution of dividends approved by the Ordinary General Shareholders' Meeting of Testa. Given that the dividend refers to results before Testa's capital was included in the Parent Company, they have been registered by reducing the cost of the interest.
- (b) Amounts in US dollars